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«Workers of the world, unite!»

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The development of the modern productive forces provides new technical instruments for the Marxist press. The illustrative material in this issue was created using artificial intelligence technologies (the generative neural networks Gemini 3 Flash Image and DALL-E 3). Here, AI functioned solely as a means of production, while the ideological conception, the formulation of tasks, and the final processing of the images are the result of the living human labour of our editorial collective.

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FROM THE EDITORIAL BOARD

Here is the second issue of the journal *Communist Prometheus*. As was emphasised in the introductory article to our first issue, this publication is not intended for passive reading or abstract academic reflection. We offer this journal not merely as something to be read, but as a rigorous working tool for conducting theoretical discussion and creating the conditions for practical, organisational coordination of forces.

In the texts published in this issue, we continue our systematic Marxist dissection of capitalist reality: from the mathematics of the falling rate of profit and the anatomy of global alienation to the debunking of myths about the “socialist” nature of the USSR and an analysis of the historical defeats of the labour movement. All these materials serve a single purpose – to crystallise a clear political understanding of the tasks facing the working class today.

This issue does not contain the “Correspondence with a Comrade” section. However, this does not mean that our dialogue with supporters and sympathisers has been interrupted. On the contrary, we have received and carefully considered many of your letters, questions and critical comments. We have decided to provide a detailed response to most of them not in the form of a separate section, but directly in the articles in this issue.

The capitalist system is sinking ever deeper into structural crisis, offering humanity nothing but a choice between barbaric super-exploitation and a new global bloodbath. A way out of this impasse will not emerge spontaneously. Therefore, we appeal once again to our readers: if you share the political positions set out here, do not remain passive observers.

We call on you to join us in working on the publication, to help distribute it and, most importantly, to become actively involved in the process of building a world communist party, without which victory over the dictatorship of capital is impossible.

INTERNATIONAL REVIEW: JULY 2026

The world in 2026 teeters on the brink of full-scale catastrophe. While bourgeois analysts, expert centres, and the liberal press dismiss the cascade of regional wars, the collapse of logistical chains, and sovereign defaults as random “geopolitical risks” or the errors of individual governments, the real mechanics of the crisis remain concealed behind the façade of stock-market bulletins. This international review is an attempt to tear away this ideological veil, it is essential for everyone who has grown weary of informational disorientation and wishes to understand not the superficial symptoms, but the fundamental, material causes of the ongoing madness, in which trillion-dollar bubbles of artificial intelligence coexist organically with the ruins of bombed cities.

Drawing upon the rigorous categorical apparatus of Marxist political economy, we undertake a merciless dissection of contemporary imperialism. Step by step, this article demonstrates the structural impasse of the system: from the inexorable tendency of the rate of profit to fall and the tightening of the global debt noose, to capital’s desperate attempts to find salvation in the militarisation of space and in total algorithmic dictates, how the objective laws of accumulation and overproduction, described by Marx and Lenin, operate today – in the era of data centres, central-bank digital currencies (CBDCs), and programmable reality.

However, this text is not a fatalistic prophecy of the end of the world, but a political guide to action. Found here is not only a diagnosis of the moribund state-monopoly capitalist system, but also a clear answer to the question “What is to be done?”. In an era when opportunists call upon the working class to choose the “lesser evil” among imperialist predators, this review returns the labour movement to its principal historical task – the necessity of forging the revolutionary party created by the vanguard of the working class, capable of smashing the bourgeois state machine and halting the oncoming barbarism.

Davos, January 2026. In a hall overlooking the snow-capped Alps, amid the applause of those assembled, a “Council of Peace” is established – a closed club of investors whose entrance fee, rumour has it, amounts to one billion dollars. At one table sit representatives of Israeli capital and the monarchies of the Persian Gulf, who only yesterday were in a state of war or on its very brink, yet today lean unanimously over a map of Middle Eastern ruins with one single concern: who will receive the contract for their reconstruction. In the adjacent window, a stock-market ticker displays the capitalisation of Nvidia, which has just surpassed five trillion dollars, while one line below, the quotation for oil creeps silently, still unsettled following the missile strikes on the oil-and-gas infrastructure in the region of the Strait of Hormuz. No one in the hall finds anything unnatural in this juxtaposition. Not a single irregularity of pulse, not a shadow of embarrassment – the appraisers of ruins work with the same businesslike methodicality with which, only yesterday, they calculated the logistics of the strikes themselves. Julio Jurenito¹, that great teacher and provocateur, would undoubtedly have appreciated this “Council of Peace” for what it is worth: here we have not mere cynicism, but the metaphysics of pure capital, for which there exist no “dead people”, but only “objects of reconstruction” and markets of sale.

How can one fail to recall here the caustic remark by T. J. Dunning, quoted by Karl Marx, on the nature of capital, which for a profit of 300 per cent would risk “*the chance of [...] being hanged*”, and commit any crime whatsoever.² The elders of Davos have surpassed this aphorism: they themselves create the pretext for the crime, in order subsequently to finance its liquidation at a profit of 300 per cent. This is the most vivid illustration of how imperialism – decaying and parasitic capitalism – transforms death itself into a profitable enterprise for the financial oligarchy.

Here it is, the entire anatomy of the system in a single frame, seemingly speaking for itself – yet it is precisely this muteness that demands to be deciphered, because it is precisely in the illusory self-evidence that the trick of bourgeois common sense consists: to compel the spectator to accept this scene as the natural order of things, rather than

what it truly is – overaccumulated capital seeking salvation in destruction, in order subsequently to reconstruct, at a profit, the very ruins it has created. Destruction and reconstruction here are not successive phases – they are simultaneous, they are one and the same act, viewed from two sides of one and the same balance-sheet. Gunpowder and concrete, the missile and the bond, emerge from one and the same overaccumulated surplus of value that finds no application in peaceful production, and it is precisely for this reason that the juxtaposition of the quotation for a pattern-recognition chip and the quotation for a barrel of oil extracted at gunpoint occasions no surprise. To understand this scene is to understand three-quarters of the analysis that follows; all the rest is merely the unfolding of this picture into a system of categories of Marxist political economy.

The analysis of the structural crisis of world capitalism requires a shift of focus from the abstract indicators of the stock market to the material basis of the system – the production chains and the movement of loan capital. The world economy has never emerged from the “Long Depression” that began after the recession of 2008–2009: the present fragmentation of world trade and the surge of conflicts are not an external contingency, but the natural result of a prolonged stagnation in labour productivity and of low rates of accumulation of productive capital.

The ruling bourgeoisie is compelled to acknowledge the collapse of the former model of globalisation, but interprets it in its own ideological categories of “geopolitical risk” and “fragmentation”, rather than as a manifestation of the internal contradictions of accumulation. Bourgeois political economy today resembles a physician who diligently measures the patient’s temperature, pulse, and blood pressure, who compiles lengthy reports on the symptoms, yet stubbornly refuses to acknowledge that the disease is rooted not in a bad climate nor in the machinations of neighbouring patients in the ward, but in the organism itself. This is not ignorance: it is the professional necessity of the apologist, obliged to explain the crisis of the system by anything other than the system itself. These, in Lenin’s words, “*learned salesmen of the capitalist class*”³,

1 - a character from Ilya Ehrenburg’s novel *The Extraordinary Adventures of Julio Jurenito and His Disciples* (1922) – translator’s note.

2 - Marx K. *Capital*. Volume I // Karl Marx, Frederick Engels: Collected Works. – London: Lawrence & Wishart, 2010. – Vol. 35. – P. 748.

3 - V. Lenin. *Materialism and Empirio-criticism*: Chapter 6.4 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/lenin/works/1908/mec/six4.htm>

with their childish idealism, attempt to obscure the fundamental fact: the sharpening of contradictions between the great powers is not an anomaly and not the consequence of “erroneous policy”, but the natural expression of the unevenness of capitalist development. In his masterful work *Imperialism, the Highest Stage of Capitalism*, Lenin demonstrated with mathematical precision: the growth of some national capitals and the relative decline of others inevitably shatter the former equilibrium of spheres of influence and compel the monopolies – always and inevitably by force – to carry out a redivision of the already divided world. The task of Marxist analysis is to lay bare the very contradiction within the process of the production of value that generates this unevenness, and on this basis to explain the concrete political events of the present moment. Let us unravel this chain of categories consistently – from the simplest contradiction to its concrete-historical forms.

THE TENDENCY OF THE RATE OF PROFIT TO FALL AS THE FUNDAMENTAL CONTRADICTION

Capital is compelled continuously to raise labour productivity through mechanisation and automation, yet it is precisely living labour that remains the sole source of surplus value. As the share of machinery, raw materials, and technology in capital grows, while the relative mass of living labour contracts, the objective tendency of the rate of profit to fall asserts itself. Here, capital repeats the fate of Goethe’s apprentice sorcerer who summoned spirits he is powerless to quell: the productive forces, created by capital for its own self-expansion, in their unbridled growth methodically undermine the very foundation of its existence. Machines, however “intelligent” they may appear, remain nothing but dead labour. They do not create new value, but merely transfer their own value to the product. The more dead labour towers over living labour, the more rapidly the very source of capital’s self-expansion withers away.

Calculations based on the *Penn World Tables* database for the G20 countries provide empirical confirmation of this law: since the late 1960s, the global rate of profit has declined, according to various estimates, by 15–25 per cent. The neoliberal upswing of the last decades of the twentieth century was merely a temporary fluctuation preceding the onset of the protracted depression of the pres-

ent century, in which the rate of profit oscillates near its historical lows.

However, the bourgeois professors, like medieval scholastics, gleefully rub their hands together, pointing to the periods of the neoliberal upswing as a “refutation” of Marx. And here we are duty-bound to give them battle on the very terrain of Marxist theory itself. Is capital capable of abolishing the tendency of the rate of profit to fall? No. But is it capable of delaying it? Unquestionably. In Chapter XIV of the third volume of *Capital*, Marx meticulously examines the counteracting influences (counter-tendencies) that transform this law precisely into a *tendency*. Let us examine how capital desperately grasps at these straws today, in 2026.

Firstly, the *intensification of the degree of exploitation of labour*. Today, this takes the form of total algorithmic control. Millions of platform workers, Amazon warehouse operators, and data annotators for artificial intelligence are deprived of even those meagre rights that the factory proletariat of the nineteenth century possessed. Neural networks do not in themselves create a single gram of value, but serve as an instrument for the unprecedented extraction of relative and absolute surplus value from workers, timing and compressing every second of their labour.

Secondly, the *depression of wages below the value of labour-power*. The inflationary plunder of recent years, in which prices rise incomparably faster than nominal wages, combined with the use of the labour of rightless migrants, physically prevents the proletariat from reproducing its labour-power.

Thirdly, the *cheapening of the elements of constant capital*. The rapid growth of microelectronic capacities and the declining cost of data transmission reduce the value of constant capital (machinery and infrastructure), temporarily compensating for its physical expansion.

Fourthly, *foreign trade and the imperialist export of capital*. The relocation of production to countries with a lower organic composition of capital, where the rate of surplus value is monstrously high owing to semi-slave conditions of labour, enables the financial oligarchy of the more economically developed imperialist powers to appropriate without compensation a colossal mass of value created there and of cheap raw materials, through the mechanism of unequal exchange and monopoly super-profit.

Are these counter-tendencies capable of reversing the very tendency of the rate of profit to fall?

Let us answer with the words of Marx himself from Volume III of *Capital*:

*«If we consider the enormous development of the productive forces of social labour in the last 30 years alone as compared with all preceding periods; if we consider, in particular, the enormous mass of fixed capital, aside from the actual machinery, which goes into the process of social production as a whole, then the difficulty which has hitherto troubled the economist, namely to explain the falling rate of profit, gives place to its opposite, namely to explain why this fall is not greater and more rapid. There must be some counteracting influences at work, which cross and annul the effect of the general law, and which give it merely the characteristic of a tendency, for which reason we have referred to the fall of the general rate of profit as a tendency to fall».*⁴

The counter-tendencies by no means abolish the contradiction itself; they are merely a palliative, a form of its temporary, feverish resolution. They appear not as an insurmountable obstacle in the path of the inexorable law, but as its very pulse, as immanent factors of its historical movement. But the miraculous alchemy of capital is not omnipotent.

Squeezing the last juices from the worker, this vampiric thirst for surplus labour encounters not some frozen metaphysical constant, but the resistance of nerves, muscles, and blood – the physiological limit of the human organism, which the proletariat stubbornly defends in its daily class struggle. On the other hand, the predatory cheapening of constant capital shatters against the exhaustion of the earth itself; capital, accustomed, like a profligate heir, to appropriating without compensation the living forces of nature as a gratuitous gift, ultimately leaves behind itself nothing but a barren desert.

And when these reserves – exhausted nature and the worn-out worker – run dry, the contradiction between the social character of production and private appropriation casts off the threadbare mask of “free exchange”. Finding no longer any quiet economic harbour, capital bares its fangs: the conflict is inevitably transferred onto the arena of direct, undisguised political violence of the bourgeoisie against labour.

However, it would be vulgar fatalism to see in this nothing but the blind automatism of an economic mechanism. The law merely erects the scaffolding and delineates the boundaries of the possible, but

history is made by living human beings. To this, the cunning bourgeois apologist – or the fair-minded reformist – will inevitably object: does the colossal leap in labour productivity not generate today a gigantic, hitherto inconceivable mass of surplus value? Does this unprecedented mountain of wealth not permit capital to buy off the proletariat with generous handouts, social provision, and fashionable schemes for a “universal basic income”, an exact repetition of the old trick of bribing the “labour aristocracy” at the expense of colonial plunder in the era of the great colonial empires?

Materially, physically – unquestionably, it does! The technological basis today is such that the product created would more than suffice to abolish want once and for all. But herein lies the irresolvable contradiction of the capitalist mode of production: this colossal mass of surplus value is not free. It is chained by the necessity of fertilising the mountain of constant (c) and fictitious capital, inflated to the heavens, in order to prevent, at least in some measure, the final collapse of the rate of profit. The lion's share of this increased wealth is inevitably devoured by speculative bubbles, the servicing of astronomical debts, and militarism.

Therefore, the historical space for *progressive* social reforms – for a genuine improvement in the level of education, healthcare, and social mobility, as was the case in the era of the post-war class compromise – has indeed closed. The same handouts, benefits, and schemes for a “basic income” that the monopolies are compelled to throw from their table have nothing in common with social progress. They are merely the costs of maintaining the colossal reserve army of labour that technological progress has cast beyond the factory gates. This is not reformism, but prison rations, police charity, whose sole purpose is to prevent the masses, deprived of any future, from rising in an immediate hunger revolt, and to feed the upper stratum of the labour aristocracy in order to split the ranks of the proletariat; at the same time, the bourgeoisie maintains and strengthens the apparatus of open dictatorship and terror.

Whether capital will succeed in lulling and fettering society with these handouts and the iron chains of reaction, or whether the proletariat, armed with a clear understanding of its historical task, will shatter the very dictatorship of capital – this will be decided not on the pages of dusty accounting ledg-

4 - K. Marx. *Capital*, Vol. III: Chapter 14 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch14.htm>

ers, but in the crucible of living, uncompromising class struggle.

THE TURNOVER OF CAPITAL, THE “ANNIHILATION OF SPACE BY TIME”, AND TRADE WARS

Confronted with this pressure, capital strives to compensate for the decline in the rate of profit by increasing its mass – that is, by reducing the turnover time. As early as in the *Economic Manuscripts of 1857–1859*, Marx formulated this *imperative* of capital:

*«Capital by its nature drives beyond every spatial barrier. Thus the creation of the physical conditions of exchange – of the means of communication and transport – the annihilation of space by time – becomes an extraordinary necessity for it».*⁵

Hence arises the objective need for a permanent technological revolution in transport and communications, and any obstacle in this path capital strives to eliminate by all means at its disposal, including direct state intervention.

In his later letters and in the *Anti-Dühring*, Friedrich Engels brilliantly demonstrated how protectionism and the arms race spring not from anyone's malevolent will, but from the very logic of national capital suffocating within its own confines. It is precisely this logic that is laid bare by the present tariff fever of American imperialism. After the US Supreme Court ruled the duties imposed by the Trump administration under emergency economic legislation illegal in February 2026, the White House on that very same day introduced new duties under Section 122 of the Trade Act of 1974 – with a strict 150-day limit, the countdown of which expires in these very weeks, requiring fresh congressional consent for their extension. This spectacle rivals any comedy of manners in the spirit of Molière's *Tartuffe*: the judicial bench solemnly admonishes the executive power for exceeding its authority, while the latter, with Olympian calm, reissues the same decree under a new signboard, citing a different article of the same body of law. Thus, before our very eyes, the old farce of bourgeois legality is played out, where law is nothing other than the form in which monopoly clothes its will. It is no coincidence that, parallel to the tariff pressure on South Korea, the European Union, likewise under pressure, finally signed in January 2026 an agreement with the South American Mercosur bloc, which had been in preparation for a quarter

of a century: the fear of losing access to the American market compels capital forcibly to reconfigure trade routes, enclosing them within the boundaries of new loyal blocs.

For decades, the “just-in-time” supply system secured super-profits for monopolies through the minimisation of warehouse stocks. Today, this mechanism suffers a double failure – both tariff-related and military. The militarisation of the Strait of Hormuz during the Israeli-US war against Iran in the spring of 2026 drove oil prices above \$110 per barrel, and although the framework agreement for a cease-fire signed on June 17th permitted the reopening of the strait, it did not abolish the fact itself: control over narrow logistical bottlenecks has become a direct politico-military instrument. It is precisely in this key that one must view the protracted shipping crisis in the Red Sea and the Suez Canal, which has compelled global logistics capital to redirect the majority of cargo flows from Asia to Europe around Africa. In political-economic terms, this signifies a forced colossal lengthening of the turnover time of capital. Freight costs have soared manifold, and since capital will never voluntarily reconcile itself to a fall in its margin, it inevitably shifts the cost of this lengthened logistical arm onto the working class through the rising price of final goods. But this inflationary blow is merely a tactical reaction, behind which lies concealed the strategic disintegration of the entire former global architecture. No longer able to ensure the uninterrupted functioning of the world's arteries, the monopolies are, in effect, burying the illusions of “free trade” and embarking upon the deliberate dismemberment of the unified market into isolated macro-regions bristling with bayonets and customs barriers. Bourgeois analysts are already meticulously calculating the costs of this great schism: according to IMF estimates, the fragmentation of world trade into competing blocs will cost the global economy 7 per cent of aggregate output.

The slowdown in the turnover of capital inevitably strikes at the rate of profit, and the only available means by which monopolies can compensate for these losses is the intensification of the exploitation of living labour. The surge in inflationary expectations in the United States following the outbreak of the war with Iran (in June 2026, the Federal Reserve sharply raised its inflation forecast

5 - K. Marx. *Grundrisse*: Notebook V // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1857/grundrisse/ch10.htm>

for the year to 3.6 per cent, up from 2.7 per cent previously) is caused not by workers' wages, but by the striving of monopolies to protect the absolute mass of profit, shifting the costs of the logistical and military crisis onto the working class through price increases.

Capital's drive to monopolise the means of communication and transport today bursts beyond the confines of the earth's atmosphere. Near-earth space has been transformed into a new arena of fierce imperialist competition. The deployment of private satellite constellations (such as Starlink) signifies that trans-national monopolies are privatising strategic military and information logistics previously under the exclusive purview of states. However, this privatisation is merely a transitional form: as control over orbital infrastructure becomes a question of the military and economic survival of national capital itself, states are inevitably compelled to re-establish direct or indirect control over it – through regulation, subsidisation, the nationalisation of critical nodes, or the direct military subordination of private operators (as is already occurring with the integration of Starlink into NATO's military logistics). Space is becoming a testing ground where Marx's thesis is confirmed: for monopoly, there exist no physical boundaries – only the boundaries to the extraction of profit, which it overcomes through a technological leap – and simultaneously, what Engels wrote of is demonstrated: the concentration of production in the hands of an ever-narrower circle of monopolies necessarily drives capitalism towards direct state or quasi-state socialisation of infrastructure, thereby preparing, against its own will, the material prerequisites for its future expropriation.

CREDIT, FICTITIOUS CAPITAL, AND THE DEBT NOOSE

Credit serves as the lubricant of the system. Yet Marx, in Chapter XXVII of Volume III of *Capital*, did not stop there, but dialectically pointed to the dual character of credit:

«The two characteristics immanent in the credit system are, on the one hand, to develop the incentive of capitalist production, enrichment through exploitation of the labour of others, to the purest and most colossal form of gambling and swindling, and to reduce more and more the number of the few who exploit the social wealth; on the other hand, to constitute the form of tran-

*sition to a new mode of production. It is this ambiguous nature, which endows the principal spokesmen of credit from Law to Isaac Pereire with the pleasant character mixture of swindler and prophet».*⁶

Today, as the crisis of profitability sharpens, this lubricant is transformed into fuel, inflating the bubbles of fictitious capital.

Aggregate global debt, according to data from the Institute of International Finance, reached a record \$348 trillion by 2026. Under conditions of elevated interest rates, the servicing of this debt becomes a pump extracting value from countries with a lower organic composition of capital. The case of Japan is instructive: for decades, Tokyo deliberately pursued the weakening of the yen by maintaining an extremely low and even negative key rate, as an instrument for combating deflation and supporting exports. But by 2026, this managed depreciation had grown into an uncontrolled one – the yen collapsed to a forty-year low, despite currency interventions amounting to tens of billions of dollars and the raising of the base rate by the Bank of Japan to a thirty-one-year high. It is significant that even these measures failed to arrest the decline: the government is now compelled to defend itself against the very mechanism it had previously employed deliberately. This vividly demonstrates a general law: in the era of the domination of fictitious capital over real accumulation, no national state – including once exemplary exporters – can, by its own will, manage the exchange rate if it is not backed by a sufficient mass of surplus value; the exchange rate is transformed from an instrument of policy into a symptom of accumulated debt burden.

The debt noose is tightening even at the very centre of the world system of capital. The sharp intensification of political pressure on the Federal Reserve – in January 2026, the US Department of Justice initiated criminal proceedings against the former head of the Fed, while the new chairman who succeeded him in May had already, by June, abandoned the traditional interest-rate projections – is a direct manifestation of the fact that monetary authority can no longer serve as a neutral arbiter between the factions of capital. The legend of an independent central bank, standing above the fray, was always just a legend – a convenient fiction of the era of relative stability; when the ground begins to slip from under one's feet, the priests of the monetary cult swiftly discov-

6 - K. Marx. *Capital*, Vol. III: Chapter 27 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch27.htm>

er that their temple belongs to a thoroughly earthly, thoroughly self-interested proprietor. The fact that the rate has been held at 3.5–3.75 per cent for four consecutive meetings, while the inflation forecast has been simultaneously raised, is a precise symptom of the impasse: to lower the rate under conditions of a military-inflationary shock means to devalue the debt definitively, while to hold it means to strangle the already stagnating real sector.

This same debt noose serves as an instrument of direct expropriation of countries with a lower organic composition of capital. The policy of high interest rates in the old imperialist metropolises provoked, in 2024–2026, a cascade of sovereign defaults in a number of countries in Africa and Asia. The financial institutions of imperialism (the IMF and the World Bank) exploit this crisis to impose their dictate: in exchange for debt restructuring, total privatisation of ports, water utilities, and electrical grids are demanded. This is a form of forcible centralisation of capital, in which transnational monopolies purchase at a pittance the material productive forces of entire nations, enmeshed in the networks of loan capital.

Parallel to this, state-monopoly capitalism is preparing a revolution in the very nature of money. The introduction of central-bank digital currencies (CBDCs) is not merely a technological refinement of circulation, but a transition to total control over the consumption of variable capital. Programmable money provides the bourgeois state with an unprecedented instrument of class dictatorship: the capacity, at the click of an algorithm, to suppress any class resistance. Money is definitively transformed from a universal equivalent into a direct electronic collar for the proletariat, marking the complete, technically consummated fusion of financial capital with the repressive machine of the state.

The detachment of fictitious capital from material accumulation is most vividly apparent in the boom of artificial intelligence. The market capitalisation of Nvidia alone exceeded \$5 trillion by the end of 2025, while in parallel, bitcoin experienced by mid-2026 its worst collapse in four years, losing approximately one-third of its value since the beginning of the year. This polarisation shows precisely where surplus capital flows in search of at least a formal anchorage to the real process of production. But it would be an error to regard this bubble as a mere hallucination of investors. The speculative capital of the AI sector functions as a gigantic pump

that, through monopoly prices, patents, and platform rent, extracts real surplus value produced by millions of wage workers throughout the world. At the same time, a study by MIT demonstrated that 95 per cent of organisations receive no measurable return whatsoever from their multi-billion-dollar investments in generative AI – what we face is a classic crisis of realisation. Here it is appropriate to recall the tale of the Emperor’s New Clothes; however, the modern stock-market analyst is far more cynical than Andersen’s characters – he sees perfectly well the emptiness of the balance sheets, yet is obliged to sing their magnificence under pain of immediate expulsion from his “workplace”. The illusion of “capital begetting capital without the participation of labour” has reached its apogee here.

THE CENTRALISATION OF CAPITAL AND STATE-MONOPOLY DIRIGISME

Competition over an ever-receding profit logically culminates in monopoly. The infrastructure of artificial intelligence has become, by 2026, precisely such a sphere of hyper-centralisation: trillion-dollar investments in data centres, energy, and semiconductors sharply raise the organic composition of capital while simultaneously entrenching control over these capacities in the hands of a narrow circle of corporations.

It is instructive to observe how the ruling class reacts to any resistance to this centralisation. When a local public campaign unfolded against the construction of artificial intelligence data centres with a combined cost of \$23.6 billion in the United States, the bourgeois press and the investigative agencies preferred not to examine the material grievances of the protesters, but instead linked the organisers to the figure of a supposed foreign sponsor, immediately transferring the conflict onto the plane of “national security”. This device is as old as class conflict itself: every time the dispossessed protest against the water or land taken from them, there is always an obliging publicist ready to declare them a foreign agent, if only to avoid acknowledging that this protest is flesh of the flesh of internal, domestic, thoroughly home-grown contradictions of capital.

The state defends centralised capital not only through repressive-ideological means within the country – it also organises its positioning on the world arena, securing for national capital those segments of the technological chain where it is capable of maintaining a monopoly advantage. On both sides

of the Pacific, market competition is increasingly intertwined with state intervention that determines the very field of this competition. Patent statistics record the result of this intervention – a rigid division of labour between national blocs of monopoly capital: American capital concentrates on generative models with the highest value added, while Chinese state-monopoly capital seizes the lead wherever physical control is at stake – robotics, biometrics, computer vision.

The same logic of redividing the already divided world among blocs of financial capital manifests itself not only in the partition of spheres of technological application – the upper tiers (generative models) for American capital and the lower tiers, associated with physical control (robotics, biometrics, computer vision), for Chinese state-monopoly capital – but also in the competition for control over the redivision of raw-materials markets. Instructive in this regard is the financing by the European Bank of the creation in Kazakhstan of an enterprise for processing refractory gold ores that do not yield to enrichment by traditional methods: what is at stake here is not the seizure of a new raw-materials base as such – the Kazakhstani deposit has long been developed by national capital – but precisely the embedding of European financial capital into a link of the redivision process that had previously remained outside its control. In this way the form of expansion of financial capital, classic for the epoch of imperialism, is consolidated – not through the direct seizure of the source of raw materials, but through control over the technological processing of the already extracted product.

State intervention here reaches its limit. The state no longer acts merely as an arbiter, but as the aggregate national capitalist, assuming upon itself the infrastructural costs of the monopolies – from the American law on supporting chip production to the South Korean semiconductor cluster. The return to aggressive industrial policy definitively buries the epoch of free trade and lays bare what classical imperialism long masked with market rhetoric. As Engels foresaw, the capitalist socialisation of production through trusts and state ownership does not resolve the conflict, but drives it to absurdity: the productive forces outgrow the form of private appropriation so manifestly that the bourgeois state itself is compelled to assume the functions of planning, thereby pointing the proletariat directly along the path to the expropriation of these ready-made mechanisms of administration.

However, the centralisation of capital at the level of infrastructure and state *dirigisme* is only one side of the process. The ready-made mechanisms of administration of which Engels speaks organise not only the means of production, but also the labour engaged in their servicing – and organise it no longer within the boundaries of an individual enterprise or a national labour market, but on the scale of the global chain of accumulation.

THE REAL SUBSUMPTION OF LABOUR: FROM THE FACTORY TO THE GLOBAL CHAIN

Today, capital is restructuring the very technical basis of production – this transition constitutes the real subsumption of labour under capital, which has spread from the localised factory to transnational logistics, outsourcing, and platform-based employment.

A vivid embodiment of this shift is the fully automated “dark factory”. Yet within the framework of the concept of the collective worker, the automated node does not exclude living labour from the system; rather, it relies upon its most brutal exploitation at other links in the same chain – in the extraction of rare-earth metals, the assembly of servers, and the annotation of datasets by millions of “digital drudges” for a pittance. The enlightened philistine, admiringly contemplating the miracles of AI on his screen, stubbornly refuses to see that behind the façade of the algorithm stands the very same worker whom Marx and Engels described in the English manufactories – except that now he sits before a flickering monitor in the slums of Nairobi or Manila, burning out his eyesight for cents.

The same process is engulfing mental labour: striking evidence of this is the sharp devaluation of the skilled labour of programmers and analysts against the backdrop of mass redundancies in the IT sector – in January 2026 alone, American companies eliminated over 108,000 jobs, more than doubling the figure of a year earlier – as well as the phenomenon of “AI-washing”, whereby the stock market penalises corporations for public plans to expand their workforce.

Here, the function of the machine as a powerful weapon of war against the workers’ movement, described by Marx in Volume I of *Capital*, manifests itself with particular clarity. By 2026, generative artificial intelligence is being utilised by monopolies not so much for the genuine enhancement of the productivity of social labour, but as an instrument of direct

strike-breaking and blackmail against the proletariat of mental labour (programmers, scriptwriters, designers). Capital threatens them with replacement by algorithms in order to drive down the price of their labour-power and destroy the conditions of their employment, reducing complex labour to the level of simple labour. Moreover, AI is becoming a most potent ideological apparatus of the bourgeoisie. The mass production of machine-generated disinformation, deepfakes, and informational noise is deliberately destroying the very space of objective truth. The bourgeoisie exploits this total fragmentation of reality to disorient the masses of wage workers, striving to render class solidarity impossible under conditions where the proletariat is artificially plunged into a chaos of fabricated illusions by the bourgeois propaganda machine.

OVERACCUMULATION AND THE PHYSICAL RESOLUTION OF THE CRISIS

When the rate of profit falls while the mass of capital grows, a crisis of overaccumulation ensues. An economic crisis devalues capital only partially; a more radical resolution is provided by war – the direct physical destruction of constant and variable capital, which reduces the denominator in the formula of profit and opens up space for a new cycle of accumulation. It is important to note: there is no direct, automatic transition from this structural contradiction to a concrete war – it is always mediated by the political decisions of specific states.

The establishment in Davos in January 2026 of a “Council of Peace”, chaired by the President of the United States, united Israel and the monarchies of the Persian Gulf around a single objective – the financing of post-war reconstruction. Hardly any pamphleteer of the past could have depicted a more overt allegory of capitalist cynicism than the reality of this institution: yesterday’s suppliers of bombs become today’s contractors for reconstruction, and the ruins left by a shell are instantly appraised by the developer as a promising construction site. Masses of speculative capital rush into the resulting vortex, transforming devastated city blocks into super-profitable investment portfolios. The fragility of the truce itself between Washington and Tehran demonstrates that such pauses are merely tactical intervals preceding a new round of redivision of control over the circuits of value circulation.

In parallel, the ongoing war in Eastern Europe demonstrates the same logic of capital devaluation in a more protracted form. Instructive in this regard are both the nervousness of the ruling classes of the Western bloc on the eve of the NATO summit and the political instability in Israel: the economic function of war and its political cost constitute two distinct, albeit interconnected, levels of analysis.

THE METABOLIC RIFT: THE EXHAUSTION OF NATURE AND THE WORKER

The pursuit of the rate of profit predatorily exhausts both sources of all material wealth – nature and the worker himself. In Volume I of *Capital*, Marx formulates this as follows:

*«Capitalist production [...] develops technology, and the combining together of various processes into a social whole, only by sapping the original sources of all wealth – the soil and the labourer».*⁷

And furthermore:

*«Capitalist production, by collecting the population in great centres, and causing an everincreasing preponderance of town population, on the one hand concentrates the historical motive power of society; on the other hand, it disturbs the circulation of matter between man and the soil, i. e., prevents the return to the soil of its elements consumed by man in the form of food and clothing; it therefore violates the conditions necessary to lasting fertility of the soil. By this action it destroys at the same time the health of the town labourer and the intellectual life of the rural labourer».*⁸

According to data from the International Energy Agency, energy consumption by data centres is growing at 12 per cent annually – four times faster than global rates. It is precisely against this backdrop that the clash of interests surrounding data-centre construction in the United States acquires its true material underpinning: behind the disputes over “national security” lies a physical conflict over water and electricity between the algorithms of capital accumulation and the conditions of reproduction of the local population.

A glaring manifestation of this metabolic rift has been the long-term agreements concluded by technology giants (Microsoft, Amazon) to purchase, decades in advance, all or nearly all of the generation capacity of individual nuclear power plants – up to and including the resumption of operations at the mothballed Three Mile Island nuclear plant (Pennsylvania) ex-

7 - Marx K. *Capital*. Volume I // Karl Marx, Frederick Engels: Collected Works. – London: Lawrence & Wishart, 2010. – Vol. 35. – Pp. 507–508.
8 - Ibid. Pp. 506–507.

clusively to serve Microsoft's AI clusters. Formally, the stations remain in the hands of energy corporations, but their production programme is entirely subordinated to the logic of capital servicing computing capacities: the contractually fixed share of baseload generation is withdrawn from the region's overall energy balance, which is already affecting wholesale electricity prices for households and industry. This is a concrete, empirically verifiable instance of a more general law: social labour, objectified in energy infrastructure, is subordinated not to the reproduction of the conditions of life of society, but to the uninterrupted functioning of capital in its most speculative, AI-centric segment – the very segment whose market capitalisation largely constitutes fictitious capital, detached from realised profit. Working-class districts, meanwhile, are left with the threat of power outages and a rapid rise in tariffs.

Capital, in this respect, remains invariably true to itself: it is incapable of assimilating the simplest lesson of the farmer – that the soil from which one draws the harvest must periodically be restored to life – and therefore, like an insatiable ancient deity, demands ever new sacrifices from the very soil it exhausts, whether in the literal or figurative sense of the word. In the *Dialectics of Nature*, Engels demonstrated that one cannot rule over nature with impunity, as a conqueror rules over an alien people; nature takes revenge for every such violation of its laws through the anarchy of capitalist production.

This same metabolic rift capital cynically attempts to transform into a new frontier of accumulation, constructing so-called "green capitalism". Behind the screen of the "energy transition", world imperialism has unleashed an unprecedented race for raw materials (lithium, cobalt, copper, nickel). A new imperialist redivision of the natural wealth of Africa and Latin America is underway. The monstrous exploitation of Congolese miners or Latin American workers on lithium salt flats constitutes the genuine material basis of the "clean" economy of the old imperialist metropolises. Simultaneously, the bourgeoisie cultivates new forms of fictitious capital – carbon markets. Emissions trading has been transformed into a gigantic speculative bubble, allowing monopolies to purchase indulgences for pollution. Capital vainly attempts to resolve the ecological contradiction through commodification – turning into a commodity the very right

to breathe, creating speculative fictitious capital out of living nature itself, and subordinating the salvation of the planet to that same logic of extracting maximum profit.

THE RESERVE ARMY OF LABOUR

Capital systematically produces a surplus population relative to its needs in variable capital. The sharp growth in labour productivity under capitalism – above all, the rise in the organic composition of capital, which displaces living labour with machine labour – has fundamentally altered the very model of population reproduction, a phenomenon designated in bourgeois science as the *demographic transition*. Countries with a lower organic composition of capital undergo this transition far earlier than they manage to accumulate wealth comparable to that of the old industrial powers. This strikes particularly hard at Eastern Europe, where the post-war generations reaching retirement age have no one to replace them – all the more so under conditions where this very part of the continent simultaneously serves as the front line of a protracted war. This is not a managerial miscalculation, but a natural result: the physical limits of the exploitation of human material have been exhausted on the global scale of accumulation.

ON THE EVE OF WORLD WARS: THREE EPOCHS OF A SINGLE CONTRADICTION

Talk of the approach of a new world war, regularly heard today both in the bourgeois press and in the milieu of the communist left, demands not an emotional assessment, but a rigorous comparison of the structural conditions of three epochs through one and the same categorical prism: the organic composition of capital, the rate of profit, overaccumulation, and the unevenness of development of rival national capitals.

The eve of 1914. By the beginning of the twentieth century, the world market had already been completely divided territorially among the colonial powers. The Second Industrial Revolution – steel, chemistry, electricity – sharply raised the organic composition of capital and gave rise to the first wave of genuine monopoly, the financial capital, representing bank capital fused with industrial capital, of which Lenin wrote. The decisive structural fact was precisely this: the economic weight of individual powers grew unevenly, yet the redivision of already divided colonial possessions and spheres of influ-

ence was possible only by force, because no free territories remained for peaceful expansion. Germany, having surpassed Great Britain in the volume of industrial production, remained an incomparably more modest colonial power – this gap between economic might and territorial share could not be rectified by negotiation. The first wave of economic globalisation at the end of the nineteenth century was already accompanied at that time by the growth of protectionism (the German and American tariffs of the 1880s–1890s), the naval arms race, and a system of rigid military alliances – that is, a structure remarkably similar to the present fragmentation, but with one fundamental difference: the world market of that era had not yet exhausted the reserves of colonial and semi-colonial expansion, and the war itself was initially conceived by its participants as a swift campaign, not as total exhaustion.

Under these conditions, the decisive test for the world proletariat became the position of its political vanguard. The collapse of the Second International – the “flower” of European social democracy – was not merely a political catastrophe, but the natural result of years of the domination of opportunism: parties that had for decades sworn allegiance to proletarian internationalism overnight, in August 1914, passed over to the positions of social chauvinism, unanimously voting for the war credits of their governments. The solitary voice of Karl Liebknecht, who rose against this disgrace in the German Reichstag, only underscored the depth of the betrayal by the official leaders. Karl Kautsky, that renegade, attempted to cover the shame with the theory of “ultra-imperialism” – a fairy tale about the peaceful collusion of world trusts without wars. The artillery on the Marne shattered this philistine nonsense to splinters within a few months. This disgraceful rout of opportunist apologetics definitively proved: so long as the proletariat remains captive to conciliationist illusions, imperialist capital will with impunity utilise the productive forces of society for its physical annihilation.

The eve of 1939. Here, the contradiction sharpened in a different manner. The crisis of overproduction of 1929 laid bare the overaccumulation of capital, for which the partial devaluation during the Great Depression proved insufficient: mass unemployment and idle capacities persisted for years. The collapse of the gold standard and the wave of competitive currency devaluations shattered the world market into closed, autarkic currency and trading blocs – the Brit-

ish “imperial preference” zone based on sterling, the German “Greater Economic Area”, the Japanese “Co-Prosperity Sphere”. Unlike 1914, when the territorial redivision of the world was nearly complete, by 1939 the very structure of the world market had already been broken into protectionist blocs well before the commencement of hostilities, and state-monopoly regulation – forced rearmament as a means of absorbing surplus capacities and labour-power – became a common feature of all major powers regardless of their political regime. It was precisely in this epoch that state-monopoly capitalism as such was definitively consolidated: capital could no longer rely upon the “invisible hand” of the market for its own reproduction and demanded direct fusion with the state apparatus.

And once again, opportunism, having changed its mask, demonstrated its inseparable connection with the bourgeois state apparatus: if in the Stalinist Comintern the betrayal of proletarian internationalism was cloaked in the sophistry of “realpolitik” and manoeuvring between imperialist predators, which ultimately culminated in shameful complicity in the imperialist partition, then Western social democracy once again assumed the role of voluntary jailer of the proletariat, under the pretext of combating fascism in reality driving the working class into the stall of “national unity” to serve the interests of “its own” imperialist fatherland – thereby, in new historical scenery, repeating precisely the social-chauvinist betrayal of 1914.

The present situation. Today’s fragmentation of the world market is structurally closer precisely to the eve of 1939 than to that of 1914 – a conclusion indicated by the entire logic of the analysis presented above. What is at stake is not the division of yet unexploited territories, but the disintegration of an already established, deeply integrated system of global supply chains into protectionist blocs: the tariff fever of Washington, the forced, accelerated signing of trade agreements bypassing former partners, “friend-shoring”, sanctions regimes, and systems of export control over technology – all these are functional analogues of the autarkic blocs of the inter-war period, only constructed around new nodes of accumulation: semiconductors, rare-earth metals, the infrastructure of artificial intelligence. As in the 1930s, state-monopoly dirigisme once again becomes the norm rather than the exception, and, as then, forced rearmament (the European SAFE programme, the conversion

of the economies of a whole series of countries into “war economies”, the colossal growth in defence expenditure of Russian imperialism) fulfils the same dual function: the absorption of surplus capital through state demand and preparation for direct military collision. The unevenness of development manifests itself today above all in the gap between the economic weight of China – whose share in world industrial production and world trade has long exceeded the framework assigned to it by the former distribution of roles, constructed around the dollar and the institutions of the post-war order – and its formal place within that system; structurally, this is the same type of contradiction as the gap between Germany’s industrial might and its colonial possessions on the eve of 1914, although the historical form in which it manifests itself today is fundamentally different.

And how nauseatingly recognisable is today’s parade of petty “useful idiots” of the bourgeoisie! Some, hiding behind the signboard of “anti-imperialism”, bless any aggression and annexation, provided it emanates from a capitalist regime they have designated “progressive”. Others, donning the toga of Tolstoyan pacifism, shed tears and implore an abstract “peace”, trembling to their very knees at the prospect of uttering the simple Leninist truth: the *only path to peace* is the transformation of the imperialist war into a civil war. Contemporary opportunism attempts to sit between two chairs at the very moment when history is shifting those chairs over an abyss. This parade of social chauvinists and petty apologists of “multipolar” imperialism must be ruthlessly exposed as the direct agency of the bourgeoisie within the workers’ movement.

It is precisely this different form that demands particular caution in drawing conclusions. Three circumstances distinguish the present crisis from both preceding epochs and do not permit a mechanical extrapolation of the former scenario. Firstly, the possession of nuclear weapons by all principal centres of accumulation renders direct military collision between them a form of self-destruction of the productive forces incomparable in the scale of devastation even with the experience of the two previous world wars, and consequently alters the very logic of mutual deterrence: the imperialist confrontation of the leading powers is already today displaced into the form of mediated, regional wars (Eastern Europe, the Middle East, potentially South Asia and the Taiwan Strait) and hybrid, non-military

forms of struggle – tariff wars, sanctions, cyberattacks on infrastructure – that is, into forms permitting the partial fulfilment of the function of devaluation of capital without direct collision between its nuclear centres. Secondly, the level of mutual intertwining of capitals through global production and financial chains is today immeasurably higher than in 1914 or even 1939, which renders a complete, “clean” split of the world market into autarkic blocs a more prolonged and costly process than in the inter-war period; hence the peculiar mixture observable today of escalation and continuing economic interdependence (the preservation of a significant portion of trade turnover between formally hostile blocs even at the peak of sanctions pressure). Thirdly, the organic composition of world capital itself is today incomparably higher than in both preceding epochs, and the planetary ecological limits – the exhaustion of the capacity of the world metabolism to withstand further strain – impose upon the process of overaccumulation a constraint that existed neither in 1914 nor in 1939: the devaluation of surplus capital through physical destruction today takes place against the backdrop of an already undermined, rather than still intact, natural basis of reproduction.

From this comparison there follows not a reassuring, but an alarming conclusion. The objective structural pressure – the unevenness of development of the imperialist powers, the overaccumulation of capital, the exhaustion of the reserves of peaceful market expansion – is today as real as on the eve of both preceding world wars, and is clothed in historically recognisable forms: protectionist blocs, forced rearmament, state-monopoly dirigisme. But the factors restraining its direct resolution through total war between the principal centres of accumulation are likewise real and structurally new. The most probable tendency of the current period, therefore, is neither a repetition of 1914 nor an exact reproduction of 1939, but a protracted epoch of escalating regional and hybrid wars, trade and financial conflicts, each of which partially fulfils the function of devaluation of surplus capital, without thereby resolving the fundamental contradiction and leaving open the possibility of their subsequent escalation into a direct collision between the greatest powers – a possibility whose realisation depends no longer upon the economic logic of capital alone, but upon the concrete alignment of class forces and, ultimately, upon whether the world pro-

letariat can oppose to this logic its own, internationalist political force.

CONCLUSION: THE REALM OF NECESSITY AND THE TASKS OF THE REVOLUTIONARY VANGUARD

Structural analysis sets the framework, but does not directly dictate political tactics: the transition from the contradictions of capital to concrete organisational decisions requires an independent assessment of the alignment of class forces in each country. The only principled way out of this impasse was formulated by Marx in Volume III of *Capital*:

*«With his development this realm of physical necessity expands as a result of his wants; but, at the same time, the forces of production which satisfy these wants also increase. Freedom in this field can only consist in socialised man, the associated producers, rationally regulating their interchange with Nature, bringing it under their common control, instead of being ruled by it as by the blind forces of Nature; and achieving this with the least expenditure of energy and under conditions most favourable to, and worthy of, their human nature. But it nonetheless still remains a realm of necessity. Beyond it begins that development of human energy which is an end in itself, the true realm of freedom, which, however, can blossom forth only with this realm of necessity as its basis. The shortening of the working-day is its basic prerequisite».*⁹

From this perspective flow the practical tasks of communists: the struggle against economism, demonstrating to workers the connection between their depreciating earnings and the global dictatorship of financial capital; the organisation of independent strike committees at logistical and energy nodes, where the new objective force of the proletariat has become concentrated; the exposure of the fact that digitalisation and local conflicts around AI infrastructure are masked as questions of “national security”, whereas in reality they are questions of a direct clash between the interests of capital and the conditions of reproduction of the working class; and, finally, the practical embodiment of proletarian internationalism – the building of real organisational links across state and national borders.

The first shoots of this new resistance are already breaking through the asphalt of corporate dictatorship. By 2026, we observe an awakening of class consciousness precisely where the bourgeoisie expected

to see only its obedient clerks: within the very bowels of the technological monopolies. The protests of engineers at Google and Amazon against military contracts (such as “Project Nimbus”) demonstrate that the proletariat of mental labour is beginning to recognise its role in creating the instruments of imperialist war and algorithmic terror. These attempts to sabotage the militarist machine of capital from within – the refusal to write code for the killing of one’s own class comrades – mark a momentous shift: the transition from craft trade-unionism to political struggle against the capitalist state itself.

But to confine oneself to strike struggle is to condemn the class to defeat. The experience of a century ago is inexorable: trade-union struggle is capable only of mitigating the conditions of sale of labour-power, but not of destroying the system of wage slavery. The task of the revolutionary vanguard consists in forging from the disparate detachments of the proletariat a new type of political party. The main blow today must be directed against contemporary opportunism – those very “useful idiots” who wear the mask of Marxism, but in reality call upon the working class to choose the “lesser evil” among imperialist predators.

As a century ago, history poses to the workers’ movement the question: are we a class *for itself*, or merely silent cannon fodder *for alien stock exchanges* and *alien general staffs*? Freedom will not fall from the sky, nor will it be granted in Davos by a “Council of Peace”. The answer is forged in the strike, in the readiness to tear the masks from governments and to call war by its name, rather than a “special operation to restore stability”. The economic logic of capital objectively drives the world into the abyss, but only the subjective factor – the iron, disciplined, and international political force of the proletariat – is capable of closing its hands around the throat of this moribund system.

But the definitive answer will be given only at the moment when the proletariat, armed with advanced Marxist theory, transforms the imperialist war into a civil war. Only a revolutionary party, prepared to smash the bourgeois state machine and establish the dictatorship of the proletariat, will be capable of taking humanity away from barbarism.

July 2026

⁹ - K. Marx. *Capital*, Vol. III: Chapter 48 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/subject/hist-mat/capital/vol3-ch48.htm>

THE ANATOMY OF DECAY

FROM THE MATHEMATICS OF CRISIS TO WORLD WAR. WHY CAPITALISM HAS NO FUTURE

This article presents a Marxist analysis of the current stage of decay of the global capitalist system. Against the backdrop of the illusory triumph of digital technologies, artificial intelligence and algorithmic logistics, the world economy is plunging into an abyss of debt, stagnation and escalating inter-imperialist conflicts. To lay bare the true roots of this paradox, whereby the unprecedented development of the productive forces gives rise to social catastrophe, it is necessary to set aside the superficial explanations of bourgeois political economy and turn to the fundamental core of Marxism – the law of the tendency of the rate of profit to fall. Tracing the development of Marxist thought through the prism of the sharp theoretical debates of the 20th century – from the examination of Lenin and Bukharin’s critique of Rosa Luxemburg’s theories of underconsumption to Henrik Grossman’s mathematics of collapse – the text reveals the objective dialectic of capital. The article demonstrates step by step that total financialisation, platform-based super-exploitation and the current escalation of militarism are not random deviations from the norm, but spasmodic, barbaric mechanisms for saving the system from absolute over-accumulation. Capitalism will not collapse automatically because of a lack of markets, but its internal mathematics confronts humanity with an inevitable historical ultimatum: either the conscious revolutionary destruction of capitalism, or the descent of the world into a global bloodbath.

Contemporary global capitalism is an unprecedented historical paradox. We live in an era of staggering technological triumph: artificial intelligence writes code, robotised factories churn out electronics, and algorithms manage global logistics. The annihilation of space through time – what Marx called the immanent tendency of capital – has reached its limit in instantaneous financial transactions and ultra-fast supply chains.

Yet for all this, the world economy is suffocating under the weight of global debt. The real incomes of the working class have stagnated for decades, while international tensions have reached levels reminiscent of the eve of the world wars.

To understand how technological abundance gives rise to social catastrophe, we must dust off a tool that bourgeois political economy has worked so hard to bury – the law of the tendency of the rate of profit to fall. Attempts to revise this law began a hundred years ago and continue to this day. Yet history inexorably confirms that the objective mathematics of capital leads the system not towards a linear and automatic collapse, but towards an era of increasingly destructive crises, from which there is only one of two possible ways out: either through social revolution, or through the descent of the world into barbarism.

THE TRAGEDY OF ROSA LUXEMBURG, THE UNDERCONSUMPTION TRAP AND THE EXPORT OF CAPITAL

Bourgeois political economy has always sought to pass off the historically transient laws of capitalism as eternal laws of nature, disregarding precisely that specific feature which makes an instrument capital – the exploitation of the labour of others. Economists such as Bastiat seriously believed that antiquity existed solely through politics and plunder, failing to understand that even centuries of plunder require the constant renewal of the object of plunder – that is, an economy and a specific mode of production. Yet throughout the 20th century, even among Marxists themselves, there was a fierce theoretical struggle over the fundamental cause of the system's disharmonies. The epicentre of this struggle was Rosa Luxemburg's seminal work *The Accumulation of Capital*, published in 1913.

The strength of this work lay in its brilliant historical analysis of imperialism. Luxemburg ad-

vanced the thesis that capitalism is organically incapable of expanded reproduction in its pure form, that is, in a system consisting solely of capitalists and workers. To realise surplus value, it is vitally dependent on an external, non-capitalist environment – peasant households, artisans and colonies. From this followed a radical conclusion: primitive accumulation is not a historical stage in the genesis of capital that has already been passed, but a permanent condition of capital itself. Luxemburg herself formulated the inseparable link between the capitalist economy and direct extra-economic plunder as follows:

«The other aspect of the accumulation of capital concerns the relations between capitalism and the non-capitalist modes of production which start making their appearance on the international stage. Its predominant methods are colonial policy, an international loan system – a policy of spheres of interest – and war. Force, fraud, oppression, looting are openly displayed without any attempt at concealment, and it requires an effort to discover, within this tangle of political violence and contests of power, the stern laws of the economic process.

Bourgeois liberal theory takes into account only the former aspect: the realm of “peaceful competition”, the marvels of technology and pure commodity exchange; it separates it strictly from the other aspect: the realm of capital's blustering violence, which is regarded as more or less incidental to “foreign policy”, and quite independent of the economic sphere of capital.

In reality, political power is nothing but a vehicle for the economic process. The conditions for the reproduction of capital provide the organic link between these two aspects of the accumulation of capital. The historical career of capitalism can only be appreciated by taking them together. “Sweating blood and filth with every pore from head to toe” characterises not only the birth of capital but also its progress in the world at every step, and thus capitalism prepares its own downfall under ever more violent contortions and convulsions».¹

However, a Marxist critique of Luxemburg's concept should not be directed against her historically accurate description of imperialist violence, but against the theoretical reduction of the mechanisms of accumulation to this direct plunder. The error of the concept of *permanent primitive ac-*

1 - R. Luxemburg. *The Accumulation of Capital*: Section Three, Chapter 31 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/luxemburg/1913/accumulation-capital/ch31.htm>

cumulation lies in conflating the historical inception of the system with its normal, day-to-day functioning, thereby obscuring the unique nature of capitalist exploitation.

For classical Marxism, primitive accumulation is a one-off act, in historical terms, of the violent separation of the producer from the means of production. Once the capitalist system stands on its own feet, the need for armed plunder as the foundation of the economy disappears. It is replaced by a legalised and systematic mechanism for the appropriation of unpaid labour. Karl Marx stated this transition unequivocally:

*«Direct extra-economic force is still of course used, but only exceptional cases. In the ordinary run of things, the worker can be left to the “natural laws of production”, i.e. it is possible to rely on his dependence on capital, which springs from the conditions of production themselves, and is guaranteed in perpetuity by them».*²

Reducing accumulation primarily to violent expansion pushes Marxist political economy back towards the positions that Friedrich Engels harshly criticised in his polemic against Dühring:

*«Wherever private property evolved it was the result of altered relations of production and exchange, in the interest of increased production and in furtherance of intercourse – hence as a result of economic causes. Force plays no part in this at all. Indeed, it is clear that the institution of private property must already be in existence for a robber to be able to appropriate another person’s property, and that therefore force may be able to change the possession of, but cannot create, private property as such».*³

It is precisely here, in Rosa Luxemburg’s attempt to provide a political-economic justification for the necessity of constant external expansion, that the root of the problem lies. While Rosa Luxemburg’s insight was unrivalled in describing the political diktat of capital, it failed her in the sphere of rigorous political-economic theory.

What, then, was Luxemburg’s actual theoretical error concerning the question of realisation? For a long time, Marxist literature – and Stalinist literature to an even greater extent – was dominated by the simplified view that Luxemburg’s main error was that she remained trapped in “Smith’s

dogma” and mechanically extended the problem of the realisation of articles of consumption (Department II) to the entire mass of values produced. In other words, she was accused of ignoring the primacy of productive consumption over personal consumption and of failing to understand that capital creates a market for itself by absorbing elements of constant capital (means of production), regardless of the limits of the purchasing power of final consumers.

This interpretation, which was reproduced in Stalinist textbooks on political economy, formally drew on the polemic conducted by Lenin and Bukharin against Luxemburg. Thus, in March 1913, immediately after the publication of the book, Lenin delivered a harsh verdict in a private letter to Kamenev:

*«I have read Rosa’s new book “Die Akkumulation des Kapitals”. She has got into a shocking muddle. She has distorted Marx. I am very glad that Pannekoek and Eckstein and O. Bauer have all with one accord condemned her, and said against her what I said in 1899 against the Narodniks».*⁴

What, then, was this fundamental error of the Narodniks (V. Vorontsov and N. Danielson) which, in Lenin’s view, Luxemburg repeated? The Narodniks, as the direct heirs of Jean Sismondi’s economic romanticism, argued that since capitalists underpay workers, the latter are unable to purchase the entire mass of goods produced. From this they concluded that the domestic market was inevitably shrinking and that, without external markets, capitalism was doomed to collapse because of the masses’ under-consumption. Lenin had already demonstrated the fallacy of this view at the end of the 19th century. He showed that under capitalism, the domestic market grows not so much through articles of personal consumption (food, clothing, etc. – Department II) as through means of production (machinery, raw materials, etc. – Department I). Capitalism produces for the sake of the self-expansion of value, not for the satisfaction of human needs; therefore, up to a certain point, coal mines and engineering works generate enormous demand for one another, regardless of how much calico impoverished workers can actually buy in the current cycle.

Drawing on Marx’s *Capital*, Lenin summarised:

2 - K. Marx. *Capital*, Vol. I: Chapter 26. Translated by Ben Fowkes. New York: Vintage Books, 1977. P. 899

3 - F. Engels. *Anti-Dühring*: Chapter 14 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1877/anti-duhring/ch14.htm>

4 - V. Lenin. *Letter to L. B. Kamenev* (before March 29, 1913) // Marxists Internet Archive. URL: <https://www.marxists.org/archive/lenin/works/1913/mar/00lbk.htm>

«The development of production (and, consequently, of the home market) chiefly on account of means of production seems paradoxical and undoubtedly constitutes a contradiction. It is real “production as an end in itself” – the expansion of production without a corresponding expansion of consumption. But it is a contradiction not of doctrine, but of actual life; it is the sort of contradiction that corresponds to the very nature of capitalism and to the other contradictions of this system of social economy. It is this expansion of production without a corresponding expansion of consumption that corresponds to the historical mission of capitalism and to its specific social structure: the former consists in the development of the productive forces of society; the latter rules out the utilisation of these technical achievements by the mass of the population. There is an undoubted contradiction between the drive towards the unlimited extension of production inherent in capitalism, and the limited consumption of the masses of the people (limited because of their proletarian status)».⁵

This is a crucial theoretical clarification. Does this mean that the revolutionary Marxist Luxemburg consciously became a petty-bourgeois romantic like Jean Sismondi? Not at all. Luxemburg herself devoted an entire chapter of her book to a scathing critique of Sismondi, who, horrified by the ills of capitalism, proposed slowing down progress and returning to small-scale production. Yet Lenin accurately identified the tragedy of her analysis: in attempting to prove the inevitability of the collapse of imperialism, she made an error in her handling of Marx’s abstractions. By reducing the problem of realisation to the search for final consumers and underestimating the capacity of constant capital (Department I) to generate colossal demand for itself, she objectively, against her own intentions, repeated Sismondi’s old argument that, without external markets, the system would suffocate under the weight of its own commodities.

Here, however, Marxist thought encounters the danger of the opposite extreme – the apologetic theory of “pure” and harmonious capitalism, most clearly formulated by M. I. Tugan-Baranovsky. By making his thesis that the market grows at the expense of the means of production an absolute law, Tugan-Baranovsky argued that Department I could develop entirely independently of Department II, and that capitalism was capable of expanding indef-

initely, even if the personal consumption of the proletarian masses were to fall to zero. Such “production for production’s sake” transformed capitalist anarchy into an ideal, self-sufficient machine.

Bukharin brilliantly refuted this illusion in his book *Imperialism and the Accumulation of Capital* (1925). In it, he argued both against the untenability of Tugan-Baranovsky’s schemes, which severed production from consumption, and against the errors of Rosa Luxemburg. Emphasising the dialectical connection between the branches of production, he showed that Luxemburg’s main political-economic error lay in conflating the natural-material form of the commodity with its value form. Bukharin pointed out that Luxemburg consistently treated the category of consumption exclusively in terms of personal consumption. In asking to whom the capitalists would sell the surplus of commodities produced in a non-capitalist environment, she overlooked the fact that surplus value in Department I exists physically in the form of coal, steel and machinery. Bukharin pointedly remarked that a peasant in a colony has no need for a rolling mill. These means of production are not intended for sale to “third parties”, but for productive consumption by capital itself in the next cycle of expanded reproduction.

However, in demolishing Rosa Luxemburg’s argument about “external markets”, Bukharin simultaneously delivers a crushing blow to Tugan-Baranovsky and his ilk. He demonstrates that the accelerated development of Department I is subject to strict technological limits: constant capital increases not as an abstraction, but because its value is transferred to final articles of consumption. Capital can *temporarily* expand the limits of the masses’ effective demand through mutual demand between industrial sectors, but the independence of Department I is only *relative*. In the final analysis, the capacity of the market for means of production is determined by the capacity of the market for articles of consumption, and when the spontaneous separation of production from final personal consumption reaches its limit, a profound economic crisis erupts, forcibly imposing the disrupted proportions upon the system.

Thus, if we set aside the initial accusations that Luxemburg had slipped into the logic of the proponents of the vulgar theory of under-consump-

5 - V. Lenin. *The Development of Capitalism in Russia*: Chapter I // Marxists Internet Archive. URL: <https://www.marxists.org/archive/lenin/works/1899/dcr8i/i8vi.htm>

tion, we shall see that, although Luxemburg's logic was deeply mistaken, it was nevertheless different. An excerpt from Luxemburg's work, to which V. I. Lenin drew attention, sheds light on this, with Lenin explicitly pointing out that this is where the «*root of the error*» lies.⁶ Luxemburg's logic consists in the following proposition, on which her entire theory rests:

*«The interrelations of accumulating capital and non-capitalist forms of production extend over values as well as over material conditions, for constant capital, variable capital and surplus value alike. The non-capitalist mode of production is the given historical setting for this process. Since the accumulation of capital becomes impossible in all points without non-capitalist surroundings, we cannot gain a true picture of it by assuming the exclusive and absolute domination of the capitalist mode of production».*⁷

Lenin and Bukharin brilliantly exposed the essence of Luxemburg's errors in two profound respects – the theoretical and the historico-methodological.

First, on the theoretical level, Lenin showed that Luxemburg's error lay in her conviction that a "pure" capitalist society produces so many commodities that, in principle, it is incapable of generating sufficient aggregate effective demand – encompassing both consumer and productive demand – to absorb them. She regarded the problem of realisation within pure capitalism as insoluble, failing to see that within it the department producing the means of production (Department I) is capable of developing and creating enormous demand for itself.

Second, from a historico-methodological perspective, Bukharin analysed this error. Luxemburg proceeded from the premise that, since the actual historical development of capitalism takes place in a non-capitalist environment, fundamental theoretical analysis has no right to abstract from that environment. She saw the mechanism of interaction as follows: in order to realise the surplus value destined for accumulation, capitalists sell means of production and arti-

cles of consumption to "third parties", receive money from them, and use that money to purchase the necessary raw materials.

However, Bukharin pointed out that such an approach leads to a profound methodological split and a logical absurdity:

«Does it not seem obvious, then, that if we are not allowed to abstract from the small producers, as Rosa Luxemburg suggests, then we are not allowed to use this abstraction in the investigation of production? If one has to sell woven cloth to the small producers in the "real process", one also has to buy cotton from them in order to produce woven cloth.

*So either one must not abstract from the "third persons", in which case neither must one do it in the analysis of capital production, or one is allowed to, in which case one can also do it in the analysis of the process of accumulation. The dualism of the method leads to an absurdity, as we have shown».*⁸

By replacing a rigorous, abstract theoretical analysis of Marx's schemes of reproduction – which requires one to abstract from the non-capitalist environment – with an empirical-historical description, Luxemburg turned a historical fact into an immutable theoretical law. Hence her fatalistic conclusion: as soon as capitalism had absorbed the entire non-capitalist world, it would inevitably have to collapse because of a complete lack of markets for realisation.

Historical facts refuted this conception. By the end of the 19th and beginning of the 20th century, capitalism had already integrated the last major areas of pre-capitalist backwardness,⁹ yet no collapse occurred. Today, the heirs of this erroneous line of thought continue to assert that the system has entered an era of final decline solely because the world market has been geographically exhausted. By ignoring the law of the tendency of the rate of profit to fall, these currents reduce the highly complex process of the self-expansion of value to the banal problem of the realisation

6 - *Leninskii sbornik XXII* [Lenin Miscellany XXII]. Ed. by M. A. Savelev and V. G. Sorin. Moscow: Partiinoe izdatelstvo, 1933. P. 381. (in Rus.)

7 - R. Luxemburg. *The Accumulation of Capital*: Section Three, Chapter 26 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/luxemburg/1913/accumulation-capital/ch26.htm>

8 - N. Bukharin. *Imperialism and the Accumulation of Capital*: Chapter 26 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/bukharin/works/1924/impacck/ch04.htm>

9 - This process is known as the "division of the world" or the era of "classical imperialism". From the 1860s to the 1880s, the Russian Empire subjugated the Central Asian khanates of Bukhara, Khiva and Kokand, transforming them into a cotton base for Russian industry. Following the suppression of the Boxer Rebellion in 1901 and the division of China into "spheres of influence", the pre-capitalist market of China was forcibly opened up to foreign capital. By 1914, the imperialist powers had divided 90 per cent of Africa among themselves. Internal tribal and feudal structures were forcibly incorporated into world trade as suppliers of raw materials (rubber, gold, copper and cotton). Thus, by 1900–1914, there were virtually no "uncharted" or isolated territories left on the political map of the world. The entire globe had been divided among colonial empires and the spheres of influence of the major powers. The integration of the last remaining areas of backwardness was a pressing necessity for developed capitalism, which had entered the stage of monopoly capitalism.

of commodities, effectively substituting Proudhonism for Marxism.

As Marx so brilliantly put it in Volume III of *Capital*:

«*The real barrier of capitalist production is capital itself*».¹⁰

The problem lies not in a physical shortage of external buyers, but in the internal antagonism of the system. Capitalism is suffocating because the value produced cannot increase indefinitely on the basis of a shrinking share of living labour.

As the Polish Marxist Henryk Grossman¹¹ demonstrated in his work *The Law of Accumulation and Breakdown of the Capitalist System* (1929), in pure capitalism, demand for means of production (constant capital) grows and creates a market for itself. The problem with the system is not that it cannot sell its commodities, but that at a certain stage it encounters a phenomenon that Marx called the absolute over-accumulation of capital. There is a mathematical limit at which the enormous additional capital thrown into production yields no additional surplus value at all because of the enormously increased organic composition of capital.

And here we encounter a striking paradox: a theorist who spent his entire life fighting against theories of under-consumption was later accused of precisely this. In Volume 6 of the collected works of Arrigo Cervetto, the founder of *Lotta Comunista*, Grossman is falsely characterised as an «*acute underconsumptionist*». Cervetto writes:

«*For Grossman, the underconsumption of the proletariat prevents an increase in production and, consequently, further consumption. As a result, the realisation of surplus value is narrowed to such an extent that the organic composition of capital does not rise ...*».¹²

Cervetto made the same methodological error as most of Grossman's opponents: he grossly confused the *crisis of the realisation* of commodities with the *crisis of the self-expansion* of value (a shortage of the absolute mass of profit required for further accumulation). Grossman never claimed that capitalism would suffocate because it was unable to sell commodities within the system. On the contrary, in his model, every commodity successfully finds a buyer. The impasse arises not in the market, but in the workshop: as the organic composi-

tion of capital (c/v) increases, the mass of living labour (v) becomes too small in relation to constant capital (c) to generate a sufficient mass of surplus value (s). It is precisely here that the internal limit to the accumulation of capital arises.

In his principal work, Grossman wrote:

«*This only shows that the problem is not whether there is a surplus of commodities or not. In fact we have assumed a state of equilibrium where, by definition, there can be no unsaleable residue of commodities. Yet still the system must break down. The real problem lies in the valorisation of capital; there is not enough surplus value to continue accumulation at the postulated rate. Hence the catastrophe*».¹³

Grossman's letters to Paul Mattick also serve to refute Cervetto's accusations. In a letter dated 21 June 1931, the Polish Marxist sarcastically mocked his critics' failure to understand the method of *Capital*: «*Someone has ironically said, in criticism of me, that in my book capitalism does not break down because of the misery of the workers but rather because of the misery of the capitalists. This objection does not affect me but rather Bauer. [...] I do not claim that surplus value becomes smaller. It can become larger. And still it is insufficient because accumulation (as it requires an ever greater organic composition) swallows up an ever larger part of the surplus value. [...] Therefore the consumable portion of the surplus value, the part available for additional workers [...] and that available for the consumption of the capitalists themselves [...], becomes smaller and smaller both relatively and absolutely. [...] But I wanted to show that the class struggle alone is not enough. The will to bring it down is not sufficient*».¹⁴

According to Grossman, capital does not run up against the limits of the masses' effective demand, but against Marx's absolute over-accumulation: additional capital is absorbed into production, but, owing to a shortage of unpaid living labour, it no longer produces any additional profit.

Lenin's analysis of imperialism, long before this debate began, struck a blow against the illusions of under-consumption and confirmed the validity of the Marxist core. Lenin showed that capitalism crosses national borders not simply in search of buyers for its calico and machinery. The export

10 - K. Marx. *Capital*, Vol. III: Chapter 15 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch15.htm>

11 - A specific critique of Grossman is not the subject of this article and requires a separate treatment.

12 - Cervetto A. *Opere complete*. Vol. 6: L'involucro politico. Milano: Edizioni Lotta Comunista, 2015. P. 328.

13 - Grossman H. *The Law of Accumulation and Breakdown of the Capitalist System*: Pluto Press 1992. P. 95.

14 - Grossman H. *The Laws of Accumulation and Breakdown of the Capitalist System: A Pseudo-Scientific Pastiche? In Letters and Essays*. Volume 1. Ed. by R. Kuhn. Leiden: Brill, 2018. P. 229–230.

of capital, rather than the export of commodities, becomes paramount. Capital flows into colonies and semi-colonies because the organic composition of capital there is low, while labour and land are cheap. This makes it possible to extract monopoly super-profits and compensate for the decline in profitability in the metropolises. The heart of capital does not beat through pirate raids aimed at selling surpluses, but through the routine, legally enshrined, *silent coercion* of wage labour on a global scale.

THE MATHEMATICS OF CRISIS AND THE DIALECTIC OF COUNTER-TENDENCIES

The illusion that general crises are impossible stems from commodity fetishism. As Marx wrote:

*«There it is a definite social relation between men, that assumes, in their eyes, the fantastic form of a relation between things. In order, therefore, to find an analogy, we must have recourse to the mist-enveloped regions of the religious world. In that world the productions of the human brain appear as independent beings endowed with life, and entering into relation both with one another and the human race. So it is in the world of commodities with the products of men's hands».*¹⁵

This blind faith in market harmony is reinforced by the class schizophrenia of the bourgeoisie itself. The capitalist leads a double life. In the sphere of production, hidden from the eyes of outsiders, he is an absolute dictator, extracting surplus labour. But on the open market, he deals with his equals, and here begins the *«battle of cunning with cunning»*¹⁶. What he understands perfectly well in the workshop, he forgets in the market. When a crisis strikes, capitalists are genuinely surprised: after all, production was “healthy”, and it was only sudden “speculative ventures” that caused prices to collapse.

The bourgeoisie believes in the identity of supply and demand, forgetting that the capitalist produces commodities not for consumption, but for the multiplication of abstract wealth. Money, by becoming the universal measure of value, splits the single

act of exchange in two: the seller of a commodity is under no obligation to buy another commodity immediately. Marx gave this phenomenon an exhaustive definition:

*«Crisis is nothing but the forcible assertion of the unity of phases of the production process which have become independent of each other».*¹⁷

To keep production from grinding to a halt, capital creates a grand fiction – credit. It does not prevent crises, as revisionists such as E. Bernstein had hoped, but merely masks them, artificially extending the limits of production until the inevitable collapse.

But why is capital doomed to crises?

The classical Marxist formula for the rate of profit is as follows:

$$p' = \frac{m}{c+v}$$

where *s* is surplus value, *c* is constant capital (machinery, raw materials), and *v* is variable capital (wages).

In its struggle to survive in competition, capital replaces living labour with machinery (an increase in *c* relative to *v*). A paradox arises:

*«The rate of profit falls, although the rate of surplus-value remains the same or rises, because the proportion of variable capital to constant capital decreases with the development of the productive power of labour. The rate of profit thus falls, not because labour becomes less productive, but because it becomes more productive».*¹⁸

The share of living labour – the sole source of surplus value – declines in relation to the mass of means of production employed.

However, Marxism is far from mechanistic. The fall in the rate of profit is not a straight line into the abyss. Marx himself emphasised:

«If we consider the enormous development of the productive forces of social labour in the last 30 years alone as compared with all preceding periods; if we consider, in particular, the enormous mass of fixed capital, aside from the actual machinery, which goes into the process of social production as a whole, then the difficulty which has hitherto troubled the econo-

15 - K. Marx. *Capital*, Vol. I: Chapter 1 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch01.htm>

16 - Karl Marx. [*Capital*]. Vol. II: The Process of Circulation of Capital // Karl Marx and Frederick Engels, Collected Works. 2nd ed. Vol. 50. P. 9. (in Rus.). See also the original German manuscript: Karl Marx. *Das Kapital. Ökonomisches Manuskript 1868–1870. Zweites Buch: Der Zirkulationsprozeß des Kapitals* (Manuskript II) // Marx-Engels-Gesamtausgabe (MEGA²), Abt. II, Bd. 1.

17 - K. Marx. *Theories of Surplus Value*: Chapter 17 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1863/theories-surplus-value/ch17.htm>

18 - K. Marx. *Theories of Surplus Value*: Chapter 16 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1863/theories-surplus-value/ch16.htm>

mist, namely to explain the falling rate of profit, gives place to its opposite, namely to explain **why this fall is not greater and more rapid**. There must be some counteracting influences at work, which cross and annul the effect of the general law, and which give it merely the characteristic of a tendency, for which reason we have referred to the fall of the general rate of profit as a tendency to fall». ¹⁹

Moreover, economic collapses do not signify the “death” of capital. Marx was explicit:

«The crises are always but momentary and forcible solutions of the existing contradictions. They are violent eruptions which for a time restore the disturbed equilibrium». ²⁰

A crisis is a barbaric mechanism by which the system heals itself through the destruction of excess, over-accumulated capital that has lost its capacity for self-expansion. At the same time, Marx clearly pointed out that capital does not always require direct military destruction. Its main everyday mechanism of cleansing is the economic devaluation of capital. Mass bankruptcies, stock market crashes and the sale of assets at rock-bottom prices lead to a sharp fall in the value of constant capital (*c*). Bankrupt factories are bought up for next to nothing, reducing the denominator in the formula and restoring the rate of profit for the surviving predators.

The historical evolution of capitalism since the Second World War confirms this. The long economic boom (late 1940s – 1973) became possible only through the monstrous physical destruction of vast masses of constant capital in the course of the imperialist slaughter, which temporarily neutralised the contradictions and raised the rate of profit. But as early as 1965–1973, a sharp fall in profitability brought the “golden age” to an end. The decoupling of the dollar from gold (the “Nixon shock” of 1971), the oil crises and the collapse of the Bretton Woods system were the political expression of this macro-economic impasse.

As Marx pointed out in Volume III of *Capital*, the system generates powerful counter-tendencies. To compensate for the fall in incomes in the 1970s, capital shifted towards a neo-liberal model: the re-

location of actual production to zones of “new capitalism” (Asia, Latin America) and the massive expansion of credit to sustain demand while real wages stagnated. Modern technologies are dual in their effects: AI and automation not only increase the organic composition of capital, but also drastically reduce the cost of elements of constant capital (servers, robotics). At the same time, capital increases the degree of exploitation of labour: the modern platform economy and the blurring of the boundaries between working and personal time (remote working) are mechanisms for extracting both relative and absolute surplus value, intended to slow the fall in the rate of profit *p'*. The crisis unfolds as a dialectical struggle between the fundamental law and the counteracting factors.

FINANCIAL CAPITAL AND STATE-MONOPOLY SOCIALISATION

As opportunities for increasing profitability in the real sector are exhausted, capital makes the leap into financialisation. Capitalist nations, as Marx wrote, *«are periodically seized by a fever of swindling, when they want to make money without the burdensome mediation of the production process»*. ²¹

The explosion of fictitious capital is not a sign of the “strength” of finance, but a sign of the decrepitude of the system as a whole. It is an attempt to cheat time by consuming today surplus value that has not yet been produced. Reformists, following R. Hilferding, still believe that the problem lies with “evil, parasitic bankers” who have strangled honest industrialists. Grossman emphasised that he opposed Hilferding, but agreed with Lenin. In 1931, drawing on Lenin’s precise definition, he wrote:

«Hilferding understands finance capital to be bank capital; he does not ask who stands behind this bank capital. I oppose this conception of the decisive role of bank capital. Lenin, on the other hand, understands finance capital not as bank capital, but as the merging of monopoly capital, primarily industrial capital, with state power and policy, which is a tool of this capital. That is something quite different. That the banks are facilitators of the expansion of capital is clear». ²²

19 - K. Marx. *Capital*, Vol. III: Chapter 14 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch14.htm>

20 - K. Marx. *Capital*, Vol. III: Chapter 15 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch15.htm>

21 - Karl Marx. [*Capital*]. Vol. II: The Process of Circulation of Capital // Karl Marx and Frederick Engels, Collected Works. 2nd ed. Vol. 50. P. 33. (in Rus.). See also the original German manuscript: Karl Marx, *Das Kapital. Ökonomisches Manuskript 1868–1870. Zweites Buch: Der Zirkulationsprozeß des Kapitals* (Manuskript II), MEGA² II/1

22 - Grossman H. *The Laws of Accumulation and Breakdown of the Capitalist System: A Pseudo-Scientific Pastiche? In Letters and Essays*. Volume 1. Ed. by R. Kuhn. Leiden: Brill, 2018. P. 231.

Financial capital is not the arbitrary rule of the banks; it is an organic symbiosis of monopolies. The collapse of the derivatives system in 2008 was the first global historical warning that fictitious capital cannot indefinitely absorb surpluses without direct state intervention.

When this unified financial capital finally becomes fused with the state apparatus, we get state-monopoly capitalism.

Lenin repeatedly emphasised that the state is neither a supra-class arbiter nor a neutral manager of the system. When the rate of profit falls, the state does not merely “help” the banks – it assumes control over the process of exploitation, centralising the financial levers in the interests of specific transnational monopolies.

The expansion of the US Federal Reserve’s balance sheet to around \$9 trillion at its peak in order to buy up debt is a mechanism for transferring value through inflation from the pockets of the working class towards rescuing the falling rate of profit. It should be noted, however, that the Fed’s principal instrument was the purchase of Treasury securities and government-guaranteed mortgage-backed securities; direct purchases of corporate bonds were carried out on a limited scale only in 2020.

Today, according to various estimates, 15–20 per cent of corporations in developed countries have become “zombie companies”, earning just enough to cover the interest on their existing debts. These figures appear in studies by the Bank for International Settlements (BIS), although the specific estimates vary depending on the methodology and the period under consideration.

The private sector’s total dependence on state injections brings us back to Friedrich Engels’s important conclusion in *Anti-Dühring*. He pointed out that the growth of state intervention in the economy, which is compelled by capitalism, is not merely a symptom of the system’s decay, but also an objective recognition of the social character of the productive forces.

*«This rebellion of the productive forces, as they grow more and more powerful, against their quality as capital, this stronger and stronger command that their social character shall be recognised, forces the capitalist class itself to treat them more and more as social productive forces, so far as this is possible under capitalist conditions».*²³

Today, this social character has reached an entirely new technological level: it has taken the form of planetary systems of algorithmic logistics which, de facto, already unite the world economy into a single mechanism.

The same idea was defended in 1952 in the pages of the journal *Prometeo*. In the article “Il New Deal, o l’interventismo statale in difesa del grande capitale” (The New Deal, or State Intervention in Defence of Big Capital) we read:

«[...] despite differences in political form, the capitalist regime responds to its internal crises in a uniform manner, applying methods of economic policy common to both democracy and fascism. Interventionism, dirigisme and state administration – which, on the other hand, are the classic recipes of reformism for “economic and social recovery” – are common features of any bourgeois political regime at the stage of maximum intensification of its internal contradictions. At the international level, they converge in that they are manifestations of a policy of capitalist conservation».

CIRCULATION COSTS AND THE TIME OF CAPITAL

At the dawn of its history, the bourgeoisie hated unproductive consumers, believing that their very existence merely increased overhead costs. In his draft manuscripts, Marx draws a brilliant distinction: John Milton, who sold the manuscript of *Paradise Lost* for £5, was an unproductive worker. He produced a poem just as a silkworm produces silk. But a talentless hack working for a publisher, or a singer hired by an impresario, are productive workers, because they produce capital. Capitalism destroys the uniqueness of the creator, turning them into a cog in the process of the self-expansion of value.

But over time, the system realised that, in order to absorb surplus commodities and avoid suffocating from overproduction, it vitally needed this parasitic stratum, as Thomas Malthus wrote with cynical candour. The capitalist class functions as a giant joint-stock company, paying for its own stability.

Today, capital has spawned a vast army of *commercial workers* – marketers, managers and office clerks. Unlike a factory worker or a programmer, an office clerk does not produce surplus value. Capital breeds useless positions. Today we might call them “bullshit jobs”.

23 - F. Engels. *Anti-Dühring*: Chapter 24 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1877/anti-duhring/ch24.htm>

However, from the standpoint of Marx's theory, this is not simply a matter of moral parasitism. This army is necessary for the system to reduce circulation time. The faster a commodity is realised in an oversaturated market, the faster capital turns over, and the greater the annual mass of profit. At the same time, Marx makes a crucial clarification: the unpaid labour of the commercial worker does not increase the total mass of value, but allows the commercial capitalist to appropriate a share of the profit created in production. The clerk works for free for part of the working day, and it is precisely this that reduces the capitalist's costs of selling.

AI, THE "CLEARING OF ESTATES" AND THE RESERVE ARMY OF LABOUR

But today capital itself is undermining this mechanism: artificial intelligence is encroaching on the sphere of intellectual labour. The essence of the genesis of capitalism lay in the expropriation of the worker's means of production – what Marx called the «*clearing of estates*».²⁴ Just as in Tudor England sheep "ate people" for the sake of capitalist cloth production, so today algorithms are "eating" white-collar workers.

AI, embodying the *General Intellect*, acts as an alien force in relation to the cognitive worker. Programmers and analysts lose their monopoly on knowledge and become appendages of the algorithm, forming a single *collective worker*.

Automation inevitably creates an army of "superfluous" people. Capital vitally needs an industrial reserve army of labour to exert downward pressure on the wages of the active workforce. Platform employment (according to data from the Oxford Internet Institute and the World Bank, in 2019–2020, out of 163 million registered profiles on online platforms, only around 14 million had obtained work at least once, and only 3.3 million worked on a permanent basis)²⁵ is becoming an ideal form of piecework, leading to brutal self-exploitation. The atomisation of the precariat is one of the factors fuelling right-wing populism in the US and Europe, particularly in the "Rust Belt", where the masses are deprived of stability and thrown into the meat grinder of the gig economy. At the same time, the electoral base of right-wing populism is heterogeneous: along-

side precarious workers, it includes small business owners, a section of the labour aristocracy, and provincial communities experiencing a sense of cultural and social humiliation.

At the same time, the formation of a unified political vanguard is severely hampered by a political phenomenon described in detail by Lenin: the *labour aristocracy*. The vast gulf between highly paid IT specialists in the metropolises (whose status is sustained by imperialist super-profits) and the disenfranchised proletariat in the "Global South" is becoming a major obstacle to class solidarity.

It is important to note here that certain left-communist currents still cling to the dogma of an absolute, permanent stagnation of the productive forces in the era of imperialism. They fail to see that capital continues to revolutionise technology, but does so in increasingly destructive and antagonistic forms. Denying this fact leads to theoretical blindness: instead of analysing how new technologies are changing the structure of the proletariat and the ways in which relative surplus value is extracted, these groups reduce Marxism to a rigid dogmatic framework in which capitalism simply "decays" without any internal technological dynamics.

THE DEBATE ON COLLAPSE AND THE AVANT-GARDE OF THE PLATFORM ERA

In 1934, in the pages of the journal *Rätekorrespondenz*, Anton Pannekoek offered a substantial critique of Grossman's errors:

«The question which in the end merits attention is how can an economist who believes he is correctly reconstructing Marx's views, and who further states with naive self-assurance that he is the first to give a correct interpretation of them, be so completely mistaken and find himself in complete contradiction with Marx. The reason lies in the lack of a historical materialist understanding. For you will not understand Marxian economics at all unless you have made the historical materialist way of thinking your own.

For Marx the development of human society, and so also the economic development of capitalism, is determined by a firm necessity like a law of nature. But this development is at the same time the work of men who play their role in it and where each person determines his own acts with consciousness and pur-

24 - K. Marx. *Theories of Surplus Value*: Chapter 11 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1863/theories-surplus-value/ch11.htm>

25 - Since then, the platform sector has grown significantly.

pose — though not with a consciousness of the social whole. To the bourgeois way of seeing things, there is a contradiction here; either what happens depends on human free choice or, if it is governed by fixed laws, then these act as an external, mechanical constraint on men. For Marx all social necessity is accomplished by men; this means that a man's thinking, wanting and acting although appearing as a free choice in his consciousness — are completely determined by the action of the environment; it is only through the totality of these human acts, determined mainly by social forces, that conformity to laws is achieved in social development.

The social forces which determine development are thus not only purely economic acts, but also the general-political acts determined by them, which provide production with the necessary norms of right. Conformity to law does not reside solely in the action of competition which fixes prices and profits and concentrates capital, but also in the establishment of free competition, of free production by bourgeois revolutions; not only in the movement of wages, in the expansion and contraction of production in prosperity and crisis, in the closing of factories and the laying off of workers, but also in the revolt, the struggle of the workers, the conquest by them of power over society and production in order to establish new norms of right.

Economics, as the totality of men working and striving to satisfy their subsistence needs, and politics (in its widest sense), as the action and struggle of these men as classes to satisfy these needs, form a single unified domain of law-governed development. The accumulation of capital, crises, pauperisation, the proletarian revolution, the seizure of power by the working class form together, acting like a natural law, an indivisible unity, the collapse of capitalism». ²⁶

Paul Mattick came to Grossman's defence. In his reply, he showed that Pannekoek had completely failed to understand Marx's method of scientific abstraction, and steered the discussion back towards the Marxist dialectic of the objective and the subjective. Mattick explained that Grossman had used Bauer's abstract schema solely as a laboratory method for reducing the reformist theory of harmonious capitalism to absurdity. The mathematical schemes were constructed within the framework

of "pure capitalism" (where foreign trade, monopolies and credit are abstracted from), not in order to predict a fatalistic end of the world on a particular date, but to demonstrate the very impossibility of crisis-free development of the system on its own political-economic foundations.

According to Mattick, the abstract value schema is not a prophecy, but the first stage in Marx's method of successive approximation to concrete reality. Capitalism inevitably collapses within the framework of the «pure model» in order to demonstrate that, in living historical reality, the system is capable of surviving temporarily and postponing its objective limit only through convulsive intensification of exploitation and destructive crises. By clearly distinguishing between the abstract-theoretical endpoint and the real historical process, Mattick separated the abstract economic model from living historical reality:

«Pointing out the tendency towards collapse in the schema does not lead Grossmann, as the critic would have us believe, to the view "that the great Kladderadatsch will occur without there being a revolutionary class capable of defeating and expropriating the bourgeoisie". For Grossmann, the existence of this class and the expropriation are self-evident given the objective situation, because for him there is simply no such thing as a purely economic problem. Indeed, these subjective factors can only exist, equally self-evidently, because the objective situation is ripe for collapse. Grossmann wrote his book on the "obviously false" assumption that, in scholarly works, self-evident matters need not be mentioned. Just as Marx did not write a separate theory of collapse, because for the dialectician it is self-evident that the accumulation of capital on the basis of value can only culminate in collapse. [...] if the objective conditions for revolution are present, then for the Marxist the subjective conditions are, as a matter of course, present as well. Objective necessities are ultimately fulfilled by human beings – however long the delay may be. Demonstrating the economic collapse establishes only the inevitability of revolution». ²⁷

Thus, Mattick argued, the mathematical limit in the abstract schema does not signify the automatic death of capitalism in the real world, but rather the onset of an era of permanent and extremely se-

26 - Pannekoek A. *Der Zusammenbruchstheorie des Kapitalismus* // Ratekorrespondenz. 1934. № 1.

27 - Mattick P. *Zur Marx'schen Akkumulations- und Zusammenbruchstheorie* (In Erwiderung des Artikels: "Die Zusammenbruchstheorie des Kapitalismus" in Nummer 1 der "Ratekorrespondenz") // Ratekorrespondenz. 1934. № 4. URL: <https://www.marxists.org/deutsch/archiv/mattick/1934/theorie.htm>

vere crises, which merely create the objective conditions for revolution. The final overthrow of the system, however, is impossible without the subjective factor – the active political action of the proletariat. Capitalism does not collapse of its own accord; it merely forges political-economic chains and compels the working class to break them.

Grossman's chief contribution is his mathematical demonstration of collapse through the law of the falling rate of profit, by which he restored a proposition that had effectively been buried by Hilferding and Kautsky: the idea of an objective economic limit to capitalist accumulation.

Hilferding reduced crises to disproportionality in the distribution of capital among branches of production and concluded that, under planned distribution, they could be eliminated and production could grow indefinitely – that is, capitalism has no internal limit and can fall only through the will of the working class, not by virtue of its own laws of motion. Kautsky went further, rejecting the very idea of a historical limit to capitalism, which he had previously defended.

It is precisely against this departure from Marx that Grossman's polemic is directed: the genuine doctrine of collapse speaks of the objective necessity of capitalism's demise, but not in the sense of its automatic occurrence without the active intervention of the proletariat; rather, it speaks of an objectively maturing limit that makes this intervention historically necessary. Here Grossman is right: without an objective limit to accumulation, socialism, as Rosa Luxemburg had already pointed out, degenerates into a matter of pure theory – an idealistic justification divorced from the material course of development.

But Grossman's weakness lies in the way he presents his argument: in defending the objective limit against its deniers, he himself fell into the opposite extreme. Carried away by "pure economics", he constructed a mechanistic model (collapse in the 35th year according to Bauer's schema), in which the class struggle appears as an artificial addition rather than the driving force of history. This is the same one-sidedness found in Kautsky and Hilferding, only with the opposite sign: whereas they dissolved objective necessity into the will of the class, Grossman separates the economic limit from the class struggle, turning the calculation of the date of col-

lapse into a purely arithmetic problem – whereas for Marx these are two sides of a single dialectical process, not quantities independent of one another. Hence the accusation of determinism.

Marxism tolerates neither a mechanical expectation of the "final collapse" nor unstructured voluntarism. Capitalism has no final limit beyond which it simply ceases to exist. The bourgeoisie will always find a way out of even the deepest macroeconomic impasse, provided that the proletariat allows it to do so at its own expense. Without the subjective factor – the revolutionary organisation of the proletariat – the system will rot indefinitely, moving from one cycle of wars to another.

The monopoly of capital becomes a fetter on the socialised mode of production that has grown up under its cover. As Marx summarised:

*«Centralisation of the means of production and socialisation of labour at last reach a point where they become incompatible with their capitalist integument. This integument is burst asunder. The knell of capitalist private property sounds. The expropriators are expropriated».*²⁸

This is the historical negation of the negation.

MILITARISM: THE DESTRUCTION OF VALUE AND THE REDISTRIBUTION OF THE WORLD

When peaceful bankruptcies are no longer sufficient to clear away the debris of over-accumulation, capital demands the military destruction of the productive forces themselves. In her work *The Accumulation of Capital*, Rosa Luxemburg perceptively examined militarism as a sphere of capitalist accumulation, in which the state uses taxation to compel the working class to pay for the means of its own destruction.

Drawing on Marx's theory of value, we can say that, for capital, war is not merely a large-scale *write-off of surplus commodities*. It is the violent, physical nullification of the value of accumulated *past, objectified labour* – that is, of constant capital (*c*). Living, functioning capital is physically incapable of self-expansion as long as old capital retains its colossal value in the denominator of the rate of profit formula cited above. In order to save the rate of profit (*p'*) from a fatal fall, the decaying organism of capitalism is compelled to reduce the material results of past cycles of accumulation – cities, infrastructure and individual factories – to dust. Only through the total deval-

28 - K. Marx. *Capital*, Vol. I: Chapter 32 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch32.htm>

uation and physical destruction of this “dead labour” (c) is the ground cleared for a new historical cycle of recovery, opening up scope for a high rate of profit and a barbaric intensification of the exploitation of living labour (v). Historically, this is brilliantly confirmed by post-war reconstruction programmes, such as the Marshall Plan, which provided a colossal stimulus for a new round of capitalist accumulation. Periods of peace under capitalism merely create the conditions for the next round of the accumulation of contradictions, the resolution of which has historically often taken the form of the military destruction of over-accumulated capital.

But, following Lenin, we must emphasise: war is not merely an economic accounting exercise for writing off surpluses. It is a brutal inter-imperialist struggle between national monopolies for the redistribution of an already divided world, for new spheres of investment and for control over resources. The current escalation of global conflicts and the colossal rise in military spending (US\$2.89 trillion in 2025, according to SIPRI, an increase of 36.6 per cent in real terms compared with 2021) constitute a “rational” response by capital to the impasse of over-accumulation. The military-industrial complex functions as an ideal safety valve: it produces highly sophisticated capital, the sole use-value of which lies in being destroyed and in destroying the surplus capital of competitors.

CONCLUSION

Marx’s methodology provides the tools for understanding those contradictions which bourgeois political economy is incapable of either acknowledging or resolving. We find ourselves at a historical juncture where the colossal productive forces brought into being by technology are entering into a deadly conflict with the system’s impoverished attempt to measure wealth in terms of money.

Social life will cast off the mystical, hazy veil of commodity fetishism only when it becomes the product of the free association of people acting according to a conscious plan. The true wealth of society lies not in the surplus labour squeezed out of human beings, but in the free time available for the all-round development of every individual. But as long as capital reigns, this free time is transformed into pauperism and destitution at one pole for the sake of unimaginable abundance at the other.

The centralisation of the means of production has reached such a scale that the capitalist shell has become its direct fetters. As Rosa Luxemburg prophetically warned in 1915 in the *Junius Pamphlet*, society faces an inescapable crossroads:

«Either transition to socialism or regression into barbarism».²⁹

Capitalism will never die a natural death from “old age” or the automatic exhaustion of markets. It will rise endlessly from the ashes of world wars and devastating crises until it is consciously destroyed by the communist revolution of the proletariat. The question of our century boils down to one thing: will the working class, led by its revolutionary vanguard, succeed in harnessing the global algorithmic machine of capital to build a free and planned society, or will imperialism once again resolve the problem of the falling rate of profit in the flames of global self-destruction? And here Lenin’s *law of uneven capitalist development* comes into play: the proletarian blow will bring down the system not abstractly “everywhere”, but where the imperialist chain is weakest. And the question of where the weakest link in this chain – that is, the link most exposed to imperialist contradictions – is located today is one of the key problems of Marxist analysis.

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29 - R. Luxemburg. *The Junius Pamphlet*: Chapter 1 // Marxists Internet Archive. URL: <https://www.marxists.org/archive/luxemburg/1915/junius/ch01.htm>

EXCESS CAPITAL AND EXCESS POPULATION¹

KARL MARX

In an era when the illusion of neural network dominance proliferates, and financial transactions are executed in fractions of a second, the excerpt from Volume III of *Capital* published below emerges not as a historical artefact, but as a chillingly accurate anatomical cross-section of the present day. While bourgeois thought writes off crises as “external shocks”, Marx exposes the fundamental paradox of the system: the simultaneous existence of surplus capital and surplus population. He proves that a crisis is not the consequence of a physical overabundance of wealth for humanity, but a mathematical dead end in which gigantic masses of objectified labour lose the ability to yield a sufficient rate of profit, driving the economy into speculative adventures and credit bubbles.

“Without revolutionary theory there can be no revolutionary movement”, reads the axiom of the first Russian Marxist, Plekhanov. If the fundamental contradiction of capitalism is reduced to problems of “unfair distribution”, the answer becomes a dead-end reformism. However, Marx’s objective science leaves no room for illusions: capitalism is capable of restoring its rate of profit only through the barbaric destruction of accumulated values – mass bankruptcies, the devaluation of labour, and imperialist wars.

It is necessary to turn to the original source to then observe how Marx’s iron logic forges its path through the technological and social contradictions of the 21st century.

1 - Marx, K. *Capital*. Volume III. Chapter 15. Exposition of the Internal Contradictions of the Law / K. Marx. – // Marxists Internet Archive. – URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch15.htm>

A drop in the rate of profit is attended by a rise in the minimum capital required by an individual capitalist for the productive employment of labour; required both for its exploitation generally, and for making the consumed labour-time suffice as the labour-time necessary for the production of the commodities, so that it does not exceed the average social labour-time required for the production of the commodities. Concentration increases simultaneously, because beyond certain limits a large capital with a small rate of profit accumulates faster than a small capital with a large rate of profit. At a certain high point this increasing concentration in its turn causes a new fall in the rate of profit. The mass of small dispersed capitals is thereby driven along the adventurous road of speculation, credit frauds, stock swindles, and crises. The so-called plethora of capital always applies essentially to a plethora of the capital for which the fall in the rate of profit is not compensated through the mass of profit – this is always true of newly developing fresh offshoots of capital – or to a plethora which places capitals incapable of action on their own at the disposal of the managers of large enterprises in the form of credit. This plethora of capital arises from the same causes as those which call forth relative over-population, and is, therefore, a phenomenon supplementing the latter, although they stand at opposite poles – unemployed capital at one pole, and unemployed worker population at the other.

Over-production of capital, not of individual commodities – although over-production of capital always includes over-production of commodities – is therefore simply over-accumulation of capital. To appreciate what this over-accumulation is (its closer analysis follows later), one need only assume it to be absolute. When would over-production of capital be absolute? Overproduction which would affect not just one or another, or a few important spheres of production, but would be absolute in its full scope, hence would extend to all fields of production?

There would be absolute over-production of capital as soon as additional capital for purposes of capitalist production = 0. The purpose of capitalist production, however, is self-expansion of capital, i.e., appropriation of surplus-labour, production of surplus-value, of profit. As soon as capital would, therefore, have grown in such a ratio to the labouring population that neither the absolute working-time

supplied by this population, nor the relative surplus working-time, could be expanded any further (this last would not be feasible at any rate in the case when the demand for labour were so strong that there were a tendency for wages to rise); at a point, therefore, when the increased capital produced just as much, or even less, surplus-value than it did before its increase, there would be absolute over-production of capital; i.e., the increased capital $C + \Delta C$ would produce no more, or even less, profit than capital C before its expansion by ΔC . In both cases there would be a steep and sudden fall in the general rate of profit, but this time due to a change in the composition of capital not caused by the development of the productive forces, but rather by a rise in the money-value of the variable capital (because of increased wages) and the corresponding reduction in the proportion of surplus-labour to necessary labour.

In reality, it would appear that a portion of the capital would lie completely or partially idle (because it would have to crowd out some of the active capital before it could expand its own value), and the other portion would produce values at a lower rate of profit, owing to the pressure of unemployed or but partly employed capital. It would be immaterial in this respect if a part of the additional capital were to take the place of the old capital, and the latter were to take its position in the additional capital. We should still always have the old sum of capital on one side, and the sum of additional capital on the other. The fall in the rate of profit would then be accompanied by an absolute decrease in the mass of profit, since the mass of employed labour-power could not be increased and the rate of surplus-value raised under the conditions we had assumed, so that the mass of surplus-value could not be increased either. And the reduced mass of profit would have to be calculated on an increased total capital. But even if it is assumed that the employed capital continues to self-expand at the old rate of profit, and the mass of profit hence remains the same, this mass would still be calculated on an increased total capital, this likewise implying a fall in the rate of profit. If a total capital of 1,000 yielded a profit of 100, and after being increased to 1,500 still yielded 100, then, in the second case, 1,000 would yield only $66\frac{2}{3}\%$. Self-expansion of the old capital, in the absolute sense, would have been reduced. The capital = 1,000 would yield no more under the new circumstances than formerly a capital = $666\frac{2}{3}$.

It is evident, however, that this actual depreciation of the old capital could not occur without a struggle, and that the additional capital ΔC could not assume the functions of capital without a struggle. The rate of profit would not fall under the effect of competition due to over-production of capital. It would rather be the reverse; it would be the competitive struggle which would begin because the fallen rate of profit and over-production of capital originate from the same conditions. The part of ΔC in the hands of old functioning capitalists would be allowed to remain more or less idle to prevent a depreciation of their own original capital and not to narrow its place in the field of production. Or they would employ it, even at a momentary loss, to shift the need of keeping additional capital idle on newcomers and on their competitors in general.

That portion of ΔC which is in new hands would seek to assume a place for itself at the expense of the old capital, and would accomplish this in part by forcing a portion of the old capital to lie idle. It would compel the old capital to give up its old place and withdraw to join completely or partially unemployed additional capital.

A portion of the old capital has to lie unused under all circumstances; it has to give up its characteristic quality as capital, so far as acting as such and producing value is concerned. The competitive struggle would decide what part of it would be particularly affected. So long as things go well, competition effects an operating fraternity of the capitalist class, as we have seen in the case of the equalisation of the general rate of profit, so that each shares in the common loot in proportion to the size of his respective investment. But as soon as it no longer is a question of sharing profits, but of sharing losses, everyone tries to reduce his own share to a minimum and to shove it off upon another. The class, as such, must inevitably lose. How much the individual capitalist must bear of the loss, i.e., to what extent he must share in it at all, is decided by strength and cunning, and competition then becomes a fight among hostile brothers. The antagonism between each individual capitalist's interests and those of the capitalist class as a whole, then comes to the surface, just as previously the identity of these interests operated in practice through competition.

How is this conflict settled and the conditions restored which correspond to the "sound" operation of capitalist production? The mode of settlement is

already indicated in the very emergence of the conflict whose settlement is under discussion. It implies the withdrawal and even the partial destruction of capital amounting to the full value of additional capital ΔC , or at least a part of it. Although, as the description of this conflict shows, the loss is by no means equally distributed among individual capitals, its distribution being rather decided through a competitive struggle in which the loss is distributed in very different proportions and forms, depending on special advantages or previously captured positions, so that one capital is left unused, another is destroyed, and a third suffers but a relative loss, or is just temporarily depreciated, etc.

But the equilibrium would be restored under all circumstances through the withdrawal or even the destruction of more or less capital. This would extend partly to the material substance of capital, i.e., a part of the means of production, of fixed and circulating capital, would not operate, not act as capital; some of the operating establishments would then be brought to a standstill. Although, in this respect, time attacks and worsens all means of production (except land), the stoppage would in reality cause far greater damage to the means of production. However, the main effect in this case would be that these means of production would cease to function as such, that their function as means of production would be disturbed for a shorter or longer period.

The main damage, and that of the most acute nature, would occur in respect to capital, and in so far as the latter possesses the characteristic of value it would occur in respect to the *values* of capitals. That portion of the value of a capital which exists only in the form of claims on prospective shares of surplus-value, i.e., profit, in fact in the form of promissory notes on production in various forms, is immediately depreciated by the reduction of the receipts on which it is calculated. A part of the gold and silver lies unused, i.e., does not function as capital. Part of the commodities on the market can complete their process of circulation and reproduction only through an immense contraction of their prices, hence through a depreciation of the capital which they represent. The elements of fixed capital are depreciated to a greater or lesser degree in just the same way. It must be added that definite, presupposed, price relations govern the process of reproduction, so that the latter is halted and thrown into confusion by a general

drop in prices. This confusion and stagnation paralyses the function of money as a medium of payment, whose development is geared to the development of capital and is based on those presupposed price relations. The chain of payment obligations due at specific dates is broken in a hundred places. The confusion is augmented by the attendant collapse of the credit system, which develops simultaneously with capital, and leads to violent and acute crises, to sudden and forcible depreciations, to the actual stagnation and disruption of the process of reproduction, and thus to a real falling off in reproduction.

But there would have been still other agencies at work at the same time. The stagnation of production would have laid off a part of the working-class and would thereby have placed the employed part in a situation, where it would have to submit to a reduction of wages even below the average. This has the very same effect on capital as an increase of the relative or absolute surplus-value at average wages would have had. Prosperity would have led to more marriages among labourers and reduced the decimation of offspring. While implying a real increase in population, this does not signify an increase in the actual working population. But it affects the relations of the labourer to capital in the same way as an increase of the number of actually working labourers would have affected them. On the other hand, the fall in prices and the competitive struggle would have driven every capitalist to lower the individual value of his total product below its general value by means of new machines, new and improved working methods, new combinations, i.e., to increase the productivity of a given quantity of labour, to lower the proportion of variable to constant capital, and thereby to release some labourers; in short, to create an artificial over-population. Ultimately, the depreciation of the elements of constant capital would itself tend to raise the rate of profit. The mass of employed constant capital would have increased in relation to variable, but its value could have fallen. The ensuing stagnation of production would have prepared – within capitalistic limits – a subsequent expansion of production.

And thus the cycle would run its course anew. Part of the capital, depreciated by its functional stagnation, would recover its old value. For the rest, the same vicious circle would be described once more under expanded conditions of production,

with an expanded market and increased productive forces.

However, even under the extreme conditions assumed by us this absolute over-production of capital is not absolute over-production, not absolute over-production of means of production. It is over-production of means of production only in so far as the latter serve *as capital*, and consequently include a self-expansion of value, must produce an additional value in proportion to the increased mass.

Yet it would still be over-production, because capital would be unable to exploit labour to the degree required by a “sound”, “normal” development of the process of capitalist production, to a degree which would at least increase the mass of profit along with the growing mass of the employed capital; to a degree which would, therefore, prevent the rate of profit from falling as much as the capital grows, or even more rapidly.

Over-production of capital is never anything more than over-production of means of production – of means of labour and necessities of life – which may serve as capital, i.e., may serve to exploit labour at a given degree of exploitation; a fall in the intensity of exploitation below a certain point, however, calls forth disturbances, and stoppages in the capitalist production process, crises, and destruction of capital. It is no contradiction that this over-production of capital is accompanied by more or less considerable relative over-population. The circumstances which increased the productiveness of labour, augmented the mass of produced commodities, expanded markets, accelerated accumulation of capital both in terms of its mass and its value, and lowered the rate of profit – these same circumstances have also created, and continuously create, a relative overpopulation, an over-population of labourers not employed by the surplus-capital owing to the low degree of exploitation at which alone they could be employed, or at least owing to the low rate of profit which they would yield at the given degree of exploitation.

If capital is sent abroad, this is not done because it absolutely could not be applied at home, but because it can be employed at a higher rate of profit in a foreign country. But such capital is absolute excess capital for the employed labouring population and for the home country in general. It exists as such alongside the relative over-population, and this is an illustration of how both of them exist side by side, and mutually influence one another.

On the other hand, a fall in the rate of profit connected with accumulation necessarily calls forth a competitive struggle. Compensation of a fall in the rate of profit by a rise in the mass of profit applies only to the total social capital and to the big, firmly placed capitalists. The new additional capital operating independently does not enjoy any such compensating conditions. It must still win them, and so it is that a fall in the rate of profit calls forth a competitive struggle among capitalists, not vice versa. To be sure, the competitive struggle is accompanied by a temporary rise in wages and a resultant further temporary fall of the rate of profit. The same occurs when there is an over-production of commodities, when markets are overstocked. Since the aim of capital is not to minister to certain wants, but to produce profit, and since it accomplishes this purpose by methods which adapt the mass of production to the scale of production, not vice versa, a rift must continually ensue between the limited dimensions of consumption under capitalism and a production which forever tends to exceed this immanent barrier. Furthermore, capital consists of commodities, and therefore over-production of capital implies over-production of commodities. Hence the peculiar phenomenon of economists who deny over-production of commodities, admitting over-production of capital. To say that there is no general over-production, but rather a disproportion within the various branches of production, is no more than to say that under capitalist production the proportionality of the individual branches of production springs as a continual process from disproportionality, because the cohesion of the aggregate production imposes itself as a blind law upon the agents of production, and not as a law which, being understood and hence controlled by their common mind, brings the productive process under their joint control. It amounts furthermore to demanding that countries in which capitalist production is not developed, should consume and produce at a rate which suits the countries with capitalist production. If it is said that over-production is only relative, this is quite correct; but the entire capitalist mode of production is only a relative one, whose barriers are not absolute. They are absolute only for this mode, i.e., on its basis. How could there otherwise be a shortage of demand for the very commodities which the mass of the people lack, and how would it be possible for this demand to be sought abroad, in foreign markets, to pay the la-

bourers at home the average amount of necessities of life? This is possible only because in this specific capitalist interrelation the surplus-product assumes a form in which its owner cannot offer it for consumption, unless it first reconverts itself into capital for him. If it is finally said that the capitalists have only to exchange and consume their commodities among themselves, then the entire nature of the capitalist mode of production is lost sight of; and also forgotten is the fact that it is a matter of expanding the value of the capital, not consuming it. In short, all these objections to the obvious phenomena of over-production (phenomena which pay no heed to these objections) amount to the contention that the barriers of *capitalist* production are not barriers of *production generally*, and therefore not barriers of this specific, capitalist mode of production. The contradiction of the capitalist mode of production, however, lies precisely in its tendency towards an absolute development of the productive forces, which continually come into conflict with the specific *conditions* of production in which capital moves, and alone can move.

There are not too many necessities of life produced, in proportion to the existing population. Quite the reverse. Too little is produced to decently and humanely satisfy the wants of the great mass.

There are not too many means of production produced to employ the able-bodied portion of the population. Quite the reverse. In the first place, too large a portion of the produced population is not really capable of working, and is through force of circumstances made dependent on exploiting the labour of others, or on labour which can pass under this name only under a miserable mode of production. In the second place, not enough means of production are produced to permit the employment of the entire able-bodied population under the most productive conditions, so that their absolute working period could be shortened by the mass and effectiveness of the constant capital employed during working-hours.

On the other hand, too many means of labour and necessities of life are produced at times to permit of their serving as means for the exploitation of labourers at a certain rate of profit. Too many commodities are produced to permit of a realisation and conversion into new capital of the value and surplus-value contained in them under the conditions of distribution and consumption peculiar to capitalist production, i.e., too many to permit

of the consummation of this process without constantly recurring explosions.

Not too much wealth is produced. But at times too much wealth is produced in its capitalistic, self-contradictory forms.

The limitations of the capitalist mode of production come to the surface:

1) In that the development of the productivity of labour creates out of the falling rate of profit a law which at a certain point comes into antagonistic conflict with this development and must be overcome constantly through crises.

2) In that the expansion or contraction of production are determined by the appropriation of unpaid labour and the proportion of this unpaid labour to materialised labour in general, or, to speak the language of the capitalists, by profit and the proportion of this profit to the employed capital, thus by a definite rate of profit, rather than the relation of production to social requirements, i.e., to the requirements of socially developed human beings. It is for this reason that the capitalist mode of production meets with barriers at a certain expanded stage of production which, if viewed from the other premise, would reversely have been altogether inadequate. It comes to a standstill at a point fixed by the production and realisation of profit, and not the satisfaction of requirements.

If the rate of profit falls, there follows, on the one hand, an exertion of capital in order that the individual capitalists, through improved methods, etc., may depress the value of their individual commodity below the social average value and thereby realise an extra profit at the prevailing market-price. On the other hand, there appears swindling and a general promotion of swindling by recourse to frenzied ventures with new methods of production, new investments of capital, new adventures, all for the sake of securing a shred of extra profit which is independent of the general average and rises above it.

The rate of profit, i.e., the relative increment of capital, is above all important to all new offshoots of capital seeking to find an independent place for themselves. And as soon as formation of capital were to fall into the hands of a few established big capitals, for which the mass of profit compensates for the falling rate of profit, the vital flame of production would be altogether extinguished. It would die out. The rate of profit is the motive power of capitalist production. Things are produced only

so long as they can be produced with a profit. Hence the concern of the English economists over the decline of the rate of profit. The fact that the bare possibility of this happening should worry Ricardo, shows his profound understanding of the conditions of capitalist production. It is that which is held against him, it is his unconcern about "human beings," and his having an eye solely for the development of the productive forces, whatever the cost in human beings and capital-values – it is precisely that which is the important thing about him. Development of the productive forces of social labour is the historical task and justification of capital. This is just the way in which it unconsciously creates the material requirements of a higher mode of production. What worries Ricardo is the fact that the rate of profit, the stimulating principle of capitalist production, the fundamental premise and driving force of accumulation, should be endangered by the development of production itself. And here the quantitative proportion means everything. There is, indeed, something deeper behind it, of which he is only vaguely aware. It comes to the surface here in a purely economic way – i.e., from the bourgeois point of view, within the limitations of capitalist understanding, from the standpoint of capitalist production itself – that it has its barrier, that it is relative, that it is not an absolute, but only a historical mode of production corresponding to a definite limited epoch in the development of the material requirements of production.

THE ANATOMY OF GLOBAL ALIENATION

POLITICAL ECONOMY OF THE STRUCTURAL CRISIS AND THE MYTH OF POST-INDUSTRIALISM

Modern capitalism has reached a historical threshold, beyond which lies exploitation on an unprecedented scale, disguised as technological progress. In this part of our study, we analyse the political-economic foundations of the global economy. Our aim is to deconstruct bourgeois myths about the “post-industrial society”, the “knowledge economy” and “deindustrialisation”, as well as to examine the mathematical and structural mechanisms through which capital slows the operation of the law of the tendency of the rate of profit to fall by means of spatial expansion and the radical deskilling of labour. Without a rigorous understanding of these objective economic shifts, it is impossible to develop a correct strategy for the class struggle.

Contemporary global capitalism hasn't overcome the contradictions that characterised its earlier stages of development. As we argued in the inaugural issue of this journal in the article *“From Engels' Manchester to the Global Manchester”*, capital hasn't changed its predatory nature; it has merely extended the infernal conditions of nineteenth-century industrial Manchester to the entire globe. Confronted with the inexorable operation of the law of the tendency of the rate of profit to fall, the system has carried out a tectonic spatial reconfiguration. A substantial share of material production has been relocated to regions offering cheap labour, while the system has subordinated the proletariat of the old imperialist metropolises to digital Taylorism, contemporary

forms of piece-rate labour embodied in the so-called gig economy, and the exhausting culture of hyper-exploitation exemplified by the “996” work regime. Bourgeois statistics and reformist institutions seek to conceal this global sweatshop behind the myths of the “post-industrial society” and the “knowledge economy”, employing sterile terminology to obscure the reality of both the absolute and relative immiseration of the masses.

Today, however, capitalist expansion generates not only physiological exhaustion but also what Friedrich Engels famously termed “social murder”¹, perpetrated against the working class itself, whose demographic resources are literally consumed in the furnaces of platform surveillance and imperialist wars.

1 - F. Engels. *The Condition of the Working Class in England* // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1845/condition-working-class/ch04.htm>

The enforced atomization of workers, together with the false consciousness sustained by the illusions of financial fetishism, namely the fictitious participation in capital through share ownership, and by the ideological dead end of *capitalist realism*, the hegemonic bourgeois conviction that capitalism admits no alternative, has produced an unprecedented level of competition within the proletariat itself, thereby paralysing its capacity for collective resistance. Stripping away the ideological facade of bourgeois apologetics and exposing the underlying structure of the *class-in-itself* points toward the only viable direction of its historical development. This trajectory requires transforming internal competition into proletarian solidarity, breaking decisively with class-collaborationist trade-union reformism, and forging an independent communist vanguard as a necessary condition for the future world communist revolution.

The construction of a world communist party, proclaimed in our *Manifesto* as the outcome of the *real revolutionary movement*, requires a clear understanding of the *present condition* of the working class. The immediate task is therefore to undertake an objective investigation of its underlying structure, its demographic limits of reproduction and survival, and its actual level of class consciousness.

THEORETICAL FOUNDATION: VARIABLE CAPITAL AND THE WAR OF ALL AGAINST ALL

Why has global capitalism, riven by profound internal contradictions, managed to survive successive crises and construct the contemporary planetary architecture of domination? The answer lies not in the system's alleged stability but in the cold logic of political economy. Capital discovered a historical escape route that enabled it to postpone the operation of the inexorable law of the tendency of the rate of profit to fall. The precise mathematical and structural mechanism underlying this reprieve is revealed through an analysis of the classical "*counteracting influences*" discussed by Karl Marx in Volume III of "*Capital*". Foreign trade and the export of capital constitute the most powerful checks upon the fall in the rate of profit. If the rate of profit is expressed by the formula

$$p' = \frac{m}{c+v},$$

then this spatial reorganization enables capital to act simultaneously upon all of its variables: rad-

ically reducing the value of *variable capital*, that is, labour-power (*v*); lowering the cost of the elements of *constant capital* (*c*) through the appropriation of cheap resources; and maximizing surplus value (*s*) through the absolute extension of the working day.

«*Since foreign trade partly cheapens the elements of constant capital, and partly the necessities of life for which the variable capital is exchanged, it tends to raise the rate of profit by increasing the rate of surplus-value and lowering the value of constant capital. It generally acts in this direction by permitting an expansion of the scale of production. It thereby hastens the process of accumulation, on the one hand, but causes the variable capital to shrink in relation to the constant capital, on the other, and thus hastens a fall in the rate of profit. In the same way, the expansion of foreign trade, although the basis of the capitalist mode of production in its infancy, has become its own product, however, with the further progress of the capitalist mode of production, through the innate necessity of this mode of production, its need for an ever-expanding market*».²

At the same time, however, the general law of capitalist accumulation operates with equal inexorability. In the pursuit of profit, the capitalist introduces new technologies, thereby increasing the organic composition of capital (*c/v*). As the variable component of capital inevitably declines in relative terms, the following principle comes into effect:

«*Once given the general basis of the capitalistic system, then, in the course of accumulation, a point is reached at which the development of the productivity of social labour becomes the most powerful lever of accumulation*».³

Here lies the fundamental contradiction of the system. By replacing living labour, the sole source of surplus value, with machinery, capital undermines the very basis of its own profitability. It is precisely for this reason that the bourgeoisie is compelled, with relentless ferocity, to offset the falling rate of profit through the absolute and relative extension of the working day, extracting the maximum possible amount of absolute surplus value from the workers who remain employed.

This means that society's demand for living labour declines in relative terms. With each successive generation of capitalist development, the same volume of output requires fewer workers per unit

2 - K. Marx. *Capital*, Vol. III Part III: Chapter 25 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch14.htm>

3 - K. Marx. *Capital*, Vol. I: Chapter 25 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch25.htm>

of capital. It is precisely in this relative reduction of the labouring population required for production that «*the specifically historical and distinctive character of the mode of production based on capital manifests itself directly*».⁴

The displacement of living labour by machinery isn't a secondary consequence of capitalism but one of its essential characteristics. It is the reality captured in Charlie Chaplin's *Modern Times*: the mechanical consumption of human labour, in which the worker is reduced to a mere cog in the ceaseless motion of the assembly line.

In this respect, the recurring *Future of Jobs Report* published by the World Economic Forum (WEF), together with studies produced by the consulting giant McKinsey, is highly revealing. Apologists for capital predict that artificial intelligence and automation will eliminate as many as 85 million jobs in the coming years while allegedly creating 97 million "innovative" new positions, requiring from the proletariat nothing more than perpetual *reskilling* and *upskilling*. Behind this bourgeois euphemism lies the formation of a reserve army of labour on an unprecedented scale. The "new jobs" so enthusiastically celebrated by the WEF consist, in large measure, not of highly paid engineering positions but of low-paid *data labelers* in the countries of the so-called Global South and workers employed in algorithmically managed warehouses. Capital simply employs technological innovation as another means of de-skilling labour and driving down the value of labour-power to the greatest possible extent.

Algorithmic management and robotization have brought about an extraordinary degree of labour standardization. Capitalism has now approached a situation in which "every worker can produce virtually anything", and therefore "everyone can take the place of everyone else". Marx had already identified this tendency in the mid-nineteenth century:

«The growth of productive capital also means the accumulation and concentration of capital. The consequence of the centralisation of capital is a greater division of labour and a wider application of machinery. A more developed division of labour destroys the worker's specialised skill, replacing this skill with work that

anyone can perform, and thereby increasing competition among the workers.

*This competition becomes all the fiercer because the division of labour enables a single worker to do the work of three. Machinery produces the same result, and on a much larger scale».*⁵

This interchangeability gives rise to an extraordinary degree of competition. As early as 1844, Marx identified an inexorable tendency: the division of labour reduces the worker's specialised skill to a monotonous operation that anyone can perform, with the inevitable consequence that *competition among the workers increases*.⁶ Friedrich Engels expressed the same idea in 1845 in "The Condition of the Working Class in England":

«Competition is the fullest expression of the battle of all against all which rules in modern civil society. This battle, a battle for life, for existence, for everything, in case of need a battle of life and death, is fought not between the different classes of society only, but also between the individual members of these classes. Each is in the way of the other, and each seeks to crowd out all who are in his way, and to put himself in their place.

*The workers are in constant competition among themselves as are the members of the bourgeoisie among themselves. The power-loom weaver is in competition with the hand-loom weaver, the unemployed or ill-paid hand-loom weaver with him who has work or is better paid, each trying to supplant the other. But this competition of the workers among themselves is the worst side of the present state of things in its effect upon the worker, the sharpest weapon against the proletariat in the hands of the bourgeoisie».*⁷

In the twenty-first century, this war has assumed a global scale, intensified by structural shifts and the physiological exhaustion of the class.

ANATOMY OF STRUCTURAL SHIFTS: FROM THE MYTH OF "DE-INDUSTRIALIZATION" TO TERTIARIZATION

To conceal the contradictions of the system, bourgeois statistics offer us a three-sector model of the economy: agriculture, industry, and services. Relying on UNIDO reports (*Structural Change in the World Economy*) and ILO reports (*Global Shifts*

4 - K. Marx. *Grundrisse: Foundations of the Critique of Political Economy (Rough Draft)*, Chapter 15 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1864/economic>

5 - K. Marx. *Works of Karl Marx 1848. On the Question of Free Trade* // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1848/01/09ft.htm>

6 - K. Marx. *Economic and Philosophic Manuscripts of 1844, Wages of Labour* // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1844/manuscripts/wages.htm>

7 - F. Engels. *The Condition of the Working Class in England*, Chapter 5 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1845/condition-working-class/ch05.htm>

in the *Employment Structure*), economists serving the interests of capital proclaim the advent of a classless “post-industrial era.”

Indeed, the figures show tectonic shifts:

- from 1970 to 2005, in global value added, the share of the services sector increased from 52% to 68%;

- de-agrarianization in the zones of old capitalism is virtually complete, with the share of agricultural employment falling to 1-3%, while in countries such as China and India tens of millions of peasants are moving into the cities;

- Asia’s share of global industrial value added has soared, while Europe and North America are experiencing what is called “de-industrialization.”

Here we must make a fundamental digression and expose the anti-scientific character of the very term “de-industrialization”. Historically, the term has been used in different contexts. In particular, in the Morgenthau Plan (1944), it referred to the deliberate dismantling of German industry as an instrument of post-war suppression of a competitor. In the 1970s and 1980s, confronted with a profound structural downturn, bourgeois economists appropriated the term and reinterpreted it as an allegedly natural and painless transition of the West to a “knowledge economy”, which is an ideological mystification concealing the real substance of the process.

From a Marxist standpoint, the euphemism “de-industrialization” conceals a process of large-scale devaluation and destruction of capital, namely of gigantic masses of “dead labour” in the form of constant capital. As Karl Marx demonstrated in Volume III of *Capital*, such destruction takes place under conditions of a structural crisis of over-accumulation: when the law of the tendency of the rate of profit to fall paralyzes capitalist production, the system restores profitability only by barbaric means, physically destroying or radically devaluing previously accumulated productive forces. Factories are closed down and left to rust not because they can no longer produce things useful to society, but because the dead labour objectified in them can no longer function as capital, that is, can no longer extract sufficient surplus value from living labour. “De-industrialization” is not a step toward a bright post-industrial future, but a logical phase in the brutal destruction of excess capital.

But if the old industrial core of the imperialist metropolises is partly consumed in the fires of crisis

and partly relocated to regions of “new” capitalism, what exactly is the enormous and bloated “services sector” that, according to the bourgeoisie, has replaced the factories? To answer this question, Marxist analysis must expose the falsity of the very methodological foundation of bourgeois statistics. The founders of the three-sector model, A. Fisher and C. Clark, relied on Adam Smith’s erroneous assumption that only labour embodied in a material, durable object is productive. Marx leaves no stone unturned in demolishing this illusion:

«Productive labour is here defined from the standpoint of capitalist production, and Adam Smith here got to the very heart of the matter, hit the nail on the head. This is one of his greatest scientific merits (as Malthus rightly observed, this critical differentiation between productive and unproductive labour remains the basis of all bourgeois political economy) that he defines productive labour as labour which is directly exchanged with capital; that is, he defines it by the exchange through which the conditions of production of labour, and value in general, whether money or commodity, are first transformed into capital (and labour into wage-labour in its scientific meaning).

This also establishes absolutely what unproductive labour is. It is labour which is not exchanged with capital, but directly with revenue, that is, with wages or profit (including of course the various categories of those who share as co-partners in the capitalist’s profit, such as interest and rent). Where all labour in part still pays itself (like for example the agricultural labour of the serfs) and in part is directly exchanged for revenue (like the manufacturing labour in the cities of Asia), no capital and no wage-labour exists in the sense of bourgeois political economy. These definitions are therefore not derived from the material characteristics of labour (neither from the nature of its product nor from the particular character of the labour as concrete labour), but from the definite social form, the social relations of production, within which the labour is realised. An actor, for example, or even a clown, according to this definition, is a productive labourer if he works in the service of a capitalist (an entrepreneur) to whom he returns more labour than he receives from him in the form of wages; while a jobbing tailor who comes to the capitalist’s house and patches his trousers for him, producing a mere use-value for him, is an unproductive labourer. The former’s labour is exchanged with capital, the latter’s with rev-

enue. The former's labour produces a surplus-value; in the latter's, revenue is consumed».⁸

To put an end once and for all to the arguments of the advocates of the "knowledge economy", we must recall Marx's key methodological criterion:

«*Productive labour' is such a characteristic of labour which has absolutely nothing to do with the particular content of the labour, with its specific utility or with the specific use-value in which it is expressed*».⁹

Marx explains this with a concrete example:

«*A writer is a productive labourer not in so far as he produces ideas, but in so far as he enriches the publisher who publishes his works, or if he is a wage-labourer for a capitalist*».¹⁰ For Marx, the criterion of productive labour is not the material nature of its product, but the social relation of production: productive is the labour that is exchanged for capital and creates surplus value. A Glovo courier, call-centre operator, or Uber driver is just as much a productive proletarian as a weaver or a miner. Bourgeois statistics continue to preserve an unscientific division between sectors that is chronological rather than logical. In our time, the primary (agricultural) and tertiary (services) sectors have become fully capitalist and have shifted toward the type of mass production characteristic of the secondary (industrial) sector, adopting its methods: standardization, mechanization, and automation.

We categorically reject attempts by sociologists to exclude the so-called "precariat" from the ranks of the working class. At the same time, we do not forget that the sociological myth of the "precariat" conceals the fact that unstable, insecure employment, as the natural condition of relative overpopulation, has *always* been the historical norm for the proletariat. The period of the so-called *welfare state* after the Second World War was merely a temporary anomaly, a product of the post-war economic boom. As the rate of profit declines, capital returns our class to its natural condition of total insecurity.

Once again we are convinced of the strict *invariance* of Marxist doctrine: the so-called "innovative" platforms of the gig economy have not created a new political-economic reality. They have merely brought to technological perfection the most archaic and barbaric form of remuneration, piece-wage, which, as

Marx noted, is the form most suited to the capitalist method of extracting sweat and an ideal instrument for dividing workers against one another.

In any case, a superficial view often classifies couriers or taxi drivers who own their own cars as "typical petty bourgeoisie", erroneously equating them, for example, with the peasants of Tsarist Russia merely because they formally own a means of production, their own automobile. Moreover, it is necessary to understand that in the figure of the "digital" taxi driver we encounter a widespread phenomenon under capitalism: the mixed social figure. Most often, in the evening or during weekends, this person is a taxi driver, while during the day they are a classical wage-worker on a construction site or in a factory; very rarely are they occupied exclusively with driving for Bolt or Uber.

In analysing such mixed, transitional figures, Karl Marx examined in detail the position of independent artisans and peasants in capitalist society. He pointed out that under the domination of capital such a *semi-independent* worker economically "splits into two".¹¹ The classical petty producer appeared on the market as the seller of a *commodity*, rather than of his labour-power. Possessing his own means of production, he was, in relation to himself, both a capitalist and a wage-worker:

«*He thus, as a capitalist, pays himself wages, and draws profit from his capital, i.e. he exploits himself as a wage-labourer and, in the form of surplus-value, pays himself the tribute which labour owes to capital*».¹²

It was precisely because they actually owned land or tools that peasants and artisans had the possibility of *appropriating their own surplus labour* (the surplus value they had created).

However, the attempt by bourgeois sociology to impose this model upon the contemporary platform taxi driver or IT specialist is an ideological fraud. Whereas the peasant of the past was split into capitalist and worker in order *to retain the surplus value for themselves*, the contemporary *gig worker* is split only within the forms of their *exploitation by someone else's capital*. During the day they are directly exploited by industrial capital, at a factory or construction site; in the evening they get into their own

8 - K. Marx. *Theories of Surplus-Value*, Chapter IV, "Theories of Productive and Unproductive Labour" // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1863/theories-surplus-value/ch04.htm>

9 - Ibid.

10 - Ibid.

11 - Ibid.

12 - Ibid.

car in order to be subjected to hidden, algorithmic exploitation by the owners of a digital platform.

Unlike the peasant, who was an independent commodity producer controlling the entire cycle of their economic activity and their access to the market, the contemporary platform worker does not sell an independent commodity on a free market. They control neither pricing, nor the customer base, nor the labour process itself: all of these are monopolized by the corporation. They perform productive labour, that is, they contribute to the expansion of capital, creating enormous surplus value, but this value, unlike the product of the artisan, is appropriated by a third party, the owners of the platform.

As Marx perceptively observed, the capitalist system likes to impose its own appearance and terminology upon relations whose substance is different, producing fictions, such as the purely nominal ownership by a peasant of mortgaged land. The legal status of a taxi driver's "independent contractor-partner" is precisely such a capitalist fiction. This myth is actively cultivated not only in logistics but also in high-tech sectors. For example, the co-founder of the AI start-up Browser-Use cynically compares the work of his programmers, who work 70 hours a week, with that of German farmers who "get up at five in the morning and work without days off". But just as the taxi driver does not control the aggregator, the salaried IT developer does not possess the rights to the neural network he creates; his *surplus labour* serves only to enable the venture capitalist to monetize the product faster than his competitors.

The true means of production, functioning here as capital and dictating the conditions for the creation of surplus value, is the corporation's digital algorithm and aggregated databases. According to Marx, "*the means of production become capital only in so far as they, being separated, confront labour as an independent force*".¹³ In relation to monopoly capital, the taxi driver's car or the programmer's personal computer function merely as instruments of labour. The platform completely subordinates this labour to itself, turning formal ownership of these means of production, the automobile, into a convenient pretext for shifting the costs of depreciation, insurance, and fuel onto the shoulders of the proletarian himself.

Such is the «*tendency of development in the social formation in which the capitalist mode of production predominates*»¹⁴: capital inevitably deprives the worker of real independence, erasing every form of autonomy and transforming the nominal owner of the means of production into an absolutely dependent, exhausted wage-slave of the digital conveyor belt.

However, Marxist dialectics requires us to see here not only absolute subordination but also the material preparation for the collapse of the system itself. By creating global platforms for coordination and logistics, capital drives the socialization of labour to unprecedented scales. The algorithms of Amazon or Uber are a distorted, *alienated* form of planned economy. They concentrate within themselves socialized knowledge and the coordination of labour on a scale inconceivable for an individual enterprise. In this sense, they embody what Marx called *general social knowledge*: the transformation of social knowledge into an immediate productive force. Yet the objective function of these systems is fundamentally different from that of a planned economy: they optimize not the satisfaction of social needs but the extraction of profit. This is not a planned economy but its alienated double: the socialization of the process while private appropriation of the result is maintained.

«*The development of fixed capital indicates the degree to which general social knowledge has become a direct force of production, and to what degree, hence, the conditions of the process of social life itself have come under the control of the general intellect and been transformed in accordance with it; to what degree the powers of social production have been produced, not only in the form of knowledge, but also as immediate organs of social practice, of the real life process*».¹⁵

This colossal productive force is already entering into an irresolvable contradiction with the narrow private-property shell of venture capital. The task of the proletariat is not to destroy these digital chains, but to expropriate them after the communist revolution and reconfigure them to satisfy social needs rather than maximize profit. The extremely high degree of "self-exploitation" experienced by these workers is conditioned not by the "freedom

13 - Ibid.

14 - Ibid.

15 - K. Marx. *Grundrisse: Foundations of the Critique of Political Economy (Rough Draft)*, Chapter 14 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1857/grundrisse/ch14.htm>

of the independent entrepreneur” but by the most brutal form of piece-wage labour.

The clearest example of the masking of this sweatshop extraction of surplus value is the expansion of the “996” culture, working from 9 a.m. to 9 p.m., six days a week, from Asian IT corporations into Western start-ups in Silicon Valley and New York. The bourgeois press has noted with astonishment how venture capital openly demands 70- to 80-hour working weeks from salaried programmers and AI developers. This corporate coercion originated in Asia, where capitalists such as Alibaba founder Jack Ma called the “996” schedule “*a huge blessing*”, while JD.com chairman Richard Liu openly branded workers who refused overtime “*lazy*”. The excessively long working day in Western startups, however, also has a history of its own that cannot be reduced to the importation of Asian practices: Silicon Valley venture capital developed its own ideology of hyper-intensive labour. Concealing themselves behind free gym memberships and ideological slogans about “*customer obsession*” and the search for workers with the character of “*Olympic athletes*”, corporations resort to the most primitive method of the initial accumulation of capital: maximizing absolute surplus value through the barbaric extension of the working day. This total colonization of life by capital goes so far that IT workers are housed in so-called “*hacker houses*”, erasing the last boundaries between the workplace and the sphere of physiological reproduction. As the adherents of this culture themselves admit, their excessive labour becomes “*an addiction similar to video games*”. This is the ideal form of alienation: the proletarian, whose exploitation has reached the stage of gamification, voluntarily works himself to exhaustion, perceiving the extraction of surplus value from himself as an engaging process.

Moreover, as the British philosopher Mark Fisher demonstrated in *Capitalist Realism*, in the era of so-called “post-Fordism,” beginning in the late 1970s, capital’s abandonment of the old disciplinary factory schedules and pyramidal hierarchies did not lead to freedom but to a total intensification of control over workers, that is, to *the real subsumption of labour under capital*. The proclaimed “flexibility” of working hours in practice turned into an obliga-

tion to work constant overtime, with employees required not merely to work their hours but to “realize themselves”, demonstrating perpetual enthusiasm. Fisher calls this phenomenon “market Stalinism”, a system combining ruthless market imperatives with monstrous bureaucratic reporting, in which symbols of achievement, such as filling out a pile of performance metrics, become more important than the work itself.¹⁶ This is confirmed by capitalists themselves: as partners at investment funds such as Menlo Ventures openly acknowledge, coercion into a “996” schedule inevitably leads to “*simulating intense activity*”. This system conceals total alienation. A worker confined to an office for twelve hours is physically incapable of being productive for all of that time, yet the system forces him to simulate productivity in order to meet algorithmic performance indicators.

Thus, this is neither the petty bourgeoisie nor a privileged caste of creative workers, but a proletariat drawn into relations of wage labour disguised as “partnership”.

The “deindustrialization” of the West, exaggerated and deployed by the bourgeoisie for ideological purposes, is not the “death of industry” but its spatial and functional fragmentation.

Moreover, the structure of manufacturing itself, as the data of UNIDO demonstrate, has undergone enormous internal differentiation. Traditional industries, such as textiles and metalworking, are giving way to high-tech sectors, such as IT, chemicals, and precision instrumentation. This process is highly uneven across the world: while the United States has radically shifted toward IT and chemicals at the expense of traditional sectors, China has leapt from heavy industry to the production of electronics and transport equipment. Italy represents a notable anomaly among developed countries, where, paradoxically, a high share of traditional industries, such as textiles and footwear, persists. India is modernizing slowly, remaining concentrated in basic metals and chemicals, while Russia has become frozen in structural stagnation, relying almost exclusively on resource extraction and metallurgy. This international disproportionality of production chains only intensifies the fragmentation of the global proletariat.

16 - In the strict categories of Marxist political economy, this phenomenon represents the apotheosis of the real subsumption of labour under capital and the dictatorship of abstract labour over concrete labour. Capital is indifferent to use-value and to actual utility, that is, to concrete labour. Its sole concern is the generation of quantitative metrics through which the valorisation of value can be recorded. By forcing the proletarian to fill out endless performance metrics (KPIs), the system shifts the unproductive costs of supervision onto the worker himself, compelling him to expend his labour-power on the bureaucratic administration of his own exploitation.

Bourgeois economists, such as Richard Baldwin or World Bank theorists, would attempt to object by invoking the theory of “Global Value Chains” and the so-called “smile curve”. They argue that the relocation of production to Asia represents natural progress, whereby the West reasonably retains the most profitable and “intellectual” stages, such as research, design, and marketing, while physical assembly allegedly generates minimal value. Consequently, they argue, the so-called “de-industrialization” of the West represents a positive transition toward a “knowledge economy”.

However, drawing upon Marx’s economic legacy and Lenin’s theory of imperialism, we can readily expose this apologetics. Bourgeois theorists of “global value chains” deliberately overlook the law governing the modification of value on the world market. As Marx pointed out:

«In every country there is a certain average intensity of labour below which the labour for the production of a commodity requires more than the socially necessary time, and therefore does not reckon as labour of normal quality. Only a degree of intensity above the national average affects, in a given country, the measure of value by the mere duration of the working-time. This is not the case on the universal market, whose integral parts are the individual countries. The average intensity of labour changes from country to country; here it is greater, there less. These national averages form a scale, whose unit of measure is the average unit of universal labour. The more intense national labour, therefore, as compared with the less intense, produces in the same time more value, which expresses itself in more money.

But the law of value in its international application is yet more modified by the fact that on the world-market the more productive national labour reckons also as the more intense, so long as the more productive nation is not compelled by competition to lower the selling price of its commodities to the level of their value.

In proportion as capitalist production is developed in a country, in the same proportion do the national intensity and productivity of labour there rise above the international level. [2] The different quantities of commodities of the same kind, produced in different countries in the same working-time, have, therefore, unequal international values, which are expressed in different prices, i.e., in sums of money varying according to international values. The relative value

*of money will, therefore, be less in the nation with more developed capitalist mode of production than in the nation with less developed. It follows, then, that the nominal wages, the equivalent of labour-power expressed in money, will also be higher in the first nation than in the second; which does not at all prove that this holds also for the real wages, i.e., for the means of subsistence placed at the disposal of the labourer».*¹⁷

Even under formally “free” trade, one hour of an engineer’s labour in the old imperialist metropolises is exchanged for dozens of hours of exhausting labour performed by a worker in Bangladesh. Western capital appropriates this difference not merely as monopoly rent, but as the result of objective unequal exchange: the poorer nation systematically gives up a greater mass of materialized living labour in exchange for a smaller one.

As Marx demonstrated in Volume III of *Capital* in his analysis of the transformation of surplus value into profit, value is created exclusively by living productive labour in the process of production, not in the offices of marketing departments. What bourgeois analysts call the “high value added” of Western brands and IT monopolies is, in reality, a gigantic imperialist rent. In Lenin’s terms, modern imperialism is not merely an unfair exchange of commodities; it is the total dictatorship of finance capital and the fusion of banking monopolies with the state apparatus. The export of capital, rather than merely the export of commodities, serves as the principal instrument for slowing the crisis in the major imperialist centres. Through unequal exchange, financial diktat, and intellectual-property patents, the transnational monopolies of the imperialist metropolises simply siphon off, and appropriate, the surplus value created by the hyper-exploited industrial proletariat of the “Global South”. Western capital has not begun to produce more “intellectual wealth”; it has simply become more efficient at exploiting the global working class.

To finally dispel the bourgeois myth of the disappearance of industrial labour, it is sufficient to turn to the International Labour Organization’s (ILO) aggregated ILOSTAT databases. The statistics are unequivocal: not only has the industrial proletariat not physically disappeared; it has reached an absolute historical maximum. On a global scale, between 750 and 800 million workers are currently employed in the industrial sector, including man-

17 - K. Marx. *Capital*, Vol. I: Chapter 22 //Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch22.html>

ufacturing, mining, and construction. What has changed fundamentally is only their geographical concentration: more than 60 percent of this colossal labour force is now concentrated in the countries of the “Global South,” predominantly in Asia, including China, India, Vietnam, Bangladesh, and Indonesia. Capital has carried out a massive *spatial shift*, relocating the physical production once carried out in the factories of Detroit and Sheffield to the industrial zones of Guangzhou and Dhaka. And if, in the nineteenth century, the power of European industry was captured on Adolph von Menzel’s monumental canvas “The Iron Rolling Mill” (1875), celebrating the exhausting labour of German workers, today this industrial hell is concealed from the eyes of the Western philistine behind the high walls of Asian mega-factories.

THE ILLUSION OF WEALTH AND THE FALLING SHARE OF LABOUR

To keep the working class in submission, capital employs a powerful ideological weapon: the statistical illusion of rising incomes. Reports from inequality research centres, such as the LIS Data Center, deconstruct the “myth of the impoverishment of the middle class”, showing that over the past 40 years real household labour incomes in Western countries have risen in absolute terms, by an average of 33 percent over 30 years.

Moreover, the World Bank regularly reports the historic successes of capitalism in eradicating poverty, emphasizing that hundreds of millions of people have risen above the absolute poverty line, artificially established by bourgeois institutions themselves at two dollars a day.

Marxism makes a strict distinction between *absolute* and *relative impoverishment*. The economic “pie”, thanks to technological development, is growing at an enormous pace. Yet fundamental macroeconomic research, such as *The Declining Labor Share of Income*, demonstrates incontrovertibly that since the 1980s the share of national income going to labour compensation has been steadily declining across the world. This alone makes the claim of “rising incomes” subject to an important methodological qualification: the data of the LIS Data Center and the World Bank record an expansion of consumption possibilities, but do not take into

account the rising cost of the basic conditions required for the reproduction of labour-power. It is precisely this gap between the growth of consumer incomes and the growth in the cost of reproducing labour-power that is crucial for understanding relative impoverishment in the Marxist sense.

Data from the World Inequality Lab and consolidated Oxfam reports document a persistent tendency toward the concentration of capital, confirming the continued relevance of Marx’s general law of capitalist accumulation under contemporary conditions: the increase in the consumer possibilities of the proletarian masses proclaimed by the bourgeoisie, such as the ability to purchase inexpensive smartphones or clothing, is completely offset by their total class dispossession of the means of production and the unprecedented rise in the cost of the basic conditions of survival, above all housing and healthcare. Here the absolute, general law of capitalist accumulation formulated by Marx reveals itself in its full force:

«*The greater the social wealth, the functioning capital, the extent and energy of its growth, and therefore also the greater the absolute mass of the proletariat and the productivity of its labour, the greater is the industrial reserve army. [...] The accumulation of **wealth at one pole** is, therefore, at the same time accumulation of misery, agony of toil, slavery, ignorance, brutality and moral degradation at the **opposite pole**, i.e. on the side of the class that produces its own product in the form of capital*».¹⁸

The principal drivers of this process are automation and the cheapening of constant capital. Capital deliberately replaces living labour with machinery. The paradox of the present is that a worker today consumes more commodities in absolute terms than his grandfather did in 1980, while the degree of his exploitation has increased many times over. The entire superprofit generated by the IT revolution has been expropriated by corporations, while the small absolute addition of *crumbs from the bourgeoisie’s table* provides the material basis for the political opportunism of the labour aristocracy of the old imperialist metropolises.

Defenders of capitalism from the IMF and the WEF like to counter this with the absurd bourgeois theory of “human capital”¹⁹ and the concept of “creative destruction”. Their argument boils down to the claim

18 - K. Marx. *Capital*, Vol. I: Chapter 25 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch25.htm>

19 - The bourgeois concept of “human capital” is an ideological falsehood concealing the qualitative and quantitative characteristics of labour-power as a commodity that the wage-worker is compelled to sell on a daily basis.

that technological unemployment is temporary: allegedly, automation inevitably creates demand for new, more creative professions, and the proletariat need only “upgrade its skills” (upskilling).

This liberal illusion is shattered by the general law of capitalist accumulation. Contrary to the fairy tales of the neoclassical school, Marx demonstrated incontrovertibly that under capitalism the introduction of machinery serves not to make labour easier, but to cheapen it to the greatest possible extent and break the workers class resistance.

At the very beginning of the chapter “Machinery and Large-Scale Industry”, Marx writes:

«John Stuart Mill says in his *Principles of Political Economy*: “It is questionable if all the mechanical inventions yet made have lightened the day’s toil of any human being”.

But this is by no means the aim of the machinery employed by capitalism.

Like every other increase in the productivity of labour, machinery is intended to cheapen commodities and to shorten that portion of the working day in which the worker works for himself, in order to lengthen that other portion of the day, in which he works gratis for the capitalist. Machinery is a means for producing surplus-value».²⁰

In the section of the same chapter, which is entitled “The Struggle between the Worker and the Machine”, Marx writes explicitly that capital consciously finances the invention of new machines in order to replace striking skilled workers with compliant mechanisms:

«But machinery not only acts as a competitor who gets the worker superfluous. It is a power inimical to the worker, and capital proclaims it as such and uses it as such. It becomes the most powerful weapon for repressing the periodic revolts of the working class, strikes, etc., against the autocracy of capital. According to Gaskell, the steam-engine was from the first an antagonist of ‘human power,’ an antagonist that enabled the capitalists to crush the growing demands of the workers, which threatened to bring the newly developing factory system to a crisis. One could write quite a history of the inventions, made since 1830, for the sole purpose of supplying capital with weapons against the revolts of the working class».²¹

In the same section, Marx quotes the Scottish engineer and inventor James Nasmyth, who invented

a new steam hammer precisely in response to strikes by blacksmiths. Before a trade-union commission, Nasmyth testified:

«One great feature of our modern mechanical improvements is the introduction of automatic machinery. What the machine worker has now to do is not to work himself but to superintend the beautiful working of the machine, which any young boy can do. The whole class of workmen that depended exclusively upon their skill has now been done away with. I formerly employed four boys to one mechanic. By these new mechanical improvements I have reduced the number of grown men from 1,500 to 750. The result was a considerable increase in my profits».²²

Mechanization generates relative overpopulation, that is, the industrial reserve army. Today’s “new jobs” for the proletarian masses displaced from the industrial core are not jobs in engineering, but low-paid employment in the service sector and logistics. Capital deliberately deskills labour, a process constituting the real subsumption of labour under capital, transforming the vaunted “human capital” into an easily replaceable cog in the platform economy, stripped of any bargaining power.

Thus, objective structural analysis demonstrates that the large-scale introduction of technology and the global relocation of production have not abolished the fundamental contradiction between labour and capital, but have merely given it a contemporary form and hypertrophied it. Capitalism has successfully employed digital algorithms to devalue labour-power, maximize absolute surplus value, and subject labour to total domination, while concealing this process behind the illusion of growing consumer wealth. Yet this historical postponement comes at the price of creating an unprecedented global reserve army of labour and an extreme intensification of exploitation. This political-economic dead end of the capitalist system leads inexorably to the next stage of our analysis: the physical and mental limits of the proletariat itself, which will be the subject of the next part of our study.

May 2026

20 - K. Marx. *Capital*, Vol. I: Chapter 15 // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch15.htm>

21 - Ibid.

22 - Ibid.

THE TRANSFORMATION OF THE LABOUR MOVEMENT AFTER 1968

The text presented here is merely a brief introduction to a series of articles. It is therefore general in character, offering an overview and a theoretical perspective. In writing it, we did not seek to provide a detailed analysis of individual strikes, but rather to sketch out the political-economic map on the basis of which the world proletariat, wandering and making mistakes, has been moving for the past half-century.

The late 1960s marked the exhaustion of the potential of the cycle of capitalist accumulation that had begun following the destruction of capital during the Second World War. The events of 1968–1969 – above all, the French “May” and the Italian “Hot Autumn” – were not reducible to student riots or isolated political outbursts: they coincided with a broad workers’ movement and laid bare the accumulated contradictions of the post-war model of state-monopoly capitalism.

The system of mass assembly-line production (the so-called “Fordism”), which had ensured high rates of growth in the 1950s and 1960s, was showing signs of exhaustion by the end of the decade. Among the competing explanations of this crisis, a prominent place is occupied by the Marxist law of the tendency of the rate of profit to fall: according to it, the continuous increase in the mass of machinery per worker (the growth of the organic composition of capital) meant that the surplus value created by living labour could no longer sustain the previous rate of profit.

At the level of production, the crisis manifested itself directly in the factories. The intensification

of labour reached its limits, and workers responded with an increase in mass absenteeism, labour turnover, deliberate damage to equipment (sabotage) and defective output – this was recorded in factories in the US, Italy and France and is well documented in the literature on labour history.

For the ruling class, this objective impasse at the level of production developed into a full-scale crisis. Its symptom was stagflation, which called into question the effectiveness of the Keynesian model of state regulation that had prevailed since the 1940s.

Keynesianism was followed by an ideological re-orientation towards monetarism and neo-liberalism (the Chicago School of Economics, M. Friedman, F. von Hayek). These ideas, which had previously remained on the periphery of the post-war economic mainstream, gained widespread acceptance in the 1970s – partly because they offered a coherent alternative programme at a time when the previous model was faltering. Under the slogans of “fighting inflation”, “freeing markets” and “supply-side economics”, policies were pursued that included dismantling elements of the “welfare state”, restraining wages

and deregulating the movement of capital. Critics of this course – both at the time and subsequently – regarded it as a way of shifting the costs of the structural crisis onto wage labourers.

Alongside the direct assault on wages, neo-liberalism set in motion a process of large-scale financialisation. Against the backdrop of stagnating real incomes for the working class in the old metropolises from the 1970s onwards, financial capital began artificially to sustain levels of mass consumption through aggressive lending. The proletariat found itself ensnared in mortgages, consumer loans and student debt. In Marxist terms, this amounts to the direct extraction of a portion of the necessary product (the value required to reproduce labour power) through the mechanisms of fictitious capital and interest, leading to an unprecedented system of economic coercion. Debt bondage became a powerful instrument of class domination and discipline: a proletarian's ability to strike and risk losing their job falls sharply when they face the threat of immediate repossession of their home by the bank.

Faced with a falling rate of profit and the exhaustion of the post-war growth model, capital sought new ways of reducing costs. The response was global restructuring: the large-scale export of capital – an essential feature of imperialism – to countries with cheaper labour. This process was driven primarily by the logic of market competition; its political consequence – regardless of whether it was deliberately planned – was the weakening of the old industrial trade unions in the Western countries. The transfer of a significant portion of industrial production from the old Western imperialist metropolises to countries with a lower organic composition of capital altered the structure of employment and the social base of the labour movement. Thus, the objective impasse of the old industrial model, coinciding with the political course pursued by the ruling class, brought about a new geography of global capitalism.

The technological precondition for this global restructuring and the “flight” of capital was a revolution in the sphere of circulation – the mass adoption of containerisation in maritime transport in the 1960s and 1970s. The introduction of the standardised shipping container dramatically accelerated the turnover of capital and drastically reduced the costs of transporting goods, acting as a powerful counter-tendency to the falling rate of profit. However, the adoption of this innovation also addressed a crucial political

task: it radically altered the technical composition of capital in logistics and thereby physically undermined the structural power of dockworkers – historically one of the most militant and cohesive sections of the proletariat, which, before the container era, could paralyse the “circulatory system” of world trade with a single strike.

The processes described clearly demonstrate how economic changes and political decisions condition one another – making any purely economic or purely political analysis of this period inherently incomplete.

Thus, the waves of strikes in the 1970s unfolded against a backdrop of tectonic shifts in the capitalist mode of production itself. The workers' economic resistance was confronted not merely by the position of individual corporations, but by a large-scale attempt on the part of the capitalist system as a whole to shift the costs of the structural crisis onto wage labourers. In this sense, the strike struggles of that period went beyond the usual bargaining over working conditions and acquired a broader political dimension. The working class lost that battle.

THE CRISIS OF FACTORY DESPOTISM AND THE LIMITS OF SPONTANEOUS STRUGGLE (THE 1970S)

In the early 1970s, the factory system of labour organisation (Taylorism) reached the limits of its effectiveness. Workers' resistance was directed both against the intensification of labour and against the official trade unions, which by that time had lost the trust of a significant proportion of the workforce, having ceased to be independent organisations representing class interests and having definitively transformed themselves into an apparatus of class collaboration with the bourgeoisie.

In large factories, workers turned to direct action – “wildcat” strikes. In 1972, a strike broke out at the General Motors plant in Lordstown, USA, in protest against the intensification of labour: the assembly line was running at a rate of around 100 cars per hour, leaving workers approximately 36 seconds for each operation. In 1973, workers at the French Lip factory in Besançon occupied the plant and organised independent production and sale of watches.

These events reveal an internal contradiction that can be described in dialectical terms. On the one hand, they demonstrated the workers' genuine capacity

for grassroots self-organisation – in defiance of both the official trade unions and the capitalists. On the other hand, the Lip experience itself illustrates the limits of this self-organisation in the absence of a broader political strategy. Having occupied the factory, the workers found that isolated workers' self-management was forced to operate according to the very laws of the market against which it had rebelled: to compete, cut costs and seek buyers. The enterprise survived in various forms until 1981 and was repeatedly reorganised – which in itself testifies to the resilience of the experiment, but also to the constant pressure of the market and political environment, which the enterprise ultimately could not withstand.

Marx and Engels wrote in *The German Ideology* that «*the ideas of the ruling class are in every epoch the ruling ideas*»¹. Left to the mercy of spontaneity and deprived of a revolutionary party, the working masses inevitably fall captive to bourgeois ideas – and the Lip workers were no exception: they naively believed that they could become a “just” collective capitalist in the ocean of market spontaneity. Lacking political leadership and the goal of smashing the state machine of capital, they remained defenceless against the logic of the world market, which ruthlessly forced them to exploit themselves, while the repressive apparatus of the bourgeoisie predictably isolated and stifled this and other spontaneous centres of trade-unionist struggle (limited to the confines of the capitalist system).

THE DESTRUCTION OF FIXED CAPITAL: THE BRITISH MINERS' STRIKE (1984–1985)

In its efforts to overcome the crisis of over-accumulation and restore the rate of profit, capital was faced with the need to radically reduce the cost of labour. The organised labour movement remained the main obstacle to this. However, it was not the official trade union structures that posed a threat to the system – their top bureaucracy had long since become intertwined with the state-monopoly apparatus, assuming the role of buffer and manager of the class compromise. The real danger lay in the grassroots militancy of the working masses, which was capable of paralysing the economy. Consequently, in the 1980s, the ruling class embarked on a targeted political and economic assault on the most organised

sections of the labour movement. The British miners' strike of 1984–1985 was a prime example of this.

The Thatcher government did not enter into confrontation with the miners unprepared. As early as 1977, an internal Tory Party document (the “Ridley Plan”) outlined a strategy for confronting the trade unions, including the stockpiling of coal. By 1984, stocks at power stations had been significantly increased, depriving the strike of an immediate economic lever of pressure. The extent to which these preparations were centrally planned remains a matter of historical debate; however, the very fact of the state's structural readiness for a protracted confrontation is evident.

The British coal-mining industry had historically developed a high organic composition of capital, which exerted downward pressure on the rate of profit. The industry's fatal crisis came when it became uncompetitive vis-à-vis producers using other energy sources (oil, gas and nuclear power) and cheap imported coal. The individual labour time required to produce a unit of energy from coal in deep British mines proved to be substantially greater than the new, globally established socially necessary labour time. In these circumstances, the decision to close the mines and carry out mass redundancies among miners – initially, the plan involved 20 mines and 20,000 jobs, although by the end of the decade the number of mines closed was considerably greater – was, from a political-economic perspective, an act of forcibly subjecting the industry to the dictatorship of the global law of value: the physical destruction of vast masses of “dead labour” (fixed capital) that had ceased to secure the required rate of profit and had therefore been devalued by the world market.

The state deployed its entire arsenal of repression: from the confiscation of trade union funds to large-scale police violence, one of the best-documented examples of which was the Battle of Orgreave. However, the defeat of the strike was determined not only by external pressure from the state. Here, it is necessary to take into account the internal contradictions of the labour movement itself. The strike began without a nationwide ballot of NUM² members, which undermined its legitimacy from the outset in the eyes of some organised workers and provided its opponents with a formal argument. The split

1 - K. Marx. *The German Ideology* // Marx Engels Archive. URL: <https://www.marxists.org/archive/marx/works/1845/german-ideology/ch01b.htm>

2 - NUM - National Union of Mineworkers

within the miners' movement led to the formation of the strike-breaking UDM³, which drew its support primarily from the Nottinghamshire mines. The TUC⁴ and a number of industrial trade unions limited their support for the strikers: from a class perspective, this behaviour was a logical consequence of the institutional integration of the trade union bureaucracy with the state-monopoly apparatus. The bureaucracy of the official trade unions constitutes a classic labour aristocracy, bribed by the super-profits of imperialism. It objectively acted as the direct agency of the bourgeoisie within the labour movement, prioritising the preservation of its privileged position over class solidarity with the strikers.

The combination of these factors – state preparations, legal pressure, internal divisions and the refusal of the trade union apparatus to give full support to the striking workers – sealed the miners' defeat. This crushing defeat paved the way for a large-scale offensive against the working conditions and social gains of the working class.

CLASS STRUGGLE EAST OF THE BERLIN WALL AND THE PRICE OF ILLUSIONS

The "Solidarity" movement in Poland (1980–1981), having begun as a classic form of proletarian resistance to the reduction in the value of labour power, harboured an internal contradiction from the very outset. The Catholic Church and the liberal intelligentsia (above all, the circles around KOR⁵) became an organic part of the movement, partly because Catholic and nationalist identities were widespread among the workers themselves. This internal ideological mixture determined the heterogeneity of the movement: alongside demands concerning working conditions and the right to independent trade unions, national-Catholic and anti-communist motives were present from the outset, reflecting the genuine convictions of a significant proportion of the participants, rather than merely an agenda imposed from outside.

In the absence of an independent class programme and amid a deepening economic crisis, the movement was unable to maintain a proletarian class line. Subsequently, in 1989–1990, it was precisely the pro-Western and liberal factions that found

themselves in the most advantageous position, enabling them to convert the movement's accumulated political capital into positions within the new system. The energy of the working class, which lacked its own revolutionary vanguard, was once again used in the interests of one of the factions of capital.

The miners' strikes in Kuzbass and Donbass in 1989 were a spontaneous working-class response to the deep structural crisis of the USSR's economy – a crisis stemming from the exhaustion of the extensive model of accumulation and manifested in technological backwardness, chronic imbalances (primarily between Departments I and II) and an acute shortage of goods. It was here that the dominance of the ruling class's ideas manifested itself with the greatest brutality and tragic clarity. Deprived of a communist programme, the workers mistakenly demanded "economic autonomy" for enterprises. This demand objectively turned the proletariat into a blind battering ram in the hands of that section of the nomenclature (the de facto bourgeoisie) which was preparing to dismantle the inefficient form of the economic system.

Faced with a falling rate of profit, the party and economic nomenclature, which already controlled the resources, used the workers' protest to discard the thoroughly rotten fiction of "socialism".

The class energy of the miners, channelled into the false trade-unionist path, ensured capital's successful transition to privatisation. Yesterday's secretaries of CPSU committees transformed themselves into "efficient owners" in the blink of an eye. For the proletariat, however, this resulted in the destruction of the productive forces and acts of desperate futility (for example, the "railway wars" of 1998).

THE "NEW" RESERVE ARMIES OF LABOUR AND "OLD" EXPLOITATION

Since the 1990s, the process of globalisation has entered a new phase: the intensification of capital exports and the relocation of production have coincided with internal processes of industrialisation in Asia, Africa and Latin America. As a result of this interaction, *one of the largest contingents of the global industrial proletariat in history* in terms of absolute numbers has emerged – although the proportion

3 - UDM - Union of Democratic Mineworkers

4 - TUC - Trades Union Congress

5 - KOR (Komitet Obrony Robotników – Workers' Defence Committee) – a Polish opposition organisation founded in 1976 by a group of intellectuals: historians, lawyers and writers. It was established in response to the repression of workers following the strikes in Radom and Ursus in 1976. Members of KOR provided legal and material assistance to the affected workers and their families – hence the name. In 1977, the organisation broadened its remit and renamed itself KSS – KOR (Committee for Social Self-Defence – KOR), and in 1981 it dissolved itself following the legalisation of "Solidarity".

of industrial workers in total employment has continued to decline in a number of countries. By concentrating millions of workers in the mega-factories of China and India, capital, in accordance with its own inexorable law, is creating its own gravediggers. Strikes here are fierce, directly affecting the global mass of surplus value.

In the old metropolises of imperialism, the bourgeois illusion of a “post-industrial society” masks the fact that the industrial and logistics working class has not disappeared. By offloading some “unprofitable” production to countries with a lower value of labour power, capital has offset the fall in the rate of profit within the old metropolises through the super-exploitation of cheap labour – drawing millions of migrants into construction, meat processing, heavy industry and logistics hubs. The import of relatively cheap labour has enabled the bourgeoisie to reduce the average cost of reproducing labour power and to divide the proletariat along national lines.

However, this renewed industrial working class continues to resist.

In Germany in 2020, appalling exploitation of Eastern European migrants came to light at the giant meat-processing plants of the monopolist Tönnies, where they had been hired through a system of subcontracting firms (the so-called “*Werkverträge*”). Because of their extreme vulnerability, the constant threat of deportation and the fact that their accommodation in overcrowded barracks was directly dependent on the owner of the enterprise, the workers were virtually unable to organise a full-scale strike. Their main forms of protest remained scattered complaints.

However, this super-exploitation suddenly became the subject of high-profile exposés by the liberal bourgeois media and human rights NGOs. This was not an act of abstract humanism. The plight of these disenfranchised workers was cynically used as a tool in the competitive struggle between different factions of capital.

In the US, the nationwide strike by the United Auto Workers (UAW) in autumn 2023 – a victory *in terms of its immediate results*, which affected the plants of the “Big Three” – secured a substantial increase in wages and improvements in working conditions. However, critics within the labour movement pointed out that questions concerning employment at electric-vehicle plants and the position of temporary

contract workers remained unresolved. The 2022 victory of the Amazon warehouse workers’ collective at JFK8 on Staten Island, whose ranks were predominantly made up of Black and Latin American workers, demonstrated the real possibility of self-organisation in a sector previously considered impossible to organise – although subsequent difficulties in securing a first collective agreement and organisational problems within ALU⁶ laid bare the limits of a victory in trade union elections without a stable, autonomous class structure. Be that as it may, both cases shattered the myth that industrial class struggle had disappeared at the heart of imperialism.

A key feature of the transformation of capitalism after 1968 was colossal socio-demographic change – first and foremost, the mass feminisation of wage labour. Faced with falling profits, capital dismantled the Fordist “single-breadwinner” model (the male worker’s family wage). The entry of women into social production is the first condition of their emancipation; however, under capitalism, it has resulted in double oppression. The sharp reduction in the value of labour power has meant that, in order to secure a family’s basic subsistence, both men and women are now forced to sell their labour power. At the same time, the colossal burden of unpaid reproductive labour (raising children, caring for the sick and running the household) has not disappeared, falling primarily on women’s shoulders. Capitalism has continued to prey on this labour, effectively subsidising the costs of the social reproduction of a new generation of workers at women’s expense. This is precisely why feminist and women’s strikes (from Latin America to Europe) form part of class resistance as a whole. They have laid bare the fact that capitalist accumulation is based not only on direct surplus labour at the workbench, but also on the total appropriation of unpaid reproductive labour.

In inseparable connection with this process, there has been a large-scale proletarianisation of the service sector, healthcare and education. Whilst in the mid-20th century these spheres appeared to analysts to be far removed from classical production, today capital has brought about their real subordination, transforming social reproduction into a commodity. Teachers, nurses and social workers are subjected to the most brutal form of neo-Taylorism: strict time quotas per patient or pupil are imposed, algorithmic

6 - Amazon Labor Union – an independent trade union that emerged on 20 April 2021 from The Congress of Essential Workers, an organisation founded by Chris Smalls following his dismissal from JFK8 for organising a strike in protest against Amazon’s policies during the COVID-19 pandemic. On 1 April 2022, workers at JFK8 on Staten Island secured the first-ever recognition of a trade union at an Amazon facility in the US.

control is introduced, and every step is commercialised. Social benefits have been transformed into ordinary commodities. In response to this degradation of working conditions, the vanguard of the modern class struggle in the metropolises has shifted precisely into these sectors. The powerful nurses' strikes in the UK and the unprecedented wave of "Red for Ed" teachers' strikes in the US demonstrate that the proletariat of the social sector is today striking against the very logic of capitalism's destruction of the conditions of human reproduction.

Alongside industrial exploitation, capital extracts surplus value from precarious sections of the workforce through the so-called "gig economy". Platform workers – employed, albeit under conditions of extreme instability – do not correspond to the Marxist category of the reserve army of labour in the strict sense: the latter refers to the unemployed or partially employed, who exert downward pressure on wage levels. Nevertheless, platform employment is functionally akin to this category: it keeps workers in a state of constant competition with one another and hinders collective organisation. Platforms (Uber, Deliveroo, etc.) are not merely a technological innovation, but the latest digital form of the real subordination of labour. Here we are witnessing the revival, in a high-tech guise, of the classic piece-rate wage, which, as analysed in detail in Volume I of *Capital*, is the form most suited to the capitalist system of sweatshop production and the extension

of the working day. Algorithmic control is heir to Taylorism's objective – the maximum intensification of labour – but achieves it by different means: not through timekeeping and the standardisation of operations, but through the management of demand, ratings and dynamic pricing. Operational flexibility is retained, and it is precisely this that serves as ideological cover, allowing wage labour to be presented as a "partnership". The derisory legal fiction of the "independent contractor" flatters the self-esteem of the atomised worker, but in reality merely masks the classic piece-rate form of remuneration, shifting the costs of reproducing labour power (vehicle depreciation, medical treatment) onto the proletarian themselves.

It is telling that early protests in the "gig economy" often took place not under slogans calling for the abolition of wage labour, but around demands for "fair competition" and "transparent rates" – that is, within the petty-bourgeois horizon of a "fair market". This clearly demonstrates how the legal fiction of self-employment shapes workers' real consciousness, reproducing the ruling ideas even under conditions of objective exploitation. However, the law of the concentration and socialisation of labour operates inexorably: international strikes by platform couriers and taxi drivers demonstrate that capital, even under conditions of extreme legal and spatial atomisation of workers, inevitably produces its own gravediggers and drives them towards unity.

APPENDIX

STATISTICAL ILLUSION AND POLITICAL-ECONOMIC REALITY

Any quantitative study of the state of the global labour movement inevitably encounters distortions – whether deliberate or not – in official statistics. Bourgeois sociology obscures the scale of the class struggle. Statistics also frequently serve as an instrument of class domination – the art of lying through carefully calibrated figures. To see the true picture, it is necessary to systematically deconstruct the two main methodological tricks of bourgeois sociology.

The First Trick: The Illusion of Absolute Quantitative Indicators

The most primitive method is simply to count strikes as discrete events. Under this approach, a local strike by 50 bakers in Europe is equated with a strike

by hundreds of thousands or millions of proletarians in India (both are recorded as "a single event"). Since thousands of local strikes took place in the advanced countries in the 1970s, whereas today the class struggle in Asia takes the form of massive nationwide actions, a graph based on this methodology would paint a false picture of the conflict subsiding. Moreover, capitalist states deliberately exclude "wildcat" strikes from their reports and classify mass workers' actions as "disturbances of public order".

The Second Trick: Ignoring the Size of the Proletariat

Another method of distortion is to calculate average figures across countries without taking into ac-

count the size of the working class. The materialist approach requires the class itself, in its total mass, to be the unit of measurement. Every striking worker must carry equal weight, regardless of the state within whose borders they are exploited.

Guided by this principle, let us turn to objective reality.

In the countries of “old imperialism”, the statistics do indeed show a decline. In the UK, 23.9 million working days were lost in 1972; by the 2010s, this figure had fallen to around 450,000 days a year – a decline of more than fiftyfold.

In Japan, the period of rapid economic growth in the 1960s and 1970s was accompanied by intensified negotiations over wage increases against the backdrop of the customary annual “Spring Struggle”⁷: the number of strikes lasting at least half a day reached 2,256 in 1970, with 1,719,551 participants. The subsequent job cuts, prompted by internal economic instability amid the crisis, led to a rise in the number of strikes, which peaked in 1974 at 5,197 strikes involving 3,622,830 people. Thereafter, the number of strikes began to decline, falling particularly sharply from the second half of the 1980s – during the period of the expansion of the economic “bubble”. This trend continued even after the bubble burst in the second half of the 1990s, despite the fact that the average wage of workers in private companies continued to decline steadily during this period. During the crisis that followed the collapse of Lehman Brothers, workers’ struggles continued to ebb: in 2010, there were only 38 strikes lasting half a day or more, involving 2,480 people.

Bourgeois sociology takes this fact – which reflects the weakening of the labour movement in particular countries – and presents it as the “world-historical decline” of the proletariat.

The picture changes radically when one looks at those regions to which industrial capital has been relocated. In China, where official statistics on labour disputes are not published by the state, independent sources record a sharp increase: the *China Labour Bulletin* “Strike Map” database has recorded more than 16,000 protests since 2011, of which 1,794 occurred in 2023 alone – more than twice as many as in 2022.

In India, the class struggle is reaching historic heights: while around 100 million proletarians took part in nationwide strikes between 2010 and 2012, the general strike in November 2020 drew 250 million participants, making it the largest in the history of capitalism.

The capitalist mode of production has neither resolved nor can it resolve class antagonisms. The export of capital has merely expanded the geographical scope of exploitation. What bourgeois statistics present as a historic defeat of the working class is, in reality, a massive expansion of the front of the class struggle.

Today, the world proletariat is technologically and politically fragmented, remaining largely in a state of a “class in itself”. This objective disunity means that even the most intense clusters of class anger are often confined within the framework of trade unionism – economic self-defence and bargaining over the terms of the sale of labour power.

Historical experience proves inexorably that neither spontaneous revolt nor the automatic action of economic crises is capable of destroying the dictatorship of the bourgeoisie. By remaining confined to an exclusively economic struggle, the proletariat is condemned to wage an exhausting Sisyphean war against capital, with no prospect of eradicating exploitation itself. The principal historical task of the labour movement remains the abolition of private ownership of the means of production. The transition from fragmented defence to a political offensive requires the formation of a new type of Communist Party – a revolutionary vanguard, purged of opportunism, armed with advanced theory and capable of organising the proletariat into a “class for itself” with the aim of the revolutionary overthrow of the capitalist system and establishing the dictatorship of the proletariat.

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7 - Shunto (“spring struggle” / “spring offensive”) – a practice established in Japan in the mid-1950s involving annual, coordinated negotiations between trade unions and employers over wage increases and improved working conditions. Negotiations take place simultaneously across all sectors in spring (usually February–March), strengthening the trade unions’ bargaining position by synchronising demands across the economy as a whole.

THE ILLUSION OF SOCIALISM AND THE REALITY OF CAPITAL IN THE USSR

The historical myth of a global confrontation between the West's "free market" and the East's "socialist plan" served for decades as a convenient ideological smokescreen for the world bourgeoisie. In reality, however, on both sides of the so-called "Iron Curtain", the inexorable logic of the self-expansion of capital was at work.

This text is an introductory article opening a series of materials on the class nature of the USSR. Setting aside legal fetishism, we attempt to analyse the "Soviet" economic model from the standpoint of rigorous Marxist political economy, in order to reveal its true essence as ordinary capitalism. The aim of this work is to outline a basic conceptual framework for a more detailed analysis to follow.

Drawing on classical theory and a wealth of empirical material – from testimonies by members of the highest echelons of the nomenklatura and official publications to evidence concerning the shadow "tsekhovik" entrepreneurs – the text demonstrates, step by step, that in the USSR neither the law of value, nor the ruling class in the form of the bourgeoisie, nor wage labour and the alienation of the proletariat were abolished.

Despite the legal illusion of a single state monopoly, ordinary capitalism prevailed in the USSR, with all its inherent attributes: money, the law of value, capital and wage labour. The economic basis of the state could not have been otherwise, given its enormous backwardness compared with the advanced capitalist economies of the West and its critically lower level of labour productivity.

Moreover, the USSR was never isolated from the world market. On the contrary, it functioned within it, subject to the global laws of competition. The logical outcome of this process was the collapse of the 1990s, when the "Soviet" bourgeoisie simply seized the opportunity to cast off its socialist mask.

The basis of Marxist political struggle is not the rote learning of slogans, but the ruthless exposure of the economic essence of phenomena. If we set aside the legal fetishism of “Soviet” constitutions and other laws and turn instead to an analysis of the *«Mont Blanc of factual material»*¹ provided by the economic life of the USSR, we shall discover the rigorous logic of capital’s development.

The first and most striking manifestation of this logic is already evident in the very fact that the USSR was never cut off from the world capitalist market. Contrary to the myths of autarky, during industrialisation, the grain seized from small producers functioned as a classic commodity: it was thrown onto international exchanges at dumping prices in order to advance capital for the purchase of Western machinery and technology. After the Second World War, the USSR’s economy became even more deeply integrated into the international division of labour, becoming critically dependent on world energy prices. The logic of domestic accumulation was dictated by the harsh necessity of survival in inter-imperialist competition on the world market.

LEGAL FORM AND BUREAUCRACY AS THE STATE BOURGEOISIE

To reduce relations of production to their legal form is to fall into the deepest form of legal fetishism. This is precisely what the Stalinists do when they equate state ownership with ownership by the whole people.

On the one hand, the Trotskyists correctly expose this illusion. As Trotsky himself wrote, the *identification of state ownership with the property of the whole people* is *«the fundamental sophism of the official doctrine»*². But, on the other hand, the Trotskyists themselves fall victim to the choice of incorrect criteria. As evidence of the socialist character of the USSR’s economy, they cite either high rates of growth – *«the language of steel, cement and electricity»*³ – or the historical origins of the system, pointing out that nationalisation was carried out *«with the method of social revolution»*⁴. In other words, they assess the system not according to the actual mode of exploitation, but

according to its secondary indicators, its genesis and its legislative acts.

Moreover, both the Stalinists and the Trotskyists share the naïve belief that centralised planning was supposedly established in the USSR. In reality, what was called a “plan” was merely an attempt by the bourgeois state – more often than not an unsuccessful one – to bring the balance into line under the conditions of the raging anarchy of commodity production.

In both cases, there is a fatal idealist separation of the legal form and political superstructure from the actual relations of production. They forget Marx’s fundamental postulate: the criterion by which the nature of an economic system is determined is not political declarations, nor the presence of a party card in a director’s pocket, nor even the rate of industrial growth as such. Capital is an *objective social relation*. If commodity production, money and wage labour remain *universally* in place at the economic base, if the worker is separated from the means of production and produces surplus value that is appropriated – whether by an individual capitalist or by a group of them – then we are dealing with capital, whatever red banners may be used to conceal its genesis.

Nationalisation in itself does not abolish this relationship. Friedrich Engels, in the third section of *The Development of Socialism from Utopia to Science* (1880), demonstrated this exhaustively:

«The modern state, no matter what its form, is essentially a capitalist machine – the state of the capitalists, the ideal personification of the total national capital. The more it proceeds to the taking over of productive forces, the more does it actually become the national capitalist, the more citizens does it exploit. The workers remain wage-workers – proletarians. The capitalist relation is not done away with. It is, rather, brought to a head. But, brought to a head, it topples over. State-ownership of the productive forces is not the solution of the conflict, but concealed within it are the technical conditions that form the elements of that solution».⁵

Communism is the overcoming of private property in all its forms, including state property. If genuine socialisation had taken place in the USSR – that is, the over-

1 - V. I. Lenin. *What the “Friends of the People” Are and How They Fight the Social-Democrats* // Marxists Internet Archive. URL: <https://www.marxists.org/archive/lenin/works/1894/friends/01.htm>

2 - Leon Trotsky. *The Revolution Betrayed*. Chapter 9: Social Relations in the Soviet Union // Marxists Internet Archive. URL: <https://www.marxists.org/archive/trotsky/1936/revbet/ch09.htm>

3 - Leon Trotsky. *The Revolution Betrayed*. Chapter 1. What Has Been Achieved // Marxists Internet Archive. URL: <https://www.marxists.org/archive/trotsky/1936/revbet/ch01.htm>

4 - Leon Trotsky. *The Revolution Betrayed*. Chapter 9: Social Relations in the Soviet Union // Marxists Internet Archive. URL: <https://www.marxists.org/archive/trotsky/1936/revbet/ch09.htm>

5 - Frederick Engels. *Socialism: Utopian and Scientific*. Chapter III: Historical Materialism // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1880/soc-utop/ch03.htm>

coming of private property in the broad political-economic sense, meaning the appropriation of surplus value by one part of society through the exploitation of another – this would have meant nothing other than socialism.

The historical tragedy of the Left Opposition, and first and foremost of Leon Trotsky, lay in the fact that, while operating with Marxist categories, it strayed from the main path of historical materialism. Trotsky believed that power in the USSR belonged not to the bourgeoisie but to the working class, but that at the level of the political superstructure it had been usurped by the bureaucracy, which had transformed itself into a peculiar *Bonapartist caste*⁶.

Unlike the theorists of the “new class” (M. Shachtman, T. Cliff, B. Rizzi, M. Đjilas, M. Voslensky and others), Trotsky did not regard the bureaucracy as an independent ruling class “hanging in mid-air”. It is precisely the theories of the “new class” that are undermined by the criticism of the young Marx, who, in his work *Critique of Hegel's Philosophy of Right* (1843), noted that bureaucracy is a purely derivative phenomenon. It is «*merely the formalism of a content which lies outside the bureaucracy itself*»⁷. The theorists of the “new class” failed to understand this entirely, attempting to endow the bureaucracy with an independent socio-economic essence.

Trotsky, however, fully aware of this, held that this *content* was the proletarian base (state property), upon which the bureaucracy was compelled to rely and which it defended. At the same time, the superstructure in the form of the bureaucracy acquired a dual historical nature: while defending the working-class base, it simultaneously harboured bourgeois tendencies that could in the future become the basis for the restoration of capitalism.

It was precisely on the basis of this dual, yet derivative, nature of the Soviet bureaucracy, derived from the proletarian base, that Trotsky concluded that only a political, rather than a social, revolution was necessary to save the system.

The claims made by Stalinists and Trotskyists concerning the “physical disappearance of the bourgeoisie” in the USSR reveal their methodological objectivism. Capital requires its own personification. As Marx wrote in the first chapter of *The Eighteenth Brumaire of Louis Bonaparte* (1852):

«Men make their own history, but they **do not make it as they please**; they do not make it under self-selected circumstances, but under circumstances existing already, given and transmitted from the past».⁸

Social processes, in principle, cannot take place without the participation of concrete individuals. The absence of the classic factory owner in a top hat does not mean that capital has disappeared. As Marx noted, *the capitalist functions merely as personified capital, endowed with will and consciousness*.

There is a widespread petty-bourgeois view that reduces private property exclusively to the ownership of a particular factory by a particular individual. However, this is a feature of early capitalism alone. Under developed state-monopoly capitalism, the right to dispose of capital is concentrated in the hands of the state apparatus and monopolies.

In the USSR, this transition took political shape when, in the first half of the 1920s, the proletariat lost the mechanisms of direct workers' control (the Soviets) over the economy, thereby losing its political power. The state apparatus, having merged with the ruling party, broke away from the proletarian masses and became an independent instrument of capital.

A common layman's counter-argument runs as follows: an official in the USSR could not pass a factory on to his heirs, and therefore was not a capitalist. But at the stage of monopoly capitalism, even in the West, inheritance had long ceased to take the form of transferring individual enterprises or entire “industrial empires”; instead, it took the form of converting surplus value into liquid assets – money, securities, luxury real estate and material goods. The accumulation of vast monetary holdings, including funds in bank accounts, together with nomenklatura privileges, special distribution centres and closed systems of provision, constituted a form of appropriation of surplus value. In this respect, the “Soviet” system was fundamentally no different from the capitalist states of Western Europe.

Of course, not all 1.8 million “Soviet” employees (according to data from the Central Administration of National Economic Accounting of the USSR State Planning Committee for 1940) were exploiters; the majority belonged to the classes of wage workers or the petty bourgeoisie and did not differ in their standard of living from the proletarian masses. The senior party and economic

6 - Leon Trotsky. *The Revolution Betrayed*. Chapter 11: Whither the Soviet Union? // Marxists Internet Archive. URL: <https://www.marxists.org/archive/trotsky/1936/revbet/ch11.htm>

7 - Karl Marx. *Critique of Hegel's Philosophy of Right* // Marxists Internet Archive. URL: https://www.marxists.org/archive/marx/works/download/Marx_Critique_of_Hegels_Philosophy_of_Right.pdf

8 - Karl Marx. *The Eighteenth Brumaire of Louis Bonaparte*. Chapter I // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1852/18th-brumaire/ch01.htm>

officials who made investment decisions and controlled the flows of profit constituted a *specific section of the bourgeoisie, personifying national capital*. It is therefore erroneous, as various bourgeois and pseudo-Marxist theorists have done, to refer to this bureaucracy as a “new class”.

The fundamental *theoretical error* made by proponents of all such theories is that, in essence, they postulate the existence in the USSR of some special mode of production – state capitalism/monocapitalism, the Asiatic mode of production, bureaucratic collectivism, neo-feudalism, and so on – intermediate between capitalism and communism. They identify a special mode of exploitation, but fail to explain its mechanism. If the workers were exploited by the state apparatus, then in whose interests? In its own? But even if this were the case, the fact that workers in such a society were exploited directly by the state would mean only that the ruling class, which collectively owns the means of production, coincides with the state apparatus. Yet we would still not know what *methods of exploitation* this ruling class employs, and therefore could not determine the character of the exploiting class or of society as a whole.

However, it is fundamentally wrong to assume, even on purely *empirical* grounds, that the functions of personified capital in the USSR were performed exclusively by the highest party apparatus and the nomenklatura as a whole. A significant proportion of the actual capitalists – particularly those controlling money capital – were not even members of the Party. The functions of the disposers of capital were assumed by the directors of individual large enterprises, trusts and construction administrations, as well as by individuals who in practice controlled colossal amounts of money and commercial capital. The economic base gave rise to a *classical bourgeoisie* at all levels.

Many empirical studies expose the mechanics of power of this complex bourgeoisie. For example, the American historian Arch Getty writes:

«Few people trusted or even believed in institutions; they believed in people. Everything was personal».⁹

The party and economic clans, nepotism and mutual assistance that permeated the entire “Soviet” system from top to bottom were, from a Marxist perspective, by no means merely the legacy of an archaic culture. They constituted a real, fundamental mechanism for the self-organisation of the capitalist class, bound together by the joint extraction and distribution of sur-

plus value. It is therefore unsurprising that, within the depths of this system, the figure personifying the entire national capital naturally re-emerged: as is well known, the party leadership constantly referred to Stalin as the «*khoziain*»¹⁰.

THE DUAL NATURE OF THE TRANSITION PERIOD AND PRIMITIVE ACCUMULATION

In his 1918 work *Left-Wing Childishness and the Petty-Bourgeois Mentality*, Lenin openly acknowledged the necessity of state capitalism, but only as a temporary retreat under conditions of economic ruin and with the strict preservation of the dictatorship of the proletariat. State capitalism under the control of armed workers is a step towards socialism; state capitalism without the political power of the workers is pure capitalism. It was precisely the latter path that was realised in the USSR.

Developing this idea in 1921, with the transition to the NEP, Lenin no longer regarded state capitalism as the main danger, but as a kind of “ally” of socialism in the struggle against the petty-bourgeois forces and dispersed private capital. The introduction of the NEP and the decision to develop state capitalism were not a theoretical error, but a conscious accommodation to objective reality – a desperate attempt to retain political power in a devastated, isolated peasant country until the arrival of the European proletariat.

It is a mistake to suppose that the Bolshevik vanguard failed to recognise the capitalist threat arising from within its own ranks. As early as the Eleventh Congress of the RCP(b), in March 1922, Lenin openly diagnosed the impending Thermidor and acknowledged that the state apparatus was no longer subordinate to the proletariat:

«*The machine refused to obey the hand that guided it. It was like a car that was going not in the direction the driver desired, but in the direction someone else desired; as if it were being driven by some mysterious, lawless hand, God knows whose, perhaps of a profiteer, or of a private capitalist, or of both. Be that as it may, the car is not going quite in the direction the man at the wheel imagines, and often it goes in an altogether different direction. This is the main thing that must be remembered in regard to state capitalism*».¹¹

Lenin harboured no illusions about the class nature of the state apparatus and described in detail the me-

9 - J. Arch Getty. *Practicing Stalinism: Bolsheviks, boyars, and the persistence of tradition*. New Haven and London: Yale University Press, 2013. P. X. URL: <https://dokumen.pub/download/practicing-stalinism-bolsheviks-boyars-and-the-persistence-of-tradition-9780300198850.html>

10 - i.e. master. *Ibid.* P. 83.

11 - V. I. Lenin. *The Political Report of the Central Committee to the Eleventh Congress of the R.C.P.(B.)* // Marxists Internet Archive. URL: <https://www.marxists.org/archive/lenin/works/1922/mar/27.htm>

chanics by which it would swallow up the revolution. Asking who was in control – the 4,700 Communist administrators in Moscow or the bureaucratic machine – he answered bluntly: «*they are not directing, they are being directed*»¹².

Drawing a historical analogy between conquerors and the conquered, he stated:

*«If the conquering nation is more cultured than the vanquished nation, the former imposes its culture upon the latter; but if the opposite is the case, the vanquished nation imposes its culture upon the conqueror. Has not something like this happened in the capital of the R.S.F.S.R.? Have the 4,700 Communists (nearly a whole army division, and all of them the very best) come under the influence of an alien culture? True, there may be the impression that the vanquished have a high level of culture. But that is not the case at all. Their culture is miserable, insignificant, but it is still at a higher level than ours. Miserable and low as it is, it is higher than that of our responsible Communist administrators, for the latter lack administrative ability. Communists who are put at the head of departments—and sometimes artful saboteurs deliberately put them in these positions in order to use them as a shield—are often fooled».*¹³

The bourgeoisie, having been defeated militarily and politically, was nevertheless able, thanks to its more developed culture of administration and the elemental force of commodity production, to impose its own logic on the proletarian victors. Nationalised industry operated under conditions in which the market was preserved. Nor did private capitalists disappear; they existed throughout the entire history of the USSR. In an isolated territory, the base dictated the form of the superstructure. However theoretically flawless the best of the Bolsheviks may have been, they could not, by an act of will, abolish the objective laws of the economy. To reduce this historical catastrophe to a mere “lack of theory” or a bureaucratic conspiracy is to retreat from historical materialism into idealism.

Approaching the problem from the standpoint of historical materialism, we must recognise the dual nature of the October Revolution. By destroying the remnants of feudalism, it radically resolved tasks that the bourgeoisie could no longer resolve, while at the same time attempting to pave the way for the world proletari-

an revolution. A logical question therefore arises: did the isolated proletarian dictatorship in a devastated peasant country in 1921 have any other material alternative? Lenin's tactics rested entirely on the desperate attempt to “buy time” until the victory of the revolution in the West. But if proletarian power could not govern state capitalism for any length of time without degenerating, then the isolation of the revolution in a single backward country meant its fatal, objectively inevitable demise. Lenin's “mistake” consisted only in the fact that he hoped to buy that time.

Here we come to the key question: why, then, was that time not bought? In criticising Amadeo Bordiga's well-known metaphor of the revolutionary train that “never came”, we must conclude that the objective economic conditions for a socialist revolution in the West were more than ripe. The train did indeed pass, but the subjective factor – the revolutionary vanguard, the Communist Party – proved immature and arrived at the station too late, a fact most tragically manifested in the defeat of the revolution in Germany. It was precisely this defeat that condemned the Russian proletariat to isolation.

However, as historical materialists, we must ask ourselves: why did the subjective factor prove to be so weak? We cannot, in an idealist manner, attribute this to the moral decline, cowardice or betrayal of the leaders of the Second International. The roots of this phenomenon lie in the objective development of capitalism. Engels, observing the British labour movement, had already noted the formation of a layer of the labour aristocracy, bribed by the British bourgeoisie's monopoly on the world market. In the era of imperialism, as Lenin demonstrated, this tendency spread to all the advanced capitalist countries. Decades of relatively “peaceful” capitalist development (from 1871 to 1914) created a powerful material basis for reformism: liberalism, rotten to the core, revived itself in the form of socialist opportunism, preaching “social peace”. The Western bourgeoisie, drawing on super-profits from colonial exploitation, had mastered the art of deceiving and bribing the workers to perfection. Workers' parties and trade unions in the West became structurally fused with the bourgeois state, and the betrayal of 1914 was merely the political expression of this material process.¹⁴

12 - *Ibid.*

13 - *Ibid.*

14 - Undoubtedly, each individual country had its own specific reasons for the delay in the formation of the subjective revolutionary factor. In the USA, vast domestic resources, the absence of feudal remnants and the influx of migrants created a powerful material illusion of social mobility, fragmenting the working class. In Germany, the objective need for legal struggle gave rise to a gigantic apparatus of trade unions and parliamentary factions, which over time developed its own material interests and became fused with the state. The belated organisational

Lenin overestimated the West's readiness for world communist revolution. As a Marxist, he undoubtedly understood the dialectic of the objective and the subjective: even the most favourable objective conditions will not lead to the overthrow of capitalism in the absence of a mature, politically independent subjective factor. Lenin's error lay not in a theoretical disregard for this law, but in an overly optimistic assessment of the actual maturity of the European proletariat at that particular historical moment. The West's colossal productive forces and the crisis of imperialism *could not* break the bourgeois system without a revolutionary communist vanguard that was strong and influential among the proletarian masses. Communists in Europe had to wage an extremely arduous struggle not only against the bourgeoisie, but also against the colossal apparatus of social democracy, and there was simply not enough historical time for this subjective factor to take shape. Ultimately, the overestimation of the West's readiness made the Bolsheviks hostages to the policy of "capitalist construction" in an isolated Russia.

As early as the beginning of the 1920s, some communists and advanced workers in Russia were already concerned about what was happening. In the autumn of 1923, against the backdrop of mass strikes against wage cuts, the "Rabochaya Pravda" group¹⁵ published an *Appeal to the Revolutionary Proletariat and All Revolutionary Elements Who Have Remained Loyal to the Struggling Working Class*, which provided an accurate class analysis of the emerging nomenklatura:

«Following the successful revolution and the civil war, broad prospects opened up for Russia to rapidly transform into a country of advanced capitalism. This is undoubtedly a tremendous achievement of the October Revolution.

But what has changed in the position of the working class? – The working class of Russia is disorganised; confusion reigns in the minds of the workers: are they in a country of the "dictatorship of the proletariat", as the Communist Party tirelessly repeats both orally

*and in print, or in a country of arbitrariness and exploitation, as life convinces them at every turn? The working class ekes out a miserable existence, while the new bourgeoisie (i.e. responsible officials, factory directors, heads of trusts, chairmen of executive committees, etc.) and NEPmen live in luxury, bringing to mind the picture of bourgeois life throughout the ages. And ahead lie yet again long and arduous years of struggle for existence. But the more difficult the situation, the greater the clarity and organisation required by the struggling proletariat. [...] The Soviet, party and trade-union bureaucracies, and the organisers of state capitalism, find themselves in material conditions sharply different from those of the working class; their very material well-being and the stability of their general position depend on the degree to which the working masses are exploited and subordinated to them; – all this makes the contradiction between their interests and the rupture between the Communist Party and the working class inevitable».*¹⁶

It is telling that the theorists of the Trotskyist "Left Opposition", even before the final victory of Stalin's counter-revolution, justified the extraction of surplus value from the working class for the needs of state accumulation. The economist E. Preobrazhensky developed the theory of «primitive socialist accumulation», while Leon Trotsky, in his report on industry at the Twelfth Congress of the RCP(b) in 1923, quoted what he considered a «very interesting» passage from a booklet by an unknown party trade-union official, who argued that «the working class, being in power, has the opportunity, when this is dictated by class interests, to grant industry credit at the expense of workers' wages», and commented:

*«In other words, there may be times when the state does not pay wages, or pays only half, and you, the worker, lend to your state at the expense of your wages».*¹⁷

Beneath the mask of the "workers' state", classical capitalist exploitation became increasingly apparent.¹⁸

break between the revolutionaries and the opportunists was dictated by the fact that Luxemburg and Liebknecht had to confront not only the ideas of Bernstein and Kautsky, but also the *colossal material power* of the reformist apparatus within the workers' movement itself.

The delay in the formation of a genuinely revolutionary vanguard in Italy was no accident, nor was it merely the result of the indecision of the leaders of the Italian Socialist Party. It was deeply rooted in the structural unevenness of Italian capitalism, in the historical divide between the rapidly industrialising North and the agrarian, semi-feudal South. This objective duality enabled the northern bourgeoisie to nurture reformism, represented by Turati and the trade-union bureaucracy, and to build a durable apparatus of class compromise, whilst the South remained in the grip of poverty and clientelism. It was precisely this economic fragmentation that fuelled the political paralysis of the maximalists, who concealed their inaction behind high-sounding revolutionary rhetoric.

As a result, by the time of the "Red Two Years" (*Biennio Rosso*), when the workers occupied the factories, the political vanguard had simply arrived too late: the Communist Party was formed in Livorno only in 1921, by which time the objective revolutionary wave was already receding, yielding the historical stage to the fascist reaction.

15 - In September 1923, members of the group were arrested by the GPU, expelled from the Party and sent into exile.

16 - Cit.: *Sotsialisticheskii vestnik* [Socialist Herald], Berlin, 1923, No. 3, pp. 12–14. (in Russian)

17 - Twelfth Congress of the R.C.P.(B.). 17–25 April 1923. Stenographic Report. Moscow, 1968. P. 345. (in Russian)

18 - Moreover, in the second half of the 1920s, this was so widely recognised that it had to be mentioned in important public Party documents. For example, in the report "The Party and the Opposition on the Eve of the 15th Party Congress", delivered by Bukharin on 26 October 1927 at a meeting of the activists of the Leningrad organisation of the All-Union Communist Party (Bolsheviks) and published in a print run of 125,000 copies, an entire section was entitled "The Opposition Denies the Socialist Character of Our Commanding Heights".

Marx explained what *actual* primitive accumulation of capital entails in Chapter 24 of Volume I of *Capital*. It is the historical process of separating the producer from the means of production:

«What does the primitive accumulation of capital, i.e., its historical genesis, resolve itself into? In so far as it is not immediate transformation of slaves and serfs into wage labourers, and therefore a mere change of form, it only means the expropriation of the immediate producers, i.e., the dissolution of private property based on the labour of its owner.

*Private property, as the antithesis to social, collective property, exists only where the means of labour and the external conditions of labour belong to private individuals. But according as these private individuals are labourers or not labourers, private property has a different character. The numberless shades, that it at first sight presents, correspond to the intermediate stages lying between these two extremes».*¹⁹

In the USSR, the violent act of primitive accumulation of capital unfolded in the late 1920s and 1930s. Collectivisation deprived millions of peasants – small-scale owner-producers – of their land. National capital, as acknowledged by Academician Yuri Yaremenko (a follower of F. List's school of economics), acquired «a colossal resource – the peasantry», which it «exchanged for industrialisation».²⁰

By drawing millions of impoverished peasants into capitalist agriculture and driving some of them into the cities, the state created a colossal reserve army of labour, deprived of property and forced to sell their labour-power to state and private enterprises. The commodity character of the agricultural sector inextricably linked the entire economy of the USSR to the operation of the law of value.

THE FUNDAMENTAL LAW: WAGE LABOUR AND ALIENATION

In his work *Wage Labour and Capital* (1849), Marx formulated an incontrovertible proposition:

*«Capital therefore presupposes wage-labour; wage-labour presupposes capital. They condition each other; each brings the other into existence».*²¹

Throughout the entire history of the USSR, the proletarians sold their labour-power, which thereby re-

tained its essential commodity character: it had an exchange value, determined by the value of the means of subsistence of the worker and his family, and a use value, namely the capacity to create new value greater than the value of labour-power itself. In the USSR, Marx's basic formula for the circuit of capital – M–C–M' (Money – Commodity – Money with an increment) – operated fully. State monopolies advanced capital (M) to purchase the means of production and labour-power, in order, through the exploitation of labour, to produce commodities (C), extract surplus value and obtain augmented capital (M').

The mechanism of this exploitation is described with impeccable precision in Volume I of *Capital* (Chapter IX, *The Rate and Mass of Surplus Value*):

*«If we consider the process of production from the point of view of the simple labour process, the labourer stands in relation to the means of production, not in their quality as capital, but as the mere means and material of his own intelligent productive activity. In tanning, e.g., he deals with the skins as his simple object of labour. It is not the capitalist whose skin he tans. But it is different as soon as we deal with the process of production **from the point of view of the process of creation of surplus-value. The means of production are at once changed into means for the absorption of the labour of others.** It is now no longer the labourer that employs the means of production, but the means of production that employ the labourer. Instead of being consumed by him as material elements of his productive activity, **they consume him as the ferment necessary to their own life-process, and the life-process of capital consists only in its movement as value constantly expanding, constantly multiplying itself. [...]** The simple transformation of money into the material factors of the process of production, into means of production, transforms the latter into a title and a right to the labour and surplus labour of others».*²²

«We have seen how money is changed into capital; how through capital surplus-value is made, and from surplus-value more capital». Thus, «the accumulation of capital presupposes surplus-value; surplus-value presupposes capitalistic production; capitalistic production presupposes the pre-existence of considera-

19 - Karl Marx. *Capital*, Volume I. Chapter XXXII: Historical Tendency of Capitalist Accumulation // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch32.htm>

20 - Yaremenko Yu. V. *Ekonomicheskie besedy* [Economic Conversations]. Recorded by S. A. Belanovskii. Moscow: Tsentr issledovaniy i statistiki nauki, 1998. P. 30. (in Rus.)

21 - Karl Marx. *Wage Labour and Capital*. Chapter VI: The Relation of Wage-Labour to Capital // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1847/wage-labour/ch06.htm>

22- Karl Marx. *Capital*, Volume I. Chapter XI: Rate and Mass of Surplus Value // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch11.htm>

ble masses of capital and of labour power in the hands of producers of commodities»²³, i.e. capitalists who appropriate surplus value.

Vulgar socialism tends to seek the distinction between classes exclusively in the sphere of distribution – in levels of income and consumption. Of course, Marxism is not confined to this philistine criterion, since the primary consideration is the relation to the means of production. However, at the *macroeconomic* level, the dynamics of capitalist production inevitably lead to the concentration of wealth in the hands of members of the ruling class. Marx wrote in Chapter XXIII of Volume I of *Capital*:

«Accumulation of wealth at one pole is, therefore, at the same time accumulation of misery, agony of toil slavery, ignorance, brutality, mental degradation, at the opposite pole, i.e., on the side of the class that produces its own product in the form of capital».²⁴

Although income level is a necessary criterion for determining the class affiliation of large social groups at the *macroeconomic* level, it generally cannot be applied to individual persons, especially in borderline cases. The only exceptions are Marx's very "poles", where the gap in income is measured in orders of magnitude – tens, hundreds or thousands of times. In such extreme cases, the quantitative criterion unambiguously determines the class of a particular individual: a member of the richest 1 per cent of a capitalist country's population cannot, in principle, be a proletarian, while a member of the poorest 1 per cent cannot be a bourgeois.

In the particular form of capitalist society that existed in the USSR, where people's actual relation to property was draped in red banners, while the overall statistics on social stratification were «surrounded with an impenetrable veil»²⁵, as Trotsky rightly observed, the presence of glaringly high incomes becomes one of the simplest and most reliable indicators for anyone seeking to establish the true nature of the underlying economic processes.

Commodity-money relations in the USSR did not disappear for a single moment. This can be found even in literature from the Stalinist period: «Money express-

es the production costs of **all** sectors of the national economy, the value of the **entire** socialist social product».²⁶

The ruthless logic of capitalist expanded reproduction was evident even to honest bourgeois researchers, who on this question were sometimes even more Marxist than, for example, Trotsky. While the latter mistakenly believed that «socialism has demonstrated its right to victory, not on the pages of *Das Kapital*, but in an industrial arena comprising a sixth part of the earth's surface»²⁷, the American economist Vasily Leontief, creator of the input-output method, stated that the secret of "Soviet" growth rates had nothing to do with socialism, but was precisely described by Marx's theory of capital accumulation:

«The fundamental proposition which explains the high rate of Soviet economic development is simple enough. Nearly two hundred years ago it had already been clearly stated by Adam Smith and in more homely language by Ben Franklin. To expand one's income fast, one must channel as large a part of it as possible – and then more – into productive capital investment. This means that consumption must be restricted; while thus holding down the living standard of the masses, one must at the same time keep them working hard. Marx, in his theory of capitalist accumulation, describes exactly such a process [...]. Low wages mean a low level of consumption. High profits – the high "rate of exploitation" – mean a high rate of accumulation [...]».²⁸

In 1950, the monetary income of a peasant household in the USSR amounted to less than 100 roubles a month, while a minister's salary reached 20,000 roubles – a difference of two hundredfold, not counting closed special distribution centres, dachas and the like. Moreover, the system produced legal millionaires and individual owners of money capital. Academician Igor Kurchatov – the "Soviet Oppenheimer", the father of the "Soviet" atomic bomb – was not a Party member at the time. By a government decree of 21 March 1946, he received a bonus of 500,000 roubles (having already been awarded an identical sum), a ZIS-110 car, double his salary and a mansion as his personal property. Likewise a non-Party member, the "proletarian" writer Maxim Gorky received 143,955 roubles in royalties

23 - Karl Marx. *Capital*, Volume I. Chapter XXVI: The Secret of Primitive Accumulation // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch26.htm>

24 - Karl Marx. *Capital*, Volume I. Chapter XXV: The General Law of Capitalist Accumulation // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch25.htm>

25 - Leon Trotsky. *The Revolution Betrayed*. Chapter 6: The Soviet Economy in the Mirror // Marxists Internet Archive. URL: <https://www.marxists.org/archive/trotsky/1936/revbet/ch06.htm>

26 - Gusakov A. D., Dymshits I. A. *Denezhnoe obrashchenie i kredit SSSR* [Money Circulation and Credit in the USSR]. Moscow: Gosfinizdat, 1951. P. 12. (in Russian.)

27 - Leon Trotsky. *The Revolution Betrayed*. Chapter 1: What Has Been Achieved // Marxists Internet Archive. URL: <https://www.marxists.org/archive/trotsky/1936/revbet/ch01.htm>

28 - Leontief W. W. *Essays in Economics: Theories and Theorizing*. New York: Oxford University Press, 1966. P. 225.

in 1928–29 alone²⁹ – a sum for which a worker would have had to labour at the machine for decades. The existence of such exorbitant incomes demonstrates that the surplus value extracted from the proletariat was transformed not only into new factories, but also into a gigantic fund for the personal enrichment of the ruling elite and its scientific and ideological servants.

Piecework pay, which Marx described as «*most in harmony with the capitalist mode of production*»³⁰ (*Capital*, Vol. I, Chapter XIX), became the foundation of early “Soviet” industry (the Stakhanovite movement). This is a classic mechanism for extracting relative surplus value.

The conflict between labour and capital was real, finding open expression, for example, in the shooting of striking workers in Novocherkassk in 1962 – an act defending the bourgeoisie’s monopoly over surplus value. However, as the system exhausted its terrorist methods of control, it shifted to time-based pay with bonuses, which gave rise to enormous alienation. In the late USSR, the class struggle took on a hidden form: an absolute decline in labour discipline and productivity according to the principle “you pretend to pay, we pretend to work”. The culmination of this phenomenon was the total alienation of the working class. Y. Yaremenko described this process with great precision:

«*People*» [the academic prefers to use the abstract term “people” rather than the specific “wage workers”] «*had become accustomed to living under the pressure of the plan, playing antagonistic games with the state: who would cheat whom [...] a stereotype of negative behaviour had emerged: to produce as little as possible [...] and to cheat*».³¹ As a result of the alienation of the proletariat, «*in our production, instead of socialisation, there is active desocialisation, the teaching of anti-social skills. An anti-social type of person emerges [...]. Many simply drink themselves into oblivion. But even those who have not degenerated, who value themselves and want to earn – what sort of people are they? They are anti-social individuals who find it extremely difficult to integrate into the social collective. Their main characteristic is strong negativism. This is by no means “class consciousness”, if by that we*

mean a striving for social consolidation and the defence of common interests».³²

For a Marxist, there is nothing surprising in the fact that wage labour is perceived by proletarians not as a free activity, but exclusively as an external, hostile force. This fact should impel the worker to struggle against the domination of capital. As for Yaremenko, a researcher in the service of capital, he has no choice but to lament the surplus value that goes unrealised as a result.

The development of state capital, too, was strictly subject to the universal laws of accumulation. The centralisation of the means of production through nationalisation enabled the system to achieve a significant acceleration of industrialisation. The state directed the surplus value extracted from wage workers towards inter-imperialist competition. Yaremenko himself, an astute observer of the processes taking place in the USSR, writes that the «*division*» of surplus value «*took place in accordance with the existing system of priorities*», while «*world expansion and great-power interests were the principle that determined this entire hierarchy*».³³

The USSR demonstrated its imperialist maturity during the Second World War by taking a direct part in the new division of the world alongside other predators. This marked the ultimate low point in the decline of proletarian internationalism and provided incontrovertible evidence that the USSR was fully integrated into the global capitalist market. However, imperialism is by no means reducible to aggressive foreign policy or territorial annexations; it has an economic nature and constitutes a specific stage in the development of capital. The post-war USSR fully manifested its fundamental characteristics, including the export of capital. The creation of “mixed Soviet-foreign joint-stock companies” in Eastern Europe and Asia, as well as unequal exchange within the Council for Mutual Economic Assistance (CMEA), where trade was conducted on the basis of world prices, transformed the “people’s democracies” into markets for the sale of goods and sources of super-profits for “Soviet” national capital. Thus, annexations, reparations and the export of capital to CMEA countries constituted an imperialist policy

29 - Gorky’s case was not unique – an entire stratum of legal “millionaires” emerged in the USSR. Alexei Tolstoy (the “Red Count”): by 1940, his official earnings had reached almost 117,000 roubles a year. There is a documented case of his receiving a one-off advance of 83,000 roubles for a novel he had not yet written. Demyan Bedny, the leading “proletarian poet”, received cheques from Gosizdat for 35,000 roubles at a time. The 1936 statistics for the Writers’ Union are revealing: at the top of the pyramid of approximately 4,000 writers stood a group of 14 people whose monthly income consistently exceeded 10,000 roubles (120,000 a year).

30 - Karl Marx. *Capital*, Volume I. Chapter XXI: Piece-Wages // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch21.htm>

31 - Yaremenko Yu. V. *Ibid.* P. 47.

32 - *Ibid.* P. 258.

33 - *Ibid.* P. 38.

under the red flag. Proletarian internationalism had become an empty phrase.

As the highly respectable bourgeois historian V. A. Shishkin notes, as early as the 1920s the Comintern served as a smokescreen, while the actual course of Soviet foreign policy was to «*secure the national [...] interests of the country*», which in practice meant pursuing «*the traditional interests of pre-revolutionary Russia*».³⁴ Soviet foreign policy ultimately became a function of defending and expanding the sphere of influence of national capital.

THE ILLUSION OF PLANNING: WHY THE MEANS OF PRODUCTION REMAINED COMMODITIES

Debunking the myth of “socialist planning” requires a shift from analysing legal labels to examining the anatomy of the production process itself. For decades, Trotskyist and Stalinist arguments clung to the same lifeline: they claimed that since the means of production in the USSR (machinery, raw materials and factories) were allocated by the State Planning Committee rather than sold on the free market, they had supposedly ceased to be commodities.

In 1952, in his work *Economic Problems of Socialism in the USSR*, Stalin, attempting to salvage the ideological façade, declared that the law of value in the USSR was confined to the sphere of consumer goods and that the means of production were not commodities. From a Marxist perspective, this is a theoretical absurdity.

«*With the exception of that part of the product which is constantly consumed again as means of production directly by its producers, the following general proposition applies to capitalist production: All products reach the market as commodities and therefore circulate for the capitalist as the commodity-form of his capital, as commodity-capital, regardless of whether these products must or can function in their bodily form, in accordance with their use-values, as elements of productive capital (of the process of production), as means of production and therefore as fixed or circulating elements of productive capital; or whether they can serve only as means of individual, not of productive, consumption. All products are thrown upon the market as commodities; all means of production or consumption, all elements of productive and individual consumption, must therefore be extracted*

from the market by purchasing them as commodities»³⁵ (Karl Marx. *Capital*, Volume II. Chapter 9).

It is impossible to isolate the law of value within a single workshop. The economy of the USSR was based on the system of “khozraschyot”, or economic accountability. Every enterprise had its own balance sheet and settlement account. Relations between state-owned factories were formalised through commercial contracts, while disputes were resolved through arbitration, with penalties being imposed for breaches of contract. Marx explained this clearly in the first chapter of Volume I of *Capital*:

«*Only such products can become commodities with regard to each other, as result from different kinds of labour, each kind being carried on independently and for the account of private individuals*».³⁶

In reality, the economy of the USSR was not a single, harmonious mechanism, but an arena of ruthless market competition between separate corporations. The illusion of the USSR as an absolutely monolithic “single state-capitalist trust” is shattered by the reality of commodity production. In reality – and, in principle, it could not be otherwise under capitalism – there was no absolute unity even at the level of the external market or the labour market. “Soviet” enterprises operated as separate commodity producers, competing fiercely with one another for labour power and for export and import orders. Yet this market fragmentation was dialectically combined with class synthesis: acting as a committee for the affairs of the bourgeoisie, the “Soviet” state ensured the general conditions for reproduction. It defended the interests of all factions of national capital with an iron hand against the working class within the country, while on the external market it safeguarded their collective position against competing capitals.

Various factions of the nomenklatura and non-Party managers de facto acted as competing private owners. The subjects of this competition were the industrial ministries, sectoral departments, “glavki” (main directorates), trusts and the heads of individual factories, state farms and collective farms.

The most striking example of such intra-class competition was the struggle within the military-industrial complex. For decades, the design bureaux of Korolev, Chelomey and Yangel waged a ruthless struggle for budg-

34 - Shishkin V. A. *Stanovlenie vneshnei politiki poslerevoliutsionnoi Rossii* [The Formation of the Foreign Policy of Post-Revolutionary Russia]. Moscow, 2002. P. 334. (in Rus.)

35 - Karl Marx. *Capital*, Volume II. Chapter X: The Reproduction of the Circulating Capital // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1885-c2/ch10.htm>

36 - Karl Marx. *Capital*, Volume I. Chapter I: The Commodity // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch01.htm>

ets, duplicating one another's missile programmes. Their leaders employed aggressive lobbying, political intrigue and connections within the Politburo to secure funding and resources specifically for their own enterprises, while undermining their competitors' projects. A similar struggle for investment funds, scarce raw materials, highly skilled labour and a share in the distribution of surplus value took place among all the ministries. This was classical competition between capitals.

Although legally owned by the state, the factories of the USSR functioned economically as separate commodity producers. The very process of so-called "planning" concealed the fierce competitive struggle among these separate departmental corporations. As Y. Yarymenko acknowledged, *«there was indeed bargaining over the allocation of resources in the State Planning Committee and the State Supply Committee [...], mutual pressure and the establishment of a certain balance of power in these negotiations»*.³⁷ The state plan did not precede production but trailed behind it. It was a means of legitimising the balance of power that had already taken shape among competing "glavki", *«a patching-up of holes doomed to failure»*, while the system itself *«had absolutely no understanding of itself»*.³⁸ The dual nature of the commodity – as the unity of use-value and value – inexorably tore the supposedly planned economy apart from within. The fundamental contradiction of commodity production – the contradiction between concrete and abstract labour – had not been overcome. The concrete labour of workers produced qualitatively different things (machine tools, shoes, bread), but

the system assessed them exclusively in monetary terms, that is, as coagulations of qualitatively homogeneous abstract socially necessary labour, as value.

Capitalist production in the USSR, as everywhere else, was directed towards the production of value rather than useful things. The dictatorship of the gross-output indicator led to the triumph of exchange value over the real needs of society. The state, competing on the world market, required the accumulation of abstract wealth. Factories were assigned production targets in abstract units (roubles or tonnes). A chandelier factory turned out heavy bronze structures instead of lightweight light fittings because this made it easier to fulfil the target in roubles and secure a share of surplus value (bonuses).³⁹ Use-value was ruthlessly sacrificed to the capitalist self-expansion of "gross output" under the dictates of abstract labour.

The 1965 economic reform (the Kosygin–Lieberman reform) effectively constituted an open acknowledgement of the triumph of the law of value. It reduced the number of aggregated planning indicators by eliminating such indicators as labour productivity, production costs, the number of employees and average wages. In their place, profit and profitability in relation to the value of fixed and working capital were introduced. The volume of realised output was also established as the principal indicator of the volume of production, replacing the volume of gross output. This was a crucial step that laid bare the separate, capitalist character of "Soviet" enterprises – a character they had possessed all along, but which had previously

37 - Yaremenko Yu. V. *Ibid.* P. 37.

38 - *Ibid.* P. 42.

39 - In order to fulfil the "gross output" target, it was advantageous for factories to produce expensive but less labour-intensive goods (for example, heavy curtains instead of children's dresses, and adult beds instead of children's beds). Unwanted goods worth billions of roubles accumulated in warehouses as dead stock. Everyday consumer goods (needles, clothes pegs, small items of crockery, children's clothing) became chronically scarce, not because of a shortage of raw materials, but because their production was unprofitable from the standpoint of factory reporting. Ministries officially allowed enterprises to under-supply ordered products (by 1 to 10 per cent of the target) while retaining their right to bonuses provided the overall monetary target was exceeded. In heavy-industry enterprises, the production of consumer goods was artificially restrained. Because of its high labour intensity, it "ate up" a disproportionately large share of the wage fund, sharply worsening the overall profitability indicators of the entire plant. This is how the mechanism worked: **Substitution of the product range for the sake of "gross output" (using the example of the VPO "Soyuzpodshipnik")**. In 1982, Vologda State Bearing Plant No. 23 reported that it had fulfilled its production target in units by 100.2 per cent. However, this figure was achieved by overproducing 5 million simple bearings while failing to supply 7 million complex, labour-intensive types. Nationwide, the association failed to supply 30 million of the required bearings, while nevertheless exceeding the plan both in roubles and in total output. **Simulating a shortage of raw materials (the garment industry)**. A garment factory failed to supply 30,700 girls' dresses, citing a lack of fabric. An inspection revealed that the factory had used precisely this fabric to produce 36,400 curtains and 1,700 women's dresses above the target. The result: labour costs were reduced, the additional rouble revenue more than compensated for the shortfall, while the country received hundreds of thousands fewer items of children's clothing. **Growth "in roubles" amid a physical decline in production (tableware and footwear)**. In just three years (1978–1980), the physical output of enamelled tableware fell by 17 per cent (retail trade was short of 38 million roubles' worth of saucepans and kettles), yet reported output in monetary terms rose by 12 per cent. Similarly, footwear output, measured in millions of pairs, fell to the level of 1972, while its value in roubles continued to rise steadily. **Ignoring demand for the sake of convenient reporting (furniture)**. The plan called for 85,000 iron beds to be produced; 85,700 were reported. However, this over-fulfilment was achieved entirely through the production of expensive adult beds, which accumulated in warehouses, while children's and teenagers' beds, for which there was acute demand, were not supplied to customers at all. **Consumer goods as a threat to the plant's performance indicators (Magnitogorsk Iron and Steel Works)**. Wage expenditure per 100 roubles of sales amounted to 1 rouble for the production of tinplate, compared with 18 roubles for enamelled tableware. Small consumer goods accounted for only 1–2 per cent of the plant's output, but consumed up to 10 per cent of its wage fund. As a result, it was advantageous for enterprises to fulfil their consumer-goods targets by producing heavy buckets and large basins, while fulfilling orders for small kettles and frying pans by only 15–20 per cent.

[Compiled on the basis of: Valov D. V. *Ekonomika absurdov i paradoksov: Ocherki-razmyshleniia* [The Economy of Absurdities and Paradoxes: Essays and Reflections]. Moscow: Politizdat, 1991. (in Russian.)]

been concealed to a much greater extent by the “socialist” rhetoric of official documents.

Academician Y. Yarymenko provides empirical confirmation of the logic of the self-expansion of capital and the existence of separate groups of proprietors within the bureaucracy:

«By this time, the CPSU had already ceased to be the absolute authority. [...] Major ministries and departments – all these administrative monsters – had felt their independence from the CPSU. I have in mind above all the army, the military industry, to some extent the KGB, and then the Council of Ministers [...]. Trade deserves a special mention on this list, as it had corrupted many levels of power and, together with them, formed its own super-department. [...] The agro-industrial complex [...] resembled a person who was constantly being short-changed at the common table, and all its attempts to secure some rights for itself were unsuccessful.

*All these structures tore the country's available resources apart, yet they still did not have enough, because they had colossal, resource-intensive programmes that were very often unrelated to any real problems. The economy, like the army, was simply a space for expanding the bureaucratic structures of one administrative monster or another. In this sense, their growth acquired, as it were, irrational features, becoming a means of bureaucratic self-reproduction [...] they strove for more factories and more capital investment».*⁴⁰

This is nothing other than a purely capitalist thirst for accumulation for accumulation's sake.

The much-vaunted method of centralised planning in the USSR was itself a fetish. As V. Leontief pointed out, attempts by Western economists to unravel the scientific secret of “Soviet planning” had failed because *«to this day, no such method exists at all»*. Leontief likened the USSR's planning system to *«a talking horse: what is surprising is not what it says, but the fact that it can speak at all»*.

And the point is not even that the notorious “balance method” contained no mathematical or economic algorithms capable of scientifically reconciling the supply and demand of millions of commodities. The crux of the matter is that the low level of productivity and, above all, the absence of genuine socialisation of production made planning impossible in principle. Any change to the plan disrupted the entire chain of production, so in practice *«the final adjustments are left to informal tri-*

al-and-error procedures of the actual month-by-month and week-by-week operations».⁴¹ Official “Soviet” political economy, whose purpose was to conceal this chaos of capitalism, as Leontief aptly observed, *«remained [...] essentially sterile»*, being *«a huge, impassive, and immovable monument to Marx – with scores of caretakers engaged in its upkeep, fresh flowers placed in slightly different arrangements at its feet from time to time, and lines of dutiful visitors guided past in never-ending streams»*.⁴²

The myth of the “rigid allocation” of resources in the USSR is shattered by the fact that value-based indicators prevailed. The allocation of the means of production was carried out primarily through money, while physical indicators played only a subsidiary role – that is, precisely as under capitalism. Marxist logic is ironclad: genuine socialisation of production excludes commodity-money relations, since a unified non-market economy has no need for money. The preservation of value-based assessments, however, irrefutably proves that enterprises remained separate commodity producers. Consequently, the “Soviet plan” did not overcome the anarchy of the market, did not abolish the commodity character of the economic base, but functioned entirely within market conditions.

Commodity-money relations broke through spontaneously even into the inner sanctum of the administrative system. Getty, drawing on reports of the Party Control Commission, cites a striking fact: the system of commercial barter had entangled the workings of the authorities to such an extent that *«they even swap in the Vinitsa provincial party committee cafeteria»*.⁴³

The law of value operates as a blind law of nature:

«The character of having value, when once impressed upon products, obtains fixity only by reason of their acting and reacting upon each other as quantities of value. These quantities vary continually, independently of the will, foresight and action of the producers. To them, their own social action takes the form of the action of objects, which rule the producers instead of being ruled by them. It requires a fully developed production of commodities before, from accumulated experience alone, the scientific conviction springs up, that all the different kinds of private labour, which are carried on independently of each other, and yet as spontaneously developed branches of the social division of labour, are continually being reduced to the quantitative proportions in which society requires them. And why? Because,

40 - Yarymenko Yu. V. *Ibid.* P. 26.

41 - Leontief W. W. *Ibid.* P. 226.

42 - *Ibid.* P. 223–224.

43 - J. Arch Getty. *Ibid.* P. 187–188.

*in the midst of all the accidental and ever fluctuating exchange relations between the products, the labour time socially necessary for their production forcibly asserts itself like an over-riding law of Nature. The law of gravity thus asserts itself when a house falls about our ears»⁴⁴ (Karl Marx. *Capital*, Volume I. Chapter I).*

The illusion of total planning was shattered by practice: the system of “planning bodies” was organically supplemented by the shadowy yet widespread institution of “tolkach” (suppliers and fixers). Factory directors regularly sent agents to other enterprises with unaccounted-for money (“black cash”) or goods for barter, in order to obtain raw materials and machinery in defiance of the directives of the State Supply Committee. This practice is one of numerous pieces of empirical evidence – valuable precisely because of its obviousness – that the means of production in the USSR circulated as classical commodities. Where it was impossible to balance the books, separate producers restored the proportions of exchange through the de facto market.

SHADOW CAPITAL: THE BREAKTHROUGH OF THE LAW OF VALUE

The capitalist system of the USSR, subject to the blind law of production for production’s sake, over-accumulated capital in heavy industry (Department I, according to Marx), while severely suppressing the sphere of mass consumption (Department II). «*Civilian industry*», Yaremenko notes, «*began its fictitious development in an empty resource space [...]. The fiction manifested itself in fictitious plans and fictitious reports*».⁴⁵

The law of value broke through spontaneously wherever the rate of profit was highest – in scarce consumer goods. The shadow economy (which, according to estimates by the State Statistics Committee, had reached 100 billion roubles by 1990) was not a criminal aberration, and certainly not the result of some mere oversight by the “militia” or shortcomings in the work of the OBKhSS⁴⁶. It was a necessary, albeit grotesque, structural element of backward capitalism. Having concentrated enormous amounts of capital in the production of the means of production, the cumbersome state apparatus was structurally incapable of adequately supplying the market with consumer goods. The shadow sector objectively compensated for this structural deficiency, organi-

cally permeating the economic base of the capitalist system. Everyone knew that it existed. Yaremenko, whom we have already encountered, states:

«*The shadow economy existed in trade, in production and in supply*».⁴⁷

“All-people’s” ownership served as a convenient legal shell. The case of Nikolai Pavlenko, who in the 1940s and 1950s created a large construction corporation under the guise of a military unit, demonstrated that a state structure could serve as a cover for an individual private owner to extract profit. Pavlenko concluded contracts, hired workers, extracted surplus value and distributed dividends, fitting perfectly into the economy of Stalinism.

The nature of this symbiosis was exposed as early as 1927 by Yuri Larin in his work *Private Capital in the USSR*. Larin demonstrated empirically that, in the early years of the NEP, the state apparatus of the USSR itself became an incubator for the bourgeoisie: through a system of “agency” contracts, state funds flowed into private pockets. The essence of these contracts (the so-called system of commission agency) was that the cumbersome state trusts and syndicates, lacking their own flexible networks for retail distribution and the procurement of raw materials, hired private businessmen (NEPmen) as their official representatives and suppliers. In practice, this took two main forms:

First, in the *sphere of sales*. State monopolies (for example, the Textile Syndicate or the Leather Syndicate) supplied private individuals with scarce industrial goods on credit for resale. Operating under the guise of an “agent of a state trust”, the private trader received the goods at fixed wholesale prices but sold them locally at inflated, speculative prices. Returning only the basic cost of the consignment to the state, the agent pocketed the lion’s share of the surplus profit. In essence, the private trader was selling state-owned goods on the basis of state credit.

Second, in the *sphere of procurement*. The state provided private intermediaries with huge cash advances to purchase grain, flax, furs or raw hides from peasants for the needs of industry. Using state money as interest-free capital, such an agent bought raw materials cheaply, supplied state enterprises with only part of the goods (often of inferior quality) in order to formally settle the advance, while putting the best part

44 - Karl Marx. *Capital*, Volume I. Chapter I: The Commodity // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch01.htm>

45 - Yaremenko Yu. V. *Ibid.* P. 29.

46 - The Department Against Misappropriation of Socialist Property (translator’s note).

47 - *Ibid.* P. 48.

into speculative circulation on the free market or re-selling it to those same state factories through a chain of “sham co-operatives”.

Thus, as Larin aptly demonstrated, a typical NEP-man wholesaler often had no initial capital of his own and risked none of his own money. He parasitised on interest-free state loans and commodity credits, turning the institutions of the state itself into a cash cow for extracting surplus value and accumulating personal capital.

Larin convincingly documented that even then a vast stratum of de facto capitalists was forming outside the ruling party. Possessing money capital and commercial capital, and acting as tenants, contractors or managers of mixed companies, these businessmen were not even members of the All-Union Communist Party (Bolsheviks), yet they exercised real control over surplus value. At that time, up to 30 per cent of wage workers in the USSR worked for private individuals. During the NEP, private capital controlled more than 50 per cent of retail trade and over 20 per cent of wholesale trade. This was a natural consequence of commodity production: it inevitably generates capital under conditions in which there is no direct consumer connection between sectors and the state is incapable of establishing such a connection artificially.

This tendency for capital to function independently of party membership did not disappear in later periods either. The functions of personified capital were increasingly assumed by directors of trading bases, heads of industrial workshops and artels. Striking examples include the underground millionaires of the 1960s: from Siegfried Gazenfranz, the supervisor of knitwear factories in Kyrgyzstan, and his associate Isaac Singer, to the famous director of the Eliseevsky Grocery Store, Yuri Sokolov. They operated with capital running into millions, extracted surplus value, invested funds in expanded reproduction and engaged in competitive struggle. Even more revealing are the “internal offshore” arrangements of the 1960s–1980s. Shadow syndicates made use of the training and production complexes of the All-Union Society of the Deaf and Hard of Hearing, which enjoyed tax privileges. People with hearing impairments became the object of classic super-exploitation. Unaccounted-for goods were produced using state-owned equipment. The shadow shareholders divided the surplus value, while offi-

cial factory managers and representatives of the repressive apparatus received a fixed rent in return for providing cover.

In her study of the USSR’s workshop entrepreneurs (“tsekhoviki”), historian Marianna Zhevaki-na vividly describes the dual nature of this system: while officially remaining a state-owned enterprise, the “socialist” factory served merely as a cover and provided free infrastructure (buildings, raw materials and machinery) for the operation of a «*secret private firm*». These underground capitalists openly referred to themselves as «*shareholders*» or «*co-owners*». They invested their own capital and appropriated the lion’s share of the surplus value – the unpaid labour of the workers. Meanwhile, the enterprise’s official management (the director, accountant and chief engineer) were reduced to mere rentiers. They received a fixed monthly rent from the *tsekhovik* in exchange for their silence and for making state-owned production facilities available to them, which the businessmen themselves cynically called a «*fixed rate*» or «*salary*». Many of these shadow capitalists deliberately remained non-party members, preferring to be listed as ordinary foremen or workers, while the formal party officials found themselves on their payroll. Operating according to the harsh laws of the capitalist market, these illegal enterprises went through the classic cycles of capital concentration and centralisation: they underwent mergers (to suppress competition), restructuring and the division of workshops. They resolved commercial disputes over the distribution of surplus value through informal arbitration tribunals.⁴⁸

The legal “owner” in the person of the state found itself in direct economic subordination to the actual owner of the capital.

SYSTEMIC CRISIS AND THE LEGALISATION OF CAPITAL

The USSR collapsed not because of the “betrayal” of the nomenklatura, but under the weight of intractable contradictions in the economic base, rooted in economic backwardness and the resulting low level of labour productivity.

For Marxism, the question of productivity is not a purely technical one – it is a fundamental criterion of the historical legitimacy of any mode of production. In Volume III of *Capital* (Chapter 15), Karl Marx categorically stated that the historical task and justi-

48 - Zhevaki-na M. *Sovetskie tsekhoviki: etika “levykh” otnoshenii* [Soviet Workshop Entrepreneurs: The Ethics of “Informal” Relations] // *Neprikosnovennyi zapas*, No. 5, 2020. Pp. 207–217. (in Russian)

fication of capital lie precisely in the unprecedented development of the productive forces of social labour: «*This is just the way in which it unconsciously creates the material requirements of a higher mode of production*».⁴⁹ Capitalism has a historical right to exist only so long as it is capable of revolutionising the economic base and increasing productivity. If a particular political system is incapable of fulfilling this role, it is objectively doomed.

The economy of the USSR, developing according to the laws of commodity production, encountered the classic capitalist tendency described by Marx: a rising organic composition of capital (c/v , where c is constant capital and v is variable capital) and a steady fall in the rate of profit. The empirical evidence of economic history is merciless: the USSR failed to ensure that the productivity of capital kept pace with, let alone outstripped, that of the West.

Firstly, by the 1970s, the extensive model of accumulation had exhausted itself: the demographic resources of the countryside had been depleted, leading to a fall in the rate of profit. The state had exhausted its *reserve army of labour*. We find confirmation of this in the observations of Yarymenko:

«*As the powerful influx of labour into industry from the agricultural sector was exhausted, we increasingly began to live at the expense of the labour resources of the cities – at the expense of people who, having come from the countryside, had passed through the “limit”*».⁵⁰

Secondly, having lost the ability to draw in new living labour (v) extensively, the system attempted to compensate for this with colossal injections of constant capital (c) – through the construction of new factories, the production of vast quantities of machine tools and the extraction of raw materials. However, this led to a catastrophic decline in the *productivity of fixed capital*. According to the official statistical yearbook of the State Statistics Committee, *The National Economy of the USSR over 70 Years* (1987), output per unit of value of fixed production assets (*fixed capital*) in the “sphere of social production” was falling rapidly: taking the 1970 figure as 100 per cent, it had fallen to 74 per cent by 1980 and plummeted to 64 per cent by 1986. According to the calculations of the macroeconomist G. I. Khanin, set out in his work *The Dynamics of Economic Development in the USSR* (1991), the real picture was even more bleak: the productivity of fixed capital had

been falling steadily since the late 1950s, declining by an average of 3 per cent annually during the period of *stagnation*. Capital was inexorably becoming “heavier”: the growth in the value of fixed production assets (*dead labour*) far outpaced the growth in national income (newly created value). The state was forced to advance ever-increasing amounts of means of production simply to prevent growth rates from collapsing altogether. This was a classic crisis of over-accumulation of capital, in which the accumulated mass of dead labour was devalued because of the inability to extract a sufficient mass of surplus value to maintain the rate of profit.

Thirdly, the USSR’s integration into the global capitalist market – its dependence on oil exports and technology imports – left it defenceless in the face of the global crisis.

Ultimately, it was the world market, as the supreme arbiter of the law of value, that delivered a merciless economic verdict on the “Soviet” system, which was incapable of producing abstract wealth as efficiently as Western capital.

It is important here to dispel the myth propagated by bourgeois propaganda and by certain “Marxists” (who see this as a fulfilment of Trotsky’s prediction) that the so-called “transition to the market” was driven by a conscious desire on the part of the nomenklatura to legalise their capital. Firstly, this subjective aspiration was by no means shared by all its members: the appeals to “socialism” at the 28th Congress of the CPSU, the conflict between the centre and the regions, and the August 1991 coup all testify to the contrary. Secondly – and this is the key point – subjective desires of any kind were not, and could not have been, the decisive objective cause of the system’s transition to an *openly* bourgeois form.

The absence of documents bearing an official seal did not in the slightest prevent the top bureaucracy from disposing of state resources as if they were its own. It had colossal sums in bank accounts, unlimited access to special distribution channels, elite property and other material benefits and, without any legal titles, secured a luxurious future for its children. The children of the “Soviet” nomenklatura – the so-called “golden youth” – occupied cushy positions within the Ministry of Foreign Trade, the diplomatic corps and overseas missions, gaining direct access to foreign-currency flows and a Western standard of consumption.

49 - Karl Marx. *Capital*, Volume III. Chapter XV: Development of the Internal Contradictions of the Law // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1894-c3/ch15.htm>

50 - Yaremenko Yu. V. *Ibid.* P. C. 44.

Only after recognising the system's historical impasse (as a result of the falling rate of profit and the collapse in the productivity of capital), and sensing the threat of losing this de facto control amid the crisis, did the nomenklatura, by then inextricably intertwined with the shadow sector, initiate Perestroika.

The processes of the 1990s involved the redistribution and privatisation of capital that had already been accumulated and highly concentrated. Factions within the state apparatus and the shadow sector simply seized the opportunity to cast aside the fiction of "socialism" and legally secure the means of production for themselves.

The class continuity of this process is absolute. Arch Getty states quite plainly:

*«During the privatization process, personal connections were more important than ever before [...]. This was easiest for people who had worked in the nomenklatura elite in Soviet times, and simply kept in touch with their former colleagues. The Soviet Communist Party disappeared, but the nomenklatura survived».*⁵¹

Following the collapse of the USSR, this system of managing capital did not disappear; it simply laid bare its underlying economic base:

*«No longer embedded in the party nomenklatura, clans exist in and overlap with finance and banking, industrial management, and a host of other endeavors apparently outside the state. Their membership does indeed seem to be more porous and changing, as clan members can enter and leave networks more freely».*⁵²

This transition was accompanied by the massive destruction of productive forces (the widespread closure of factories). From the standpoint of Marxist political economy, the physical destruction of over-accumulated, surplus capital is a classic objective mechanism for resolving a capitalist crisis – the shedding of the dead weight of unprofitable constant capital in order to restore the rate of profit.

The "parade of sovereignties" should likewise be viewed within this strictly political-economic context. Behind the façade of "national liberation movements" and "popular fronts" lay the direct economic separatism of regional factions of the bourgeoisie. The republican elites sought to sever their institutional ties with the Union centre solely in order to secure their unchallenged monopoly over local resources.

What bourgeois journalism coyly calls the "rampant crime" of the 1990s was, in reality, a bloody phase in the redistribution of capital. When the physical division of the productive forces (such as ports and steelworks) began, the state's unified repressive apparatus fragmented into hired detachments serving different factions of the bourgeoisie. The phenomenon of "protection in uniform", whereby career officers of the security services acted as the clients behind the murders of rivals, clearly demonstrates the Marxist thesis: the law-enforcement apparatus is a machine of violence serving the interests of capital. Criminal bosses and "militia" colonels played the same historical role: they fused the scattered fragments of "Soviet" capital into a new private oligarchic monopoly.

THE HISTORICAL TASK OF THE PROLETARIAT

The commodity form of the product itself in the USSR contains the answer to the question of its nature. As Marx wrote in *Capital*, *«this ultimate money form of the world of commodities [...] actually conceals, instead of disclosing, the social character of private labour, and the social relations between the individual producers»*.⁵³

Overcoming this class antagonism is impossible through mere nationalisation or political upheaval. It requires the abolition of commodity production itself and the transition to directly social labour, which will forever preclude the transformation of the product into value and capital.

The real task of the communist movement is the abolition of private property. Exposing the myths of *false socialism* is not a struggle against the ghosts of the past, but the sharpening of the theoretical weapons needed for future battles for communism. Only through the re-establishment of the world communist party of the proletariat, the overthrow of the bourgeois state, the establishment of a genuine dictatorship of the proletariat (based on a system of workers' councils), the genuine socialisation of the means of production on the basis of a universal plan, and the organisation of labour on an associative basis will it be possible to break the mechanism of capital's self-expansion and begin the true history of humanity.

June 2026

51 - J. Arch Getty. *Ibid.* P. 271.

52 - *Ibid.* P. 273.

53 - Karl Marx. *Capital*, Volume I. Chapter I: The Commodity // Marxists Internet Archive. URL: <https://www.marxists.org/archive/marx/works/1867-c1/ch01.htm>

LESSONS OF DEFEAT

OBJECTIVE CAUSES OF ISOLATION AND COUNTER-REVOLUTION

This material opens a series of articles constituting a brief and, undoubtedly, incomplete historical overview tracing the concrete course of the class struggle in Russia after the October Revolution. In the first part, we will analyse the material conditions in which the isolated revolution found itself. Within this text, we deliberately refrain from a detailed theoretical analysis of the political platforms and programmatic positions of the sides involved in this confrontation. Such a comprehensive Marxist analysis will be the subject of subsequent publications in our journal. For now, let us limit ourselves to a description of the historical reality, which reflects with unequivocal clarity one harsh fact: the world communist revolution that began in October 1917, having been confined within the national borders of a backward country, was objectively doomed to the most severe crisis and counter-revolution.

PART I. SOCIO-ECONOMIC COLLAPSE

THEORETICAL AND HISTORICAL PREREQUISITES FOR THE RETREAT

By refusing to acknowledge the objective prerequisites of the October Revolution, bourgeois historiography reduces the historical process to a series of coincidences or conspiracies. But people's subjective actions have their own objective logic. After the February Revolution of 1917, Russia found itself at an impasse: the empire's resources had been exhausted, the army was disintegrating, and the liberal Provisional Government was incapable of unravelling the knot of contradictions – above all, the land question and the question of withdrawing from the imperialist war. The Bolsheviks' seizure of power was inevitable precisely because all the other political forces – from the Cadets to the Mensheviks – of-

fered the proletarian and peasant masses nothing but death in the trenches.

The objective conditions for the final victory of the proletariat had not yet matured – and not only in isolated peasant Russia, but on a world scale as well. If this had not been the case, we would be writing a completely different history today and living in a world free from the chains of capitalist exploitation and the catastrophes of imperialist wars.

In seeking to draw lessons from this defeat, revolutionary Marxism must clearly recognise the dual character of October. On the one hand, the Russian Revolution was proletarian, since the working class assumed leadership of the uprising and established its own organs of power. On the other hand, its initial tasks remained purely bourgeois: the destruction of the remnants of feudalism, the distribution of land, the development of large-scale industry, and the integration of the national market.

Under conditions of isolation from the advanced Western industry, the economic base was inevitably bound to dictate its terms to the political superstructure, increasingly turning the proletarian dictatorship into an administrator of capitalist development.

But this does not at all mean that there was no need to fight for the revolution. This was not a matter of subjective choice at all.

As L. Trotsky acknowledged:

*«People do not make revolution eagerly any more than they do war. There is this difference, however, that in war compulsion plays the decisive role, in revolution there is no compulsion except that of circumstances. A revolution takes place only when there is no other way out».*¹

It is precisely the coercive force of dire circumstances, rather than steady progress, that drives people towards revolution. The proletarian masses were driven to revolt by the utter hopelessness of their situation. October was not the smooth movement of the locomotive of history along the pre-laid tracks of maturing productive forces, but a grandiose cataclysm in which the proletariat attempted to break the chains of commodity production, even though the objective prerequisites for this did not yet exist in Russia, left without socialist assistance from the West. This was the central tragedy: the Bolsheviks found themselves hostage to Russia's economic backwardness.

The key events of 1921 in Russia – the transition to the NEP and the ban on intra-party struggle at the 10th Congress of the RCP(b) – coincided with the collapse of the revolutionary wave in Europe. The NEP was a forced strategic retreat, an attempt to place capitalism under the control of the proletarian state, but the decline of the revolutionary movement in Western Europe made 1921 a turning point on the road to the defeat of both the Russian and world revolutions.

Today, it is easy to blame the Bolsheviks themselves for this tragic outcome, attributing the counter-revolution to their theoretical errors, organisational principles, or ill will. But such a superficial approach is clearly insufficient for a genuine understanding of the essence of the problem. Our task is to draw harsh materialist lessons from this heroic and greatest attempt in world history by the proletariat to storm the heavens.

The history of intra-party struggle in the USSR in the 1920s and 1930s is not a chronicle of clashes between personal ambitions or abstract ideas, as bourgeois historians try to portray it. It is a chronicle of the tragic, desperate resistance of the proletarian

vanguard to the counter-revolutionary process and, consequently, an expression of the struggle of classes and their factions in Russia and throughout the world.

As shown in the article “The Illusion of Socialism and the Reality of Capital in the USSR”, published in the same issue, the legal “abolition” of private property does not mean the destruction of capital as a social relation. It is precisely an understanding of this fact that requires us to study carefully the harsh material reality that made socialist transformations impossible.

SOCIO-ECONOMIC CATASTROPHE AND THE PETTY-BOURGEOIS ENVIRONMENT

The contradictions between the base and the superstructure unfolded not in an abstract vacuum, but against the backdrop of an unprecedented collapse of the entire country.

To understand why the state apparatus was able to break away from the proletariat and usurp power, Marxism requires us to look at the objective material conditions in Russia after October. The dictatorship of the proletariat found itself trapped not only within the ring of the world capitalist blockade, but also submerged in a gigantic ocean of the petty-bourgeois peasant milieu.

DEVASTATION, FAMINE, AND THE ARCHAIZATION OF CITIES

Throughout world history, the catastrophic disruption of complex economic ties between the city and the countryside has invariably led to profound socio-economic archaization and de-urbanisation. Similar processes unfolded during the collapse of the Bronze Age, when the destruction of Mediterranean trade routes wiped entire states off the face of the earth. The same occurred during the fall of the Western Roman Empire: the collapse of centralised logistics turned once-million-strong Rome into a provincial backwater, forcing the urban plebeians to flee *en masse* to the countryside, where they came under the protection of large landowners in order to survive. Germany experienced a similar regression, accompanied by the abandonment of cities, the cessation of manufacturing, and a return to primitive agriculture, in the crucible of the Thirty Years' War. In all these cases, the collapse of supply systems set humanity back by centuries, towards more primitive forms of survival.

However, the processes that engulfed Russia after October 1917 were entirely unprecedented. In previ-

1 - L. Trotsky. *The History of the Russian Revolution* // Marxists Internet Archive. URL: <https://www.marxists.org/archive/trotsky/1930/hrr/ch43.htm>

ous historical eras, systemic collapse meant a spontaneous regression within the framework of pre-capitalist production relations. In Russia, by contrast, a monstrous process of archaization and industrial paralysis struck a society that was already integrated into the global capitalist market and possessed centres of large-scale modern industry.

But the main historical distinction lay in the political factor: for the first time in human history, the physical destruction of the material base coincided with an attempt by a conscious revolutionary vanguard to build a higher, classless society. A tragic dialectical contradiction emerged. The dictatorship of the proletariat was forced to carry out the transition to socialism under conditions in which urban industrial civilisation itself – the only possible foundation for this transition – was literally crumbling to dust, while the working class itself was dissolving into the petty-bourgeois peasant milieu.

The scale of this collapse had no analogue in modern history. As the British historian Edward Acton notes, in the period after October the country experienced an economic collapse on the scale of the medieval “Black Death”. In the first six months after the armed uprising, the capital lost at least a million inhabitants: workers fled the city *en masse* in search of bread.

The 1917 harvest turned out to be the poorest in a century, and in the winter of 1917–1918 most regions of Russia received only 12–13 % of the normal grain supply. By February 1918, a worker’s daily ration in Moscow amounted to a meagre 306 calories – less than 10 % of the required amount. In Petrograd, by the end of January 1918, the ration had been reduced to 150 grams of bread, and by the end of February – to 50 grams. Under the dual threat of a German offensive and famine, 40 % of the working class had left the city by April, and of those who remained, 60 % were unemployed.²

Even those proletarians who had work had to spend all their free time searching for food. Demoralisation was exacerbated by mass absenteeism. With the outbreak of the Civil War, the situation became catastrophic.

On a nationwide scale, gross industrial output in 1920 amounted to only 13.9 % of the pre-war level of 1913, while the production of consumer goods had collapsed to 12.3 %. The country’s industry had contracted more than sevenfold. The degradation of the economy was accompanied by a mass exodus of the population from

the cities: in Central Russia and the Volga region alone, hundreds of thousands of people fled to the countryside, turning once-thriving industrial centres into deserted ghost towns.

By 1920, the population of Petrograd, which had stood at nearly 2 million before the war, had fallen to one-third of that figure; Moscow had also lost a third of its population. Provincial cities, which were more closely connected with the agricultural economy and local markets, suffered less: it was easier to find sources of food there. The large cities were suffocating: by 1920, they were receiving only 10–20 % of the volume of food that had reached them in 1913.

In September 1917, the 36-year-old officer Jacques Sadoul was appointed attaché to the French military mission in Petrograd. The city, engulfed in the flames of revolution, drew him into the ranks of the RSDLP(b). This is precisely why his observations are of even greater value. On 25 April 1918, in a letter to Albert Thomas, he describes the working-class suburbs of the capital:

«[...] *frightful poverty prevails. There are epidemics of typhus, smallpox, children’s diseases. Babies are dying en-masse. Those one sees are weak, fleshless, pitiful creatures. In the working-class quarters one too often passes poor, pale, thin mothers, sadly bearing in their arms, in a little coffin of silver-painted wood, looking like a cradle, the tiny lifeless body that a small quantity of bread or milk would have kept alive*».³

Diseases claimed more lives than military operations. The mortality curve is striking: before 1918, the figure in Petrograd was close to the pre-war level (22 per thousand); in 1918 it doubled, and in 1919 it almost doubled again, reaching 80 per thousand, mainly as a result of typhus. Life expectancy in the country plummeted to an unprecedented 19.5 years for men and 21.5 years for women. Against this backdrop, the Petrograd Bolshevik organisation also shrank – the very organisation that had constituted the shock detachment of the October Revolution: of the 43,000 members recorded in October 1917, only 13,472 remained by June 1918.

The Bolsheviks found themselves facing a real, life-and-death contradiction: in order to defeat capitalism and «*uphold the power of the exploited*»⁴, they needed, at the very least, to restore capitalist production, and with it exploitation. Without this, all attempts to lay the foundations for a socialist economy risked re-

2 - J. Dominie, *Russia. Revolution and Counter-Revolution 1905–1924. A View from the Communist Left*, Prometheus Publications, 2021. This data, together with some other information given in this article, is taken from this volume.

3 - Quoted by Marcel Liebman. *Leninism Under Lenin* (Merlin Press, 1975). P. 224.

4 - V. Lenin. *Our Foreign and Domestic Position and Party Tasks. Speech delivered to the Moscow Gubernia Conference of the RCP(b)* // Militant Archives. URL: [https://wikirouge.net/texts/en/Our_Foreign_and_Domestic_Position_and_Party_Tasks._Speech_delivered_to_the_Moscow_Gubernia_Conference_of_the_RCP\(b\)](https://wikirouge.net/texts/en/Our_Foreign_and_Domestic_Position_and_Party_Tasks._Speech_delivered_to_the_Moscow_Gubernia_Conference_of_the_RCP(b))

maining nothing more than a «set of decrees»⁵. The emphasis was placed on increasing labour productivity, but this required raising the technological level, which was virtually impossible under conditions of war and isolation. Moreover, the most advanced workers were at the front rather than at the machines, which weakened the apparatus for managing the economy and physically depleted the cadre proletariat.

The tragedy of the situation was vividly revealed in 1918 by the example of the Baku Commune. Cut off from Russia's food supply bases, S. Shahumyan's government did not dare to send food requisition detachments into the Azerbaijani countryside for fear of provoking peasant uprisings in the rear. This condemned the workers of Baku to the most severe famine and forced the Bolsheviks to enter into a bloc with Armenian nationalists from the Dashnaktsutyun party against the advancing Turkish troops. This forced compromise led to the suppression of the counter-revolution acquiring, as Shahumyan himself acknowledged, the character of a national massacre between Armenians and Turks. Famine, ethnic cleansing, and isolation undermined the class basis of the Soviets, allowing the right-wing Socialists to overthrow the Bolsheviks and hand the city over to the British imperialists. Baku became a bloody lesson in how objective material necessity can break the proletarian line.

THE AGRARIAN IMPASSE AND PEASANT UPRISINGS

The devastation caused by the Civil War and the grain requisitioning system led to a colossal polarisation of the rural population. There could be no question of any voluntary transition to collective labour. For example, in Vyatka Province, by 1925 the provincial commission was able to identify only 11 functioning communes and 39 artels among 4.2 million *desyatinas*⁶ of communal land.

The small proprietor was instinctively hostile to communism. A report by the Yaransk Cheka from May 1919 stated: «*The peasants look upon the Communist Party as something big and dangerous*».⁷ «*A communist must be shunned... In the eyes of the peasantry, he has no authority; he is a man who has forgotten God*».⁸ In Kadam

Volost, hostility towards the Soviets was overt, owing to the conduct of the representatives of the authorities themselves: «*rough treatment of the population, "shooting at citizens with rifles", arbitrary confiscations*».⁹

Archival data from typically agrarian provinces expose the appalling backwardness confronting the proletarian vanguard. In Vyatka Province, for example, by the beginning of the 1920s the countryside remained in the grip of centuries-old survivals. The archaic peasant commune played the leading role here. According to the 1916 census, peasants without horses and with one horse accounted for 76.7 %, while households with no land under crops or with up to 10 *desyatinas* under crops accounted for 80.6 %.

Having received the land, the peasantry sought only one thing – to become independent commodity producers. Any attempts at socialisation met with a brick wall. The instructor-organiser Georgy Ilyichev reported from the Vyatka countryside that the peasants listened attentively to accounts of communism and «*agreed to everything*», but when it came to abolishing private property, they protested resolutely. They «*defended private property, although they had nothing...*».¹⁰ The horizon of the peasant dream was expressed by A. Yarantsev, chairman of the Yaransk district committee: «*The peasant's main ideal is an economic holding that enables him to live and feel independent...*».¹¹

The social explosion in the countryside was provoked not only by the grain requisitioning system, but also by the state's attempts to artificially split the peasant commune through the Committees of Poor Peasants («*kombedy*»), established in June 1918. The overwhelming majority of peasants perceived them simply as hostile state interference imposed from outside. They often consisted of military personnel, outsiders, or party members. In Tambov Province, one-third of the members of the Committees of Poor Peasants had never engaged in agriculture at all. The peasantry resisted desperately. In 1918 alone, 7,309 members of food requisition detachments were killed, and the Cheka recorded more than 100 peasant uprisings by the end of the year.

As events in the national borderlands show, the social instinct of the peasantry invariably prevailed over

5 - Ibid.

6 - 1 desyatina is equal to 1.09 ha

7 - Timkin Yu. "Khozhdenie krestyanina v kompartiyu i obratno": volostnye krestyanskie organizatsii RKP(b) v 1918–1920 godakh (po arkhivnym materialam Vyatskoi gubernii) ["A Peasant's Journey into the Communist Party and Back": Volost Peasant Organisations of the RCP(b) in 1918–1920 (Based on Archival Materials from Vyatka Governorate)]. *Krestyanovedenie*, 2022, Vol. 7, No. 2. P. 52. (in Rus.)

8 - Ibid. P. 52–53.

9 - Ibid. P. 57–58.

10 - Ibid. P. 56.

11 - Ibid. P. 53.

the nation-building projects of the big bourgeoisie, but only as long as the issue was the seizure of land and the defence of their small holdings. In Ukraine, the collapse of the bourgeois-nationalist Central Rada in early 1918 was predetermined by its delay in resolving the land question: the peasantry massively went over to the side of the Bolsheviks, who proposed radical agrarian reform. However, as soon as the Soviet government attempted to requisition grain by the methods of War Communism, this triggered a colossal wave of peasant uprisings in 1919, which disorganised the rear. The small proprietor resisted the proletarian dictatorship with equal force, regardless of the language in which the food requisition detachments addressed him.

The hostile ocean of millions of small proprietors dictated its terms to the isolated proletarian government. It was from this same environment, disintegrating under the pressure of the economic crisis, that the state machine drew its grassroots cadres.

The state apparatus, pursuing a policy of food dictatorship, ruthlessly suppressed the petty-bourgeois element. At the same time, the seizure of agricultural produce was accompanied by the wholesale decomposition of the very structures of power. In Tambov Province, many local communists were starving alongside the peasants and condemned the grain requisitioning system, often abandoning party work in order to provide their families with basic food. At the same time, the emerging nomenklatura was becoming detached from the masses. As historians note, *«part of the party leadership embarked on a path of abuses and open theft, which, under conditions of the “transparency” of rural life, could not go unnoticed or fail to arouse resentment among ordinary peasants»*.¹² It was precisely this open arbitrariness and plunder on the part of the “proletarian authorities” that became one of the detonators of the “Antonovshchina” – a gigantic peasant revolt, drowned in blood with the help of the regular army. In late 1920 and early 1921, armed uprisings swept across Western Siberia, Tambov and Voronezh Provinces, the Middle Volga region, the Don, the Kuban, Ukraine, and Central Asia. By the spring of 1921, they were raging across virtually the entire country.

The total number of victims of these peasant wars ran into the hundreds of thousands.

On a nationwide scale, the conflict between the city and the countryside became total. By 1921–1922, the number of so-called “dependants” – the army, officials, and various sections of the urban population supported by the state through the seizure of grain from the countryside – had reached the fantastic figure of 35 million people, placing an exorbitant burden on agriculture.

The situation in the cities was becoming increasingly explosive. Food was in short supply, many factories and plants were closing due to shortages of fuel and raw materials, and workers were being thrown out onto the streets.

The situation was particularly grave in the major industrial centres at the beginning of 1921, above all in Moscow and Petrograd. Bread rations were reduced, some food allowances were abolished, and the threat of famine emerged. The fuel crisis intensified. On 11 February 1921, it was announced that 93 Petrograd enterprises would be closed until 1 March. Among them were such industrial giants as the Putilov Works, the Sestroretsk Works, the “Treugolnik” factory, and others.

As early as November 1920, summing up the first three years of the revolution, Lenin was forced to acknowledge openly:

«We knew at that time that our victory would be a lasting one only when our cause had triumphed the world over, and so when we began working for our cause we counted exclusively on the world revolution».¹³

But the decline of the revolutionary wave in Europe placed the Bolsheviks in an impasse. They inherited from capitalism *«not only a ruined culture, not only wrecked factories, not only a despairing intelligentsia»*, but also *«a disunited and backward mass of individual proprietors, [...] an absence of the team spirit and of all understanding that the past must be buried»*.¹⁴

It was precisely this cultural and economic impoverishment of an isolated, devastated country that laid the foundations for the coming tragedy. Against the backdrop of the total destruction of the material base, a process of political retreat was inevitably bound to begin.

June 2026

12 - Muravieva I. *Fondy volostnykh komitetov VKP(b) kak istochnik po istorii Tambovskogo krestyanskogo vosstaniya 1920–1921 godov* [The Fonds of the Volost Committees of the All-Union Communist Party (Bolsheviks) as a Source for the History of the Tambov Peasant Uprising of 1920–1921]. Gramota, 2017, No. 6 (80), Part 2. P. 76. (in Rus.)

13 - V. Lenin. *Speech At A Joint Plenum Of The Moscow Soviet Of Workers', Peasants' And Red Army Deputies, The Moscow Committee Of The R.C.P.(B.) And The Moscow City Trade Union Council, Dedicated To The Third Anniversary Of The October Revolution* // Marxists Internet Archive. URL: <https://www.marxists.org/archive/lenin/works/1920/nov/06.htm>

14 - Ibid.

MIRROR FOR THE HERO

Editorial Foreword: We are bringing back this text, written in March 1999, from the archives not out of nostalgia, but as a crucial milestone in our political maturation. Its core message strikes at the very heart of the matter today: the time has come to “look in the mirror” and assume organisational responsibility ourselves. We remain convinced that it is senseless to wait for the masses to “ripen” on their own, or to justify one’s own inaction by the machinations of opponents and historical circumstances. Our rejection of reactionary alliances with nationalists, our aspiration to unite efforts with internationalists across the globe, and our call to cease using the works of the classics as convenient quotes for every occasion remain our unshakeable foundation. Of course, in the intervening period, capitalism has made a qualitative leap into the digital and platform eras. The proletariat itself has also changed: the rigid division between factory workers and the “theorising intelligentsia” has eroded. Couriers, factory workers, programmers, and teachers are equally alienated from the products of their labour. The complex struggle for attention in an oversaturated information field has been added to leafleting at factory gates, but the essence of our work remains unchanged.

There is no revolutionary party of the proletariat in Russia. The working class stubbornly refuses to recognise its historical task. Meanwhile, the damned Zionists, Trotskyists, and Stalinists (take your pick) with their vile provocations prevent Marxists from uniting and organising the proletarians to “overcome alienation”. It’s enough to drive one to hang themselves. And that is precisely what the bourgeoisie wants, is it not? Perhaps the problems are not as insurmountable as they are painted? Is it not time for communists to believe in their own strength and set to work in earnest?

It’s a truism that *«the ideas of the ruling class are in every epoch the ruling ideas»*¹ (Marx and Engels, *The German Ideology*). Furthermore: *«the working*

*class... educated, traditional, and accustomed to the conditions of that mode of production, looks upon those conditions as self-evident natural laws»*² (*Capital*). It follows from this that one should not wait for a “wind-fall” – for the proletariat to “mature” and “give birth” to its vanguard, the communist party. In reality, the category of economic class – as a large group of people occupying a definite place in the process of social production – and class as a subject of political struggle do not coincide perfectly, but with a certain “displacement”. The more the contradictions of society intensify, the more representatives of the “middle” and even “higher” classes come to recognise the necessity of revolutionary transformations. The process

1 - Karl Marx and Frederick Engels, *The German Ideology*, in Marx Engels Collected Works [MECW], Vol. 5 (London: Lawrence & Wishart, 1976), p. 45.

2 - Karl Marx, *Capital: A Critique of Political Economy*, Vol. I, in MECW, Vol. 35 (London: Lawrence & Wishart, 1996), p. 747.

develops in parallel: on the one hand, the spontaneous workers' movement for better conditions of labour and life takes on definite forms (trade unions, councils); on the other, within the ranks of the intelligentsia (which, by virtue of the existing social division of labour, holds a monopoly on the development of thought), the theory of socialist revolution and the methods for its achievement mature. Only when these two currents merge is a revolutionary party of the proletariat – the communist party – born.

This process has been outlined in principle. But has it become outdated?

As far as theory is concerned, modern Marxists find themselves in a position both easier and more difficult than their predecessors at the beginning of the twentieth century. Easier because, over the past hundred years, capitalism has expanded exclusively in breadth; it is no longer capable of any qualitative leaps. More difficult because there exists a vast negative experience of the “construction of socialism”, which is fully exploited by bourgeois counter-propaganda. Therefore, explaining the history of the twentieth century, and doing so from the standpoint of dialectical materialism, is one of the most important tasks for theoreticians at the turn of the millennium. Yet this is still history, and it should not serve as a stumbling block for contemporary communists – we are confronted with the necessity of a new revolution, and therefore the paramount task now must be an understanding of the need for joint action, despite theoretical disagreements. Unity is impossible with opportunists, with those who place the tasks of political self-preservation above the interests of the common struggle. Unity is impossible with those who advocate a bloc with the “national” bourgeoisie against the “comprador” bourgeoisie in the interests of Russia's supposed national liberation movement. Anti-Semitic rhetoric cannot be justified by any, even the noblest, intentions.

Nor is unity desirable with those who glorify “humanism” and “democracy” in abstraction from their class content, which in practice amounts to primitive anarchism and binds the working class hand and foot. Those who see the sole problem as the absence of a proletarian vanguard must unite, for such people need only take one step – to look in the mirror!

If we have recognised the necessity of socialist revolution, if we see that the only force capable of accomplishing it is an organised and active working class, if we are already engaged in the work of enlightening and organising the exploited masses – then we are precisely that vanguard of the proletariat. Yet we

act in a fragmented, amateurish manner, whereas we are compelled to act on a mass scale, professionally, and in a centralised manner.

Only then will the workers “notice” us. After all, class consciousness arises not so much by virtue of “economic origin” as in the course of class struggle, and that is precisely what we are waging. The working class can give rise to labourists, nationalists, and apathetic elements – there is nothing surprising in this. It is naive to regard every workers' protest as the beginning of a revolution. On the contrary, we must not yield to spontaneity; it is necessary to intensify propaganda and our own organisational presence within the workplaces, up to and including the creation of party cells (even if underground). However, serious work in this direction is impossible without coordinating efforts with Marxists across the world, beginning with those who are easiest and quickest to reach.

The task of enlightening the working class is greatly facilitated by the availability of legal Marxist literature, but is complicated by its excessive breadth. Communists must therefore go beyond the false dilemma of “Stalin versus Trotsky” and deepen their study of the classics. Only a theoretician whose theses have been confirmed by practice can be recognised as an authority. After Lenin, it is difficult to name any such figures, with the exception of certain insights from individual comrades. It is therefore necessary to stand firmly on the principled slogans of Marxism, without referencing specific names too often. The classics bequeathed to us the task of developing theory, not of pounding water in a mortar, as has been done for the last seventy years or so.

Of course, one could wait a little longer until all workers have independently studied (if they so wish) *Capital* and the *Manifesto of the Communist Party*, but would we not thereby be rendering a service to our class enemies – the capitalists? It is very easy to justify one's own impotence by the “unpreparedness” of the proletariat, but where is this preparedness supposed to come from?

There is a manifest growth in workers' interest in our propaganda, so is it not time to come to our senses? Surely, someone has to do it?!

To delay any further is a crime against the working class of Russia and the entire world.

The proletariat can never become a “class for itself” if we – its vanguard – are unable to recognise our own inner unity.

March 1999

THE APPROACH TO THE QUESTION OF THE PARTY

EDITORS' NOTE

The “Communist Prometheus” group does not consider itself the world communist “party, or even its sole embryo”, and views its activities “as part of the practical movement towards communism, as a struggle to create this party”. On this basis, we consider it important to exchange experiences and engage in discussions with other internationalist communist organisations. In this connection, we publish our translations of documents, articles and materials produced by other communist organisations, which we consider to form part of the theoretical heritage of Marxism and an important element in the formation of the class consciousness of the world proletariat.

We took this translation from the English-language page of the leftcom.org website. We have translated our own introduction, the article author’s introduction, and the concluding section “A Concrete Example”.

AUTHOR'S NOTE

One of the reasons why this article was written, perhaps the main one, was to indicate what the role of a revolutionary party would have been, had there been one in England, during the miners’ strike which, let us remember, was the most important event of class struggle in the 1980s and 1990s before the collapse of false socialism in the USSR. In fact, the political indications contained in the article were aimed at denouncing the usual reformism, at combating national capital and the domestic bourgeoisie. As always, the need for the miners to establish contact with the rest of the English working class was emphasised, as was the need to establish workers’ committees, etc...

A second reason concerned our differences with the Bordigists over the role of the party. At the time, they oscillated between reconquering the unions and creating class unions, depending on which way the wind was blowing, without in the slightest taking into consideration the emergence of organs of struggle outside and against the unions.

A third reason was to wage a polemical battle against the position of the ICC, which linked the role of the party to the generalisation of struggles, because the proletariat would take care of everything else on its own...

Even today it is still an issue; not, as in the past, a debate between Marxists and anarchists, or between councilists, syndicalists, and Bolsheviks; but in a more subtle almost obscure but no less dangerous way. Within the “communist left” the party question is still on the agenda.

In the dark tunnel of the counter-revolution, by which we mean not only the triumph of Stalinism in Russia, but also the distortion of the basic framework of revolutionary ideas, the role and function of the class party has also undergone much revision.

At issue is not the party as such, but its relationship with the class, the uniqueness of its political function in the class struggle, the ever open question of consciousness and its permanence in a so-called counter-revolutionary phase, and finally its tactics as a concrete expression of its political being.

Like many other issues the party notion has suffered heavy criticism from both right and left, in both mechanistic or idealistic ways, not so much as a single object of study and rethinking, but more as an appendix to a counter-revolutionary process that affected the foundations of the newly born proletarian state after Russia's October Revolution.

Many political elements, in trying to understand *a posteriori* the main causes that brought about the defeat of the Russian Revolution latch on to what the Bolshevik Party did during, and especially after, the taking and management of power.

Some have seen in the lack of centrality of the party, too influenced by “external factors” such as the Soviets, especially those of non-workers, as one of the fundamental causes that favoured revisionist ideology first and counter-revolution later. Others look at the issue from the opposite point of view, seeing the inevitable preconditions for the process of degeneration in the same party structure, through its decidedly totalitarian centralism and its supposed substitutionism.

These concerns are valid even if their conclusions aren't. In the twenties and thirties (for latecomers there are no time limits) an analysis of the route Russia was taking was an absolute priority from both the internal socio-economic aspect, as well as, from a revolutionary point of view, the role that the Soviet Republic might possibly still play on an international level.

The first great revolutionary experience, which had allowed the Russian proletariat to create the political conditions for the transition to socialism through the indispensable form of rule of its dictatorship, as

the first step in an international revolutionary process, was showing signs of a gradual attrition.

Then as now, a correct interpretation of what happened was, and is, the condition for creating the conditions of a future victory of the world proletariat, even after such a severe defeat. Instead people very often fall into the error of confusing the manner and the timing of the degenerative process with the causes that brought it about.

The first big rock on which the Bolshevik revolutionary experience ran aground was its international isolation, exacerbated by a particularly backward domestic economic situation. The impossibility of creating the basis of the new society within the confines of one nation, the pressing concern to somehow solve the most basic issues of physical survival, and the opportunist aspects of the resistance to international capitalist encirclement came at the cost of increasingly giving up the demands of the revolution itself. All of which provided fertile ground for counter-revolutionary ideology and practice.

The more isolation and encirclement tightened its grip around the Bolshevik experience, the more the worm of counter-revolution was nourished in the revolutionary power structure itself, in the management of state bodies, in the relationship between the party and the class and within the Party itself.

The contradiction between a revolutionary superstructure aiming towards a socialist solution and an economic structure still based on capitalist economic categories was fatal, especially within an international framework that was moving rapidly in a totally negative direction. The second condition clearly had to prevail over the first thus halting the revolution on the threshold of the first step and preventing it from going on to the next, that of socialist construction. Especially fatal was its continuing isolation, so that the consolidation of the productive base on capitalist economic categories, even at the level of state management, would eventually erode, and finally overwhelm, the very political superstructure that emerged from the victorious revolution.

The party was also overwhelmed. Indeed, the start of the political defeat really began with it, as an inevitable reflection of an unfavourable and infinitely impossible situation both at home and abroad. Those who believe that things could have been different if only there was a different kind of party, either an even more centralised one, less influ-

enced by “non-class” factors or, conversely, one more open to the demands of different social components, depending on their analysis and inclinations, would be taking the bull by its tail rather than by the horns. Those who simply see the key to the defeat of the Russian Revolution in the Leninist conception of the party have taken the road to political confusion and are revising one of the fundamental cornerstones of the class struggle.

It is not in the extreme idealism of a pure and uncontaminated party, nor in that of a vulgarly pragmatic party open to all sorts of tactical compromise, that the success of a revolution can be guaranteed. But these roads have been disastrously taken even within the “communist left”.

Once again the poor understanding of events in Russia after the revolution, has led to confusion between the causes and the nature of the counter-revolutionary process, triggering the dangerous presumption that the solution to the most important, if not all, the evils that have plagued the international workers’ movement, can be found in a redefinition of what the party is, as well as its role and its relationship with the class in the management of power.

WHAT IS THE PARTY?

*«In the Theses on the tasks of the Communist Party in the Proletarian Revolution approved by the Second Congress of the Communist International, theses truly and deeply inspired by Marxist doctrine, the starting point is the definition of the relationship between party and class. It starts by establishing that the class party can only be a part of the class, never all, perhaps never even the majority of it».*¹

*«A party lives when it has a theory and a method of action. A party is a school of political thought and then a fighting organisation. The first is a fact of consciousness, the second is a fact of will, more precisely a tendency towards a precise goal».*²

We repeat these two short, concise, but extremely clear passages by Bordiga on the party issue as essential starting points, even if we do not share all of their implications, especially those he expressed later.

The question: what is the party, before it even constitutes a political-programmatic question, refers, in its content, to the relationship with the class. In other words must the party, precisely because it is the political organisation of the class struggle, the supreme guardian of the immediate but, above

all, the historic interests, of the working class, contain the vast majority, or only a part, of the class? Is it possible that the party can represent the interests of the whole, or is the opposite formula true?

Coming out of the byzantine political maze, the question of the distinction between a party of cadres and a mass party was posed historically.

Almost all the communist parties that sprang up in the late teens and early twenties did so under the political inspiration of the Bolshevik experience and the Third International as revolutionary vanguards of the working class, or rather as narrower cadre parties representing the proletarian world. Apart from the purely genetic fact that the vast majority of new parties came out of the old Social-Democratic organisations of the Second International who saw themselves as mass organisations, the revolutionary “minorities” set themselves up as a kind of political opposition to the reformist “majority”. The idea of a body of cadres was better suited to the dialectic of the facts than any idealistic ambitions and inclinations, and above all, fitted the only genuinely revolutionary episode: the Bolshevik Revolution.

Theory and a method of action, as preconditions of consciousness and will, can only be carried by a minority, of a part of the class. It is thus idealistic praxis to conceive of the possibility of the acquisition of total consciousness by the entirety of the class, like the gradual conquest of the “spirit”.

History has shown often enough how consciousness, doctrine and method derive from the experience of the class struggle, but the class can only adhere to a political programme at certain times and under certain conditions.

The economic and political domination of the bourgeoisie is always such as to inhibit the possibilities of the growth of consciousness within the totality of the class. There are too many factors getting in the way of the development of consciousness. Lenin’s sentence that the dominant ideology is the ideology of the ruling class is not just a clever-sounding abstraction, but a very effective summary of reality both then and now. For him consciousness and the programme, despite being the historical acquisition of the whole class, as the sum and synthesis of occasional and partial episodes, are a political heritage of only a part of it. Precisely for this reason the party is the most advanced and conscious part of the class that unifies its experiences, chan-

1 - A. Bordiga, *Partito e classe*, in *Rassegna Comunista*, anno 1, n. 2, 15 aprile 1921.

2 - Ibid.

nels its efforts, and at the same time, overcomes its limitations.

The idealistic conception that claims to identify the political formation of the class as an autonomous process of acquisition of consciousness, ends up by giving the party only marginal and secondary tasks such as from time to time accelerating the class struggle or organising economic struggles. Some see it as a sort of “headquarters” of the proletarian army, denying its primary role, that of an irreplaceable political tool of the class struggle, as a synthesis of theory, method, consciousness and determination to struggle.

It is true that these factors can be identified in the class, but only partially and intermittently. They emerge in ascending phases of the struggle, but are practically non-existent or distorted in periods of complete subjugation or defeat. These elements can only be expressed in a joined-up way and have continuity over time in the party. Only within the political vanguard can all demands arising from the tumult of the class struggle be distilled and tactically and strategically ordered, very often over and above economic spontaneity, sectionalism and corporatism.

The basic pretext, to which those old and new idealists cling in order not to retreat from their position on the question of consciousness and of self-emancipation of the proletariat, is provided by this simple syllogism: how is it possible to build a new economic and social order, the realisation of a political project based on the disappearance of classes, if the subject of this revolutionary change, the proletariat, is not conscious of its aims? Either the proletarian revolution, like the building of communism, is the result of a historical accident, as improbable as it is random, or the political consciousness for this act has to belong to the class, the whole class and not something that is outside it.

First it should be noted how the idealistic worldview obstinately considers the class and the party as two different categories that are even strangers to each other. The first is the object which the second relates to, but only as a political complement outside the class, as the bearer “from the outside” of something that does not belong to the entire class, consciousness, and so is different from it. According to this view, if first the revolution and then socialism are the products of consciousness and will, either they are the patrimony of the class or they are nothing. The moment they become attributes of the party, would lead in their eyes to some sort of process

where the factor of consciousness did not exist or would be outside of the revolutionary subject.

But, in any dialectical conception, the party is a part of the class, not a more or less important appendage, or even a body external to it. They are the same class elements. The more conscious, more politically-equipped and determined make up the party cadres, alongside deserters from the other class, provided they make the revolutionary programme of the proletariat their own. It is from the heart of the class itself that its vanguard emerges. This is due to the nature of the class-party relationship, which can be seen in the very question of consciousness as a strict dialectical relationship between two forms of existence which express themselves in the same class. Otherwise you get lost in the subtle problems of one above another, one internal and the other external, in romantic Hegelian ideas about the maturation of a class ego. That’s why it is only through its vanguard, or rather its party, that the class can, and is, able to express itself in a conscious and unified manner.

The class is changeable due to its economic and political subjection to the bourgeoisie. It attacks and retreats, makes gains and is defeated, and gives rise to countless demands, which are always partial and limited and often contradictory. In some historical phases of its existence it bursts with force and violence onto the social stage driven by its objective conditions, and certainly not by a definite programme.

The dialectical conception has never peddled the illusion that consciousness ripens automatically within the class and we just have to wait for a revolutionary movement. If the Bolshevik Party and Lenin had expected this to happen, not only would they have encountered a lot of difficulties, but the October Revolution would never have come about, neither in 1917 nor in the decades that followed.

The real problem has always been different. How can the spontaneity of individual sections or the vast majority of the class be connected to the programme of its political minority? In other words it is only with the presence of the party that sectional demands can become general, that the economic grievances can come out of their rudimentary form to take on political shape, that the immediate content of one struggle, of a section of the class, can be framed within a strategic vision.

The party of cadres, and its quantitative limitations, does not depend on any elite selection process, but on the actual unfolding of the class struggle.

gle, which, until the decisive revolutionary event, has to submit to the economic and political domination of the bourgeoisie. This breaks up and isolates struggles and opposes the interests of one category to another. Above all it obscures class consciousness to the point of making the historic goal ever more confused and remote.

It is utopian, as well as politically foolish to think that the class party can, in a particularly favourable situation, such as in a revolution, unify in its structure the whole class or its numerically more consistent part. This will never happen other than in the mental masturbation of idealist thought, but what will happen is that the party, in periods of direct confrontation, will have behind it, though not in it, very broad masses, in order for there to be any hope of a revolutionary outcome.

The conception of the mass party, instead of, or in opposition to, the party of cadres, began to make inroads in the political perspectives of the Third International, and consequently in the tactics of the Communist Parties at the same time as the beginning of the process of political retreat that took place in an increasingly isolated Russia after 1921. It is possible at this time to identify the same logic in the theoretical development of the mass party as that which accepted united fronts and the workers' and peasants' government. This was the first step in the rehabilitation of Social Democracy as part of a progressive abandonment, and not just verbally, of the dictatorship of the proletariat.

If the "tactical" goal was not the proletarian revolution for the overthrow of the bourgeois governments, but a kind of "tactical alliance" with the Social Democrats for a hybrid coalition government with the, as yet, undeclared aim of rallying around Russia those governments that were not hostile to its internal "achievements", it followed that little or no purpose would be served by having politically combative communist parties well known for holding revolutionary positions, but incapable of having any influence in fighting bourgeois institutions. Mass parties would be much better and get more rapid results in line with the new objective. They would be more flexible in tactics, more articulate and attentive to cross-class demands, or rather they would be mass parties that could make their voices heard not only in the streets but also in the traditional institutions of bourgeois power. It followed that, this greater political weight was a condition of the wider social groups that entered the party organisation. If there

was no sign of an international revolution, it might as well consolidate the revolution that already existed in Russia. It counted little with the future "gravediggers" of the Revolution, that the October conquests themselves would be safeguarded and strengthened only on condition of supporting other revolutionary episodes. Either Russia had to emerge from isolation or it would collapse in on itself with no possibility of escape.

But now the new road had been mapped out and there was nothing to be done but follow it to the end, and on this road there was absolutely no place for those same cadre parties that were created by the perspective of revolution a few years before.

The transformation of cadre parties into mass parties was not a result of a different tactical approach in response to the difficulties of the time, very dangerous though they were although not irreversibly so, but to the change in strategic objective.

The possibility of building socialism in one country, once accepted, despite the demands of proletarian internationalism became the strategy which the Third International tended towards in order to create a sort of security zone around Russia. In other words, when the prospect of international revolution was declining the level of support for the needs of a "domestic socialism" increased. The less the need for revolutionary vanguards and the more the need for mass parties was invoked.

With its aims radically changed, it was also necessary to alter the way the Third International operated. It was not possible to pursue the creation of leftist governments that functioned as a political buffer for the weak Russian state structure without equipping the Third International with the right tools.

THE IDEALIST APPROACH TO THE PARTY QUESTION

It is the question of consciousness which really decides the various positions on the role and function of the party.

According to the purest idealist interpretation, consciousness being an internal phenomenon of the totality of the class, as a purely spiritual category, is an irreversible factor of self-consciousness superior to all forms of social conditioning, so there is automatically no, or a very limited, need for a party.

If it were possible for the entire class to come together as events developed, to overcome from time to time, in the course of the struggle, its internal divisions, its mere immediate demands, become more

united and add increasingly advanced political perspectives to its demands but above all if it was able to develop a revolutionary programme and the tactics which flow from it, the party would not only not help, but it would become a structure whose awkward presence, in the course of the class struggle, would ultimately adversely affect, or worse, inhibit the progressive evolution of consciousness and its possible political gains.

So the only bodies that can fulfil the organisational and political tasks are those that arise spontaneously in the course of the struggle as a conscious act encapsulating both immediate tactical demands and strategic aims. The presence of a party organisation, within these institutions would distort their class nature, it would affect the political situation, above all by carrying the germs of the counter-revolution.

Councilists and anarchists of all persuasions, have made this setting a kind of dogma, not only rolling their eyes whenever they hear mention of the party, but with the “wisdom” of history, attribute to it the responsibility for the failure of the Russian revolution.

Without going to this extreme, and without taking on board *in toto* the method and conditions which effectively place the anarchist movements and councilists outside and against the revolutionary Marxist positions, very often the idealism, while remaining in support of the so-called party system, can be kicked out the door only to reappear at the window. An example is provided by those groups who swear by the irreplaceable necessity for the class party, but in fact they mediate the task, sidelining its function to the more theoretical and abstract rather than being operationally effective. Or as a mere bearer of ideologies, provider of armchair tactics, jealous guardian of “sacred principles”, and as such incapable of taking part in the actual class struggle that, in spite of the metaphysical expectations of idealists, is always so complex, contradictory, sometimes treacherous, never linear, and certainly never pure.

History has on many occasions demonstrated that the class can spontaneously go beyond the messianic wait-and-seeism of maximalist political positions, better suited to the observation of social phenomena than in developing them into political objectives.

In the first case the party is seen as the provider of slogans as generic as they are irrelevant such as “the generalisation of the struggle”, “the transformation of economic struggles into political struggles”, or invoke the need for of radicalisation without in-

tervening in the “nitty gritty” of the struggle itself, and especially in not equipping itself with tools to link it with the class. Beyond a few slogans every political statement remains a dead letter. Such an unreal position, which deliberately remains on the sidelines of the rocky road of class struggle, is the inevitable result of the idealistic assumption that revolutionary class consciousness develops on its own anyway, choosing its own tactics and establishing its own programmatic strategies. Thus there is nothing left for the party to do other than promote these developments whilst remaining at a safe distance. There is no alternative and there is nothing more to do.

In such a framework the role of the political vanguard is debased to that of accelerator of struggles, more by definition than as a real reference point, a headquarters of the class rather than its political synthesis. The result is the inability to grow with subsequent demands of the struggle, to give themselves the appropriate tools from an operational point of view in order to establish a dialectical relationship between the spontaneity of the struggle and its political goals. In other words these conceptions of the party compel the vanguard to work at the edge of the class struggle where it's easier to be overwhelmed than to politically influence its course.

In the second case the party gives the appearance of a mummified structure sustained only by the codification of its inner workings. It survives, if it succeeds at all, by alternating this with “external” periods, based more on its internal needs than on any political life blood coming from the class struggle. If it is true that we cannot talk of a revolutionary party unless it has acquired an enormous political experience by refining and practising a method of analysis, and succeeded in establishing tactical lines in accordance with its strategic perspective, it is also true that if all this remains mere potential without expressing itself in “deeds”, or postpones them to an objectively more favourable situation, then what we are faced with is a purely fictional organisation.

A first effect that hit all of those organisations that have a “wait-and-see” model of the party, as a knee-jerk reaction to a long counter-revolutionary period on the international stage, was reflected in the fact that the more they have theorised and practised non-intervention because it is pointless, or even counter-productive given the situation, the more they have cultivated a conception of the party bordering on the metaphysical.

The more the party is estranged and isolated from the class struggle, the more its peculiar characteristics suffer the distorting effects of its self-image as omniscient. Paradoxically, just as in the first idealist theory the party ends up as an appendix, an external accessory to the evolution of the class struggle, so in the latter the party ends up becoming like a “first unmoved mover” whose main features are absolute infallibility, a mechanical and deadening centralism, and an underlying idea which denies that internal disagreements are a prefiguration of socialism.

Both idealistic approaches, both of underestimation and overestimation of the party form, before, during and after the revolution are the product of an incorrect method of approach, from half-digested lessons at the end of the Russian revolution, and the politically harsh decades of counter-revolution. The puny efforts of the vanguards that somehow resisted by swimming against the tide, in their effort to revise or safeguard the fundamental structures of revolutionary theory, have suffered, in part or in whole, under the weight of this counter-revolution.

The rest comes from isolation and the difficulties of establishing significant and lasting relationships with the class.

Very often isolation, whether voluntary or imposed by objective conditions, has accentuated both the extremes of passivity and its opposite: activism.

Although it may seem absurd and contradictory, idealism has many different faces, and different ways of expressing itself, but the method remains the same. The passive wait-and-see attitude which counts exclusively on the external situation to solve all our problems, is balanced out by blind voluntarism and wishful thinking which wants everything quickly and immediately. Both attitudes fall within the idealistic matrix, but at opposite ends.

If the party is a synthesis of doctrine and action, then the activist version puts the accent on the second. In this version idealism goes beyond the normal boundaries of activity which is appropriate to the demands of the situation, culminating in voluntarism, “whenever and wherever”. By abstracting from the objective conditions, this voluntarism points to the party as the factor triggering economic and political demands. As such sees it as the “inventor” of struggles, as a subjective consciousness capable of undermining the existing social framework, regardless, or even against, the most basic laws which produce it.

Such an attitude, in addition to its lack of common sense, distorts how we interpret the dialectic between the economic situation and the class struggle, between the masses and the avant-garde, and eventually it opens the doors to opportunistic practices when expectations are regularly undermined by reality which, like it or not, is much stronger than any idealistic approach to the class struggle. The greater the external opposition, the more bone-headed activism insists on banging its head against the wall. The more organisational efforts are frustrated in a doomed attempt to revitalise struggles, the more these vanguards adopt the perspective of making political concessions in order to pursue a goal that is doomed to all round failure by the negative power of the situation.

How many times, especially in stagnant periods of the class struggle, have we seen so-called vanguards make hasty political retreats, both in tactics and by redefining “new” strategic objectives, in order to satisfy their activists by making “concrete” links with the world of work. Just as they thought they could find revolutionary solutions round every corner, they now discovered “revolutionary reforms” in new, why not, *bourgeois* areas for intervention, making the alleged and misunderstood “absence” of the working class a justification for all sorts of opportunistic ideological contortions.

In this sense, the bait is always ready to be taken. If the nature of the struggle and class consciousness are low, or almost non-existent, that’s when voluntarist activists, rather than give up their anti-dialectical schemes, politically work at that low level of consciousness which they should, on the contrary, be trying to raise. As a last resort, they retrace their steps, but go off at a complete tangent, trying to do violence at all costs to the reality of the outside world.

Opportunism, in the economistic version tail-ends the obtuse wishful thinking of the terrorist version. They have opposite effects, but again share the same roots, seen lately both in Italy and Europe with only minor differences in appearance and timing.

In conclusion, the idealistic approach, in all three versions looked at here, indifferentist, external or voluntarist, restricts or distorts the role of political vanguards, or reduces them to an appendage of the class struggle. Either it is seen as cultural factor, mythical and still outside the needs of the proletariat, or by exaggerated activism, with all its risks

of opportunism, becoming in its voluntarist version, reformist.

THE MECHANISTIC APPROACH TO THE QUESTION OF THE PARTY

In its analysis and consequent intervention the mechanist approach always reduces the laws of the dialectic to a banal relationship between cause and effect. It removes the filter between a given economic situation and subjective human will. As the first takes shape, the latter will eventually submit to it, but the time and method are mediated by an infinity of other factors. Otherwise the classic relationship between structure and superstructure appears to be a mechanical relationship between cause and effect much closer to the laws of chemical experiments in the laboratory than to dialectical determinism.

In the mechanistic approach if a historically determined situation A is not present then situation B cannot exist, or, by inverting the terms of this mechanical interpretation of social development, outcome B occurs only if A is already present.

From a methodological point of view, this approach owes more to the Aristotelian than the Marxist school of thought. Nevertheless several times in the history of the workers' movement this mechanistic interpretation has overtaken or even replaced the dialectical interpretation, claiming to represent its spirit in the most correct way.

In Marxist terms it is obvious that revolutionary events, class struggles, civil wars or other social events involving a movement of millions, do not fall down from the sky, but are the result of economic situations which are all the more crucial the greater their intensity and extension.

One of the pillars of Marxist revolutionary theory, which at one stroke rid the field of the ambitions of utopian socialism as the unrealistic demands of obtuse activism, demonstrates how every great social movement is simultaneously conditioning and conditioned by an economic "*prius*"³ whose contradictory mechanisms end up, sooner or later, setting in motion irreconcilable interests that are the basis of every superstructural settlement or upheaval.

Maybe not all economic crises have triggered civil war or class struggle, but certainly there has never been social upheaval that did not originate from an increase in the contradictions in the world

of the structure. In addition dialectical analysis has always taken account, always within the laws of economic determinism, the importance of the starting conditions, the initial political level of the class struggle, the acquired capacity of the bourgeoisie to manage, and then water down over time the depth and consequences of their own crises and the subjective responsive of workers, whether expressed with or without its political vanguard.

This is exactly the opposite of what happens in the analyses of both voluntarist and mechanistic idealism. In the first, the class struggle and the role of its vanguard are not linked to objective conditions but are arbitrary inflated by activist expectations, as if phenomena such as the readiness to the struggle, the raising of anti-capitalist demands, the awareness of means and ends, are more the consequences of an act of autonomous will, above or even outside "crude economic factors", rather than reflections of the latter.

For voluntarists it is enough just to have or at least to create conditions conducive to the class struggle. Economic demands as well the political demands, always exist everywhere in capitalist relations of production so that, regardless of the level of maturation of economic contradictions the role of the party can always be seen essentially as a promoter of fights, as an example of a practical consciousness, as a subjective condition, even when the system is not in a devastating crisis, or even when the level of the class struggle is very low. Indeed, the more unfavourable objective conditions become, the more voluntarism is forced to radicalise its demands to the point where they bear no relation to reality. It thus inevitably appears as a detached revolutionary tendency which does not know how to translate the acquisitions of social struggles into a concrete political programme.

In the second case, everything is down to the evolution of objective conditions. The crisis itself provides a favourable terrain for the birth or the intensification of the class struggle. This combination of the two phenomena, and only this, is the signal for the intervention of the party or even its birth, which otherwise would be unrealistic, dangerous, if not directly counter-productive.

Albeit at different levels, the mechanistic approach, in counter-revolutionary phase, denies the existence of any political space for a vanguard to operate in unless the latter does not act politically but mere-

3 - Latin meaning "first" ("instigating cause" in this case)

ly becomes a circle of observers and commentators on social events without attempting to intervene in the limited places offered by the class struggle. Until the world of economic determination does not show signs of stress, there is nothing to that can be done. The slogan is “everyone go home and wait for better times”.

It is obvious that the theoretical assumptions of both the “all at once” of the hyper-activists and “there’s nothing to be done” of the “wait and see” tendency are respectively the result of too broad or too narrow a view of the correct dialectical interpretation of how the party functions in the course of the class struggle. It is equally obvious that the two tendencies, precisely because they are derived from the same original setting, contain the elements of truth, but not when they unilaterally emphasise either the subjective or objective conditions.

The mechanistic approach, to the party issue, limits its appearance and its intervention only to the time when the level of determination and consciousness of the class struggle, following the economic crisis, is at such a high level that it effectively poses the question of the final assault, or the conquest of power. This implicitly denies its vanguard role as the political product of the many partial and sectional impulses of the working class. Either it is the objective conditions that trigger the class struggle and determine, sooner or later, even its tactical-strategic aims, and push it to the threshold of power (at the most this suggests the party is a secondary accelerator and mere accessory to what occurs spontaneously, or if you prefer, is determined mechanically), or the crisis and the consequent revival of the class struggle, are necessary but not sufficient conditions for a revolutionary solution.

It is precisely the political presence of the party, that allows the spontaneity of the class to articulate its political aims, to transform a movement of revolt into a revolution. Otherwise, as has happened many times, the workers’ struggles, originating in one sector and operating in no particular order, can only collapse in on themselves without shifting the balance of power against the class enemy by a single centimetre. The essential condition is that the party must co-exist and grow with the objective conditions and the consequent evolution of the class struggle. Otherwise it becomes a party of the last minute, which sets to work, or even worse, only appears after the right objective economic and subjective po-

litical conditions are openly expressed. At the very least it would risk being overtaken by events, always assuming that its wait-and see approach would give it enough time in the “ad hoc” situation to make itself known as the vanguard.

There is no shortage of deep and devastating economic crises in the history of class struggle, nor has the proletariat ever ceased to be the potential revolutionary subject; what it has often lacked was precisely the party either because it had been previously defeated by the forces of counter-revolution, or because it was not mature enough from a political point of view, or because it was told to wait for a more favourable time in the future. And when this came along it was taken by surprise. It was unprepared to play a leading role, and especially unable to establish in the space of “twenty-four hours” those essential ties with the class which allow it to play its political part.

Just as the class needs its party to express itself politically in a revolutionary sense, so the party needs its class content to exist and act. A proletariat that would go into a confrontation with the class enemy without political leadership would be doomed to defeat. Similarly a party unconnected to the class, or detached from its social content, might be a better guardian of revolutionary theory, might be the most perfect political machine, but it inevitably would have no bearing on a final solution. In order not to run into the latter situation, the vanguard should strive to establish contacts with the class even in less favourable phases. Put simply, we could say that the proletariat and the party will, in favourable situations, suffer the fate that they create for themselves in the counter-revolutionary period.

The mechanistic approach, on the contrary treats the party-class relationship in the same way as a physical phenomenon, underpinned by the laws of chance. This not only inhibits the party developing its slow and difficult organisational life in the stages preceding the onset of revolution, but also denies the proletariat its irreplaceable political weapon.

The schema: crisis – resumption of the class struggle – birth of the party, is both very limited from the dialectical point of view and dangerously impotent in tying together those endless threads that arise from the class struggle. If it were not put forward theoretically, as an abstract axiom, it would simply be discovered only when the situation allowed, in that brief, and often difficult to detect, space of time when the whole series of relations be-

tween class and party that are the basis for a revolutionary outcome, become clear.

THE ROLE OF THE PARTY IN THE CLASS STRUGGLE

First of all revolutionaries, the vanguard, and more specifically the class party can choose neither the time nor the conditions for intervention. Both are determined by the evolution of economic contradictions and their social repercussions. It is obviously bourgeois society in all its manifestations that determines and imposes on the class and its vanguard, not only the terrain, but also the manner of the confrontation. Just think of today's systematic, scientific attack by the international bourgeoisie on the proletariat, on the basis of technological restructuring in all important fields of production. The fight against lay-offs, dismissals, the reduction of labour costs in various ways, the super-exploitation of those who remain in the factory is: even the struggle to reduce working hours, started on the terrain imposed by the bourgeoisie. The economic crisis, the "shrinking" of the market, trade and financial wars, highlight this period. Just as in the previous period of economic and "wider" market expansion compatible marginal demands, within the framework of the "crumbs" of the growing capitalist accumulation process were possible.

Only the revival of class consciousness, assisted by the active presence of the class party, allows us to first stem and later overcome the conditioning of the bourgeoisie.

But to refuse a particular battleground because it is risky, difficult to work in politically, because it is better administered by capital, means the creation of assumptions which, in theoretically more favourable situations, will lead to the squandering of the chance to engage with the real evolving situation.

In the second place, the party is not just a factor of theory and will, but also the political instrument of the class struggle. Although the third connotation is implied in the first two, idealistic and mechanistic deformation don't always take this into account.

When defining the political party as a weapon of the class struggle, we mean as a necessity and a tendency throughout the historic arc characterised by the permanence of capitalist relations of production, and not related to one particular aspect or moment of the class struggle. The term class struggle expresses a concept that has its ma-

terial source in the antagonistic and irreconcilable conditions between bourgeoisie and proletariat, on the basis of the equally irreconcilable and antagonistic relationship between capital and labour, and not on any particular aspect or moment. From this the level of class struggle can obviously vary depending on the degree of development of economic contradictions, on the presence of the crisis, on the capacity of the bourgeoisie to manage it, on the consciousness of the working class, on its spirit of combativity, but the class struggle never ceases, so its political reference point should not fail either.

Even if the bourgeoisie is able to hold the upper hand against the proletariat, either through the mystifying role of social democracy, or through open political repression, by establishing emergency laws limiting or eliminating so-called civil and democratic rights, and by decapitating the proletariat of its most representative expressions, this does not mean that the class struggle no longer exists or is expressed at so low a level that there is no need to start some sort of opposition, albeit clandestinely. At this time all it means is that the bourgeoisie has made a successful offensive, and the proletariat a momentary retreat.

The tiny minorities that were eventually able to escape from the strait-jacket of repression, don't therefore have the right to theorise and practice their self-elimination due to the simple fact that the class struggle "is not there", and that therefore "there's nothing to do". Indeed, we could say that the future recovery of the class struggle will also be conditioned by what the tiny minorities have been able to accomplish politically in the openly counter-revolutionary periods.

It is the bourgeoisie's task to squeeze the working class, both economically and politically, by cutting off its thinking head, by separating it from its party, and in its opposition to every political and economic demand. Revolutionaries, however few or many they are, however much or little impact they have on the course of the class struggle, must not give the bourgeoisie a hand in its task of wiping us out. By politically eliminating themselves, they finish off the task that state repression has only partially been able to carry out. Giving up even the task of slowly rebuilding, of infiltrating those small spaces which even the most repressive states allow, is the indispensable condition (but certainly not sufficient, we say this to the credulous of every stripe)

for the speedier resumption of the class struggle in more mature times.

Where there are, even if minimal, possibilities of organisation and political work, it is necessary for the vanguard to work against the current, not only to renew the red thread, not only to keep immaculate “sacred principles” from degeneration, but also to strive to be a political reference point, however weak for however long, with respect to a class struggle that never ceases to exist even if only at low or very low levels.

The party, precisely because it is not different from the class, but is the most advanced and conscious part of it, and represents its political perspective at every stage of the confrontation with the class enemy, must not cease to play its role, on pain of self-elimination.

The parties and the vanguard can also disappear, as the period in which revisionism and counter-revolution decimated the revolutionary field in the second half of the twenties clearly demonstrated. It is one thing to succumb, fighting in the class struggle against the forces of counter-revolution, with all the negative consequences that follow, but its entirely another to bend to the situation by putting forward the notion that there is no need for a political reference point for the defeated class as it would be unnecessary or even harmful.

Such an approach would lead to a revision and correction of the slogan: “Proletarians of all countries, unite”, but only at times when the revolutionary assault is on the agenda whilst in normal day to day circumstance it’s “every man for himself, God for all”.

To the question on who or what can the class count when the explosion of capitalist contradictions pushes it onto the streets looking for some solution to its pressing problems as well as political leadership, which has not yet appeared or has been eclipsed, the stock answer is: the crisis itself! It’s a repeat of the mechanistic equation: crisis-recovery of the class struggle-birth of the party, as a spontaneous, natural phenomenon in the structure-superstructure relationship.

To make an initial conclusion, the anti-dialectical approach, whether in the idealistic or in the mechanistic version, does nothing but go beyond the upper and lower limits of the correct party-class ratio in the continuation of the capitalist relations of production.

It either does violence to the objective condition with all sorts of unrealistic activism, or it succumbs to them with an attitude of messianic wait-

ing. The practical result of both is the impossibility of the creation or maintenance of organic relations with the class.

The dialectical approach that sees in the party elements of theory, method, of will, but is also the political creator in the evolution of the class struggle, independently of its historical or contextual levels, does not try to ignore reality, but submits tactically to it. It does not downgrade itself saying “there’s nothing to be done”, but develops a line of action commensurate with the needs of the specific situation. It is not the usual happy medium between two extreme positions, but the dialectical overcoming of both.

A CONCRETE EXAMPLE

Idealism and mechanism, paradoxically, do not arise or develop within autonomous and independent spheres, but very often come into harmony by sharing areas of analysis and practice that make their political character more confused.

Wait-and-see attitudes and abstractionism, tailending “concrete demands” and voluntarism, as political subcategories of idealism and mechanism, very often merge and become confused with one another.

Fifty years of counter-revolution and of isolation of the few remaining vanguards have meant that, in the present phase, characterised by a slow and difficult resumption of the class struggle against the backdrop of an irreconcilable international economic crisis, the relationship between party and class has suffered all kinds of distortions, even within the politically “healthiest” traditions.

What is new, compared with the years following the Second World War, is the situation – by no means mechanistic – whereby, in the face of a crisis in the world capitalist productive system, the expected resumption of the class struggle has been slow to materialise, both in terms of timing and intensity.

For those who believed they could anticipate developments as well as for those who realised too late what was emerging in the world of the structure, more than a decade of international economic crisis and “disappointed” expectations has meant that abstractionism and tailending “concrete demands”, each according to its own categories of analysis, have hardened their positions.

In the first case, every social episode, whatever its cause or the superstructural form in which it manifested itself, was taken by definition as a sign of the resumption of the class struggle. The consequent practice was to issue a series of general state-

ments which were both ineffective, because devoid of any specific content, and directed towards struggles that had not yet emerged except in the minds of those calling for them, or towards struggles absolutely incapable of absorbing overly “advanced” political messages.

In the second case, the slowness of the class struggle led to consideration of the path of “shortcuts”, going, as Muhammad did, to the mountain, but without taking the main road. In other words: if the problem is to establish links with the masses, at a time when, despite the economic crisis, the latter are struggling to respond to the political appeal of the vanguards, it is necessary to develop a more flexible and therefore more effective approach, even if compromising, less politically characterised, and increasingly subservient to the spontaneity of workers’ struggles.

Beyond the differences in method and approach, abstractionism and tailending “concrete demands” forget, or at best underestimate, that the fundamental task of the vanguards is to raise the political level of the struggles. Whatever the starting conditions and whatever the initial level of the struggles, the role of the vanguards is to clarify matters and to push class consciousness forward, even if only slightly. Even a defeat suffered on the economic terrain can be transformed into a “victory” if it results in a political gain. How many times, for lack of political leadership, or through the blindness of the vanguards, have struggles that began and ended on the economic terrain generated nothing but discouragement and disillusionment? How many times have such defeats further flattened the level and fighting spirit of the working class?

The class party is such not only because it makes the economic and political demands of the class its own, not only because it places itself at the head of the struggles, not only because it is in the class and for the class, but above all because it must represent its driving political force, the propulsive element which, from struggle to struggle, from situation to situation, shifts the political axis towards increasingly advanced objectives; receiving stimuli and demands from the concrete situation of the class struggle, elaborating them tactically, and returning to that situation as a more advanced point of political reference.

Precisely because the class struggle is a process and not an act, either the party grows dialectically along with the development of situations, taking from them and shaping itself through them, receiv-

ing impulses and returning to them in order to influence them politically, or it runs the inevitable risk of becoming abstracted from the struggle or being swept away by it.

To be in the struggle, to be with the working class when it moves into action, is only the necessary condition for exercising a positive role of political leadership, but it is by no means sufficient. To tail-end economic demands, not to seek to go beyond their political framework for fear of not being an integral part of the movement, or of running the risk of not being understood, to renounce putting forward more advanced political alternatives because “the political level of the class is what it is”, means doing a bit of everything, throwing oneself into activism, chasing after every situation, being physically in the thick of the struggles, having the illusion of being in the class and for the class, but it absolutely does not mean carrying out a revolutionary role.

However much this may offend the sensibilities of the theorists of self-consciousness in the varied forms of anarchism, councilism, autonomism, etc., as well as those who theorise being concrete at all costs, once again the opposites meet: the spontaneity of the class has its limits precisely in the economic conditions that brought it into being. When sectors of the working class enter into direct confrontation, they not only do so on a sectional basis, but do so with the aim of satisfying economic demands within a broader economic framework and, above all, a political one, neither of which is called into question.

The need to generalise struggles, to go beyond the system’s economic constraints, even if only in purely economic terms, the gradual transformation of economic struggles into political struggles – all that, from the point of view of tactical elaboration, is necessary in order to make the demands arising at the various stages of the class struggle effective, is not inherent in the concept of class spontaneity. If it is true that the notion of class implies the presence of a unifying element, represented by the same relationship through which labour power comes into contact with capital and is subject, to the same degree, to its need for valorisation, it is also true that disintegrating elements operate, such as sectional, hierarchical or even individual interests, on which the bourgeoisie has always known how to work in order to divide the working class.

This does not mean that the level of class struggle, understood as a spontaneous social phenome-

non independent of political influences, cannot rise and overcome the first major obstacles. But it does mean that it cannot cross a certain political threshold, nor can it mechanically transform itself into a political revolution through self-transformation.

Without economic crises there are no social upheavals, just as the latter cannot lead to revolutionary solutions without the active intervention of the class party.

The task of the party consists precisely in overcoming localist spontaneity, the economism that inevitably represents its initial driving force; in unifying and generalising the struggles and then seeking to give them a political purpose, a revolutionary character, increasingly alien to the economic and political constraints of bourgeois society. All this is obviously a process whose intensity and duration depend on countless internal and international factors, but which nevertheless consists of politically coherent acts carried out according to a strategic direction.

In other words, either tactics – that is, the solution of the immediate problems that the class struggle poses from time to time, often in a confused and contradictory manner – strive to orient themselves towards the revolutionary goal, or, when the common thread is broken, the perverse mechanism of dispersion and fragmentation is set in motion, with the consequent inhibition of any further growth in revolutionary consciousness.

How many times, despite the existence of the so-called favourable objective conditions, has the class entered into confrontation without political leadership, in scattered ranks, divided by a thousand interests and ideologies, facing a bourgeoisie that may be weak and worried, but is certainly more cohesive and operationally united. In such cases, struggles have begun and ended on the economic terrain without ever calling the general political framework into question, without producing any appreciable progress in the process of political and revolutionary development, with the tragic yet inevitable consequence that stores of determination and willingness to struggle have been squandered on false premises and non-existent prospects.

A recent concrete example is provided precisely by the struggle of the English miners. Much has been said about this struggle: its unique characteristics of duration and determination have rightly been emphasised. The miners' struggle was an impressive example of a struggle without parallel in the history of the English and international labour movement.

Equally rightly, its political limitations have been pointed out, but two aspects have not been sufficiently considered by the revolutionary "milieu", which has had to follow the development of this otherwise grandiose experience as a powerless observer.

The first concerns precisely the need for the presence of the party and therefore the absolutely overriding task today, in the revolutionary field, of concentrating our energies on strengthening and creating party organisations, so that future episodes of struggle, in England as elsewhere, do not develop outside or without their own political leadership.

The second concerns the role that a political vanguard should have played, had one been present and able to operate, in the specific conditions of the struggle of the English miners.

We have already outlined the contours of the first problem. It is only necessary to denounce the fact that, as the world crisis drags on with its corresponding episodes of a revival of the class struggle, many political forces have not abandoned their "fractional attitudes", continually postponing until tomorrow the effort to create the class party, with all the limitations that such an attitude entails.

As for the second, it is worth highlighting the fundamental aspects in order to draw the best tactical solutions from them.

First of all, we must consider the economic framework from which the struggle of the English miners arose. This may seem in itself an unnecessary or obvious concern, but it is in reality of fundamental importance for the further development of the struggle itself.

Secondly, it is necessary to take into consideration all the economic and subjective factors, and the corresponding balance of forces, in order for a struggle over economic demands to have the possibility of spreading and, above all, breaking out of isolation.

Finally, it is necessary to identify which stages might permit the beginning of that long and always difficult process, marked by victories and defeats, sudden upsurges and equally precipitous retreats, through which economic demands are transformed into politically unifying gains.

The economic basis from which the struggle arose and developed was the consequence of an enormous process of restructuring imposed by the crisis, elsewhere as in Britain, but which in Britain, more than elsewhere, elicited a class response.

As in other sectors of the English economy, the restructuring process in the mines involved a drastic reduction in jobs, the complete closure of obsolete

ones, and a technologically advanced reorganisation of production, with the inevitable consequences of the destruction of entire workers' villages, the creation of tens of thousands of unemployed, and hunger for their families. The needs of capital valorisation have never taken the living standards and survival of the working class into consideration in "good" times, let alone in periods of crisis. On the contrary, in periods such as these, unemployment and the starvation of the working class are conditions for the survival of capital.

When the Thatcher administration, together with MacGregor, Chairman of the NCB (National Coal Board), put the restructuring plan into operation through the closure of hundreds of pits, the English miners found themselves having to respond to an attack by the bourgeoisie launched through its organ of political domination, the government, precisely on the terrain of mere survival. Once again, the struggle found its triggering factor in economic conditions and, starting from these, for almost a year we witnessed a grandiose episode of class confrontation. Its limitation, apart from international and internal isolation, became apparent in the absence of a class party capable of operating effectively in the confrontation under way: the class response, born on an economic terrain, died on that same terrain without even beginning to develop politically.

The first step should have been an effort to generalise the miners' struggle, an objective on which everyone agrees. Abstractionism too preached that the extension of the miners' struggle to other productive sectors, first the solidarity of the English working class and then that of the international working class, had to be the conditions for the movement itself to take off. Once again, it is one thing to give broad indications, summarised in more or less effective slogans; it is another to identify the steps and the concrete terrain on which to organise the development of the struggles themselves.

For abstractionism, the problem does not even arise. A revolutionary party has only the task of helping the struggle from outside, facilitating its expansion and political development, without going beyond a general indication, for the very simple reason that the usual idealistic mechanism of class self-consciousness is capable of solving every problem. But things are never so simple.

For the miners, it was useless and naive to invoke a generic solidarity based on an equally generic need

to generalise the struggle. This is not how isolation is overcome, and above all it does not remove the obstacles posed by corporatism, sectionalism or, worse still, the indifference of the overwhelming majority of other workers. It is necessary to link the abstract concept of solidarity to concrete problems affecting the entire working class, such as maintaining employment and guaranteeing wages – needs that concerned not only the miners engaged in the struggle but the entire working class, which was being hit to varying degrees by the restructuring process.

To invoke solidarity in defence, at all costs, of several hundred technologically obsolete pits was not only reductive from the standpoint of the miners' own struggles, but certainly did not provide suitable ground on which to bring other categories of workers into the struggle.

The approach should have consisted in linking economic demands as the consequence of a common cause: the capitalist crisis with its perverse appendage, restructuring. Only in this way would it have been tactically possible to organise an intervention aimed at creating common ground between employed and unemployed workers, between workers already affected by restructuring and those who would soon be affected, between those already engaged in the struggle and those who would have to enter the struggle in order to defend common interests.

Only in this way would it have been possible to begin the revolutionary reorganisation of the working class, starting from the real economic situation and aiming at the generalisation of the struggle, moving from the solidarity of the mass of workers towards the tactical implementation of intermediate but unifying objectives, such as guaranteeing employment, maintaining wages for the victims of restructuring, adjusting unemployment benefits according to family responsibilities, and reducing working hours without reducing wages or productivity.

As is evident, revolutionaries do not choose the moment or the means of intervention; both are imposed by the objective situation in which they are forced to operate. But all this is by no means sufficient. It is not enough to be with the masses in the struggle; it is not enough to find unifying tactics for economic demands. The task of the revolutionary vanguard is to go beyond the economic basis and link it to the political question – in other words, to transform struggles over economic demands into a first moment of political confrontation as a precondition for the take-off of the revolutionary process.

Here too, the allegedly automatic forces of spontaneity and class self-consciousness have failed to turn up. The experience of the English miners is a glaring demonstration of this: not only did the struggle fail to move beyond its original starting point, it did not even attempt to overcome the framework imposed upon it by the trade unions.

While still remaining predominantly on the economic terrain, the transition to the second level of confrontation should have found its connecting link in the struggle against the so-called constraints of the system. In other words, the same demands concerning wages, employment and productivity should not have been subject to the limits imposed by compatibility with the needs of the capital valorisation process and the production reorganisation plan envisaged by the restructuring. Only in this way would the economic struggle itself have created a political confrontation with all the forces of conservation, from the government to the trade unions, from the judiciary to the police. Political struggle, in general, means struggle against those forces that hold power and administer it in the name of the needs of capital, regardless of whether they are labelled reactionary, democratic or progressive; in the specific situation, the struggle against the system's constraints and the political forces meant direct confrontation with those who exercised power, managed it or supported its management, both in the local area and in the factory, in the miners' villages as well as in the pits. Those who believed they could solve the problem by launching the slogan "Thatcher's government must go", reviving old '68 habits, came to nothing.

For the workers who had been on strike for months and who clashed with the police on a daily basis, slogans such as that calling for the removal of the Thatcher government added nothing in terms of clarity or political gain. Quite apart from the government, which was an obvious target and was already being confronted, the struggle should have been directed against the trade unions, against the most advanced structures of conservation, which entered the field first to follow the workers' anger, then to contain it within the limits of economic and political compatibility, and finally to manage the inevitable defeat in the tragic end.

The NUM performed this function of the last line of defence admirably, standing guard over the sacred institutions so that their existence would not be called into question, and not only that, but ensuring

that the very idea did not take root among the miners. Moreover, the NUM rode the tiger in the interests of the Labour Party, preparing the ground for a change of government or, at the very least, making the road harder for the Conservative Party.

Only those accustomed to mistaking one thing for another could have believed that they saw in the conduct of the NUM and its secretary, Scargill, a sincere working-class vocation, even if pursued on reformist terrain.

The miners' struggle, once it had created the conditions for its generalisation and for greater political radicalisation beyond and against the system's constraints, would have found itself confronted not only by the Conservative government, backed by the Labour Party, the army and the judiciary, which was so prolific in handing down anti-working-class sentences during those months, but also by the trade-union camp itself, with the NUM at its head.

In any case, it is enough to review briefly the conduct of the various trade-union organisations to gain a precise picture of how things would have unfolded if the struggles had undergone a political development beyond their original limits.

At the beginning of the dispute, the trade-union movement could do no more than declare its unconditional solidarity with the miners. When this solidarity was transformed into a series of strike actions – such as those by public-sector workers in Sheffield and St Helens, the 9,000 workers in Liverpool who protested against the imprisonment of the 37 workers of Cammell Laird, the occupation of the shipyards, the 24-week strike by DMSS workers against the cuts resulting from restructuring, alongside actions in smaller companies and the other major episode of struggle by the dockers – the unions made a hasty retreat.

The National Association of Colliery Overmen, Deputies and Shotfirers (NACODS) union went back on its decision in order to avoid a strike in support of the miners' struggle, even though its members had previously voted by a large majority in favour of that strike. Another union, the Iron and Steel Trades Confederation (ISTC), openly supported the coal convoys of strike-breakers and helped break the pickets, while the EEP TU instructed its members to work and to break this "unjustified" strike! The TUC refused any concrete support and condemned the miners for breaking the law and clashing with the police. The Labour Party, obviously, also called on the miners to submit to the laws of the bosses and allowed the police to act against them. It was inevitable,

therefore, that the political development of the struggle should have to contend with the trade unions, as fifth columns of bourgeois conservation.

But how was the encirclement to be broken? There are no ready-made recipes for every type of cuisine. Certainly, in the specific English situation, the path that could have taken the struggle of the English miners beyond economic compatibilities and beyond the grip of the trade unions, towards a first effective autonomy in managing their own class interests, had to pass through the creation and strengthening of strike committees which would take the economic demands described above as their starting point and emancipation from trade-union tutelage as their first political objective.

Secondly, it was necessary to intensify and encourage all those episodes, even if crude and only at an embryonic stage, in which the struggle spread into the local area, as the first important step towards moving beyond the mere guarding of the pits.

In the final months of the struggle, some such episodes, promptly boycotted by the trade unions and denounced as irresponsible by the Labour Party, emerged spontaneously. In the towns of Fitzwilliam and Maltby, as well as in many villages in Yorkshire, the miners took over local broadcasting stations, organised assaults on police stations and staged forms of insurrectionary demonstration.

It is self-evident that, within a process of class struggle, it is not recipes or tactics worked out in advance that can solve problems, but it is equally evident that the task of a revolutionary vanguard is always to push the level of confrontation forward, aiming at those objectives which the spontaneity of the masses is not always capable of reaching.

Those who pushed “concrete demands” have behaved in precisely the opposite way. More concerned with adhering to the movement than with being its vanguard, chastened by decades of isolation, unable to play a guiding role, both because of the lack of struggles and because of the enormous difficulty, in periods of stagnation, of conducting “revolutionary politics”, concretism considered it appropriate to tackle the obstacle from an entirely different direction.

By stating, as a sort of preventive justification, that revolution is a long and arduous process, and that the intervention of the vanguards is valid only if it takes into account the starting level of the class struggle, it ends up practising the most slavish opportunism, submitting to the political level of the spon-

taneity of the masses and effectively renouncing any vanguard role in the so-called process of struggle.

It is no coincidence that some of those who could only talk of “concrete” demands, faced with an episode like the English miners’ strike, and taking the content of the strike and its political level precisely as a given, were unable to offer any indications other than those with a vaguely ’68 flavour: “Thatcher’s government must go”.

Far more serious was the approach to the class-trade-union question. While starting from the correct observation that the trade unions are now entirely bourgeois organisations and are structurally connected to the needs and compatibilities of the mechanisms of capital accumulation, our tailenders went so far as to defend the trade-union organisations themselves (NUM) and their political patron, the Labour Party, from the government’s “attacks”!

And this for the simple reason that the working class is present and active within these organisations. What is evident here is the confusion between the need to operate politically where the class expresses itself, in order to overcome the “institutional places” and political spheres that are not its own, and remaining entangled at the level of tactics and demands, ultimately becoming conditioned precisely by where one had gone in order to exert an influence.

Unless, that is, for these reformists in retreat, their approach to the trade-union question and their tailendism are the practical premises for a complete political revision of the role of the party, the function of neo-social democracy, the relationship between the party and bourgeois strata and, why not, a more flexible re-interpretation of the United Front, of “revolutionary reformism”, with all the associated implications.

FD

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